THE COMPLETE BUSINESS KNOWLEDGE ENCYCLOPEDIA

الموسوعة الشاملة للمعرفة في عالم الأعمال

VOLUME 1

Foundations and the Language of Business

الأسس ولغة الأعمال

Every Essential Business Concept, Term, Process, Document, Financial Instrument, and Commercial Practice You Need to Understand the Real Business World

IN THIS VOLUME

- How to use the encyclopedia
- Translation and terminology system
- Part I — The Language of Business (20 terminology domains)
- Comparison tables for commonly confused concepts

A practical reference for finance and computer-science graduates entering the business world · First edition — October 2026

About this volume

This volume is part of a ten-volume reference collection. Chapter numbers run continuously across the collection, so a reference such as “§47.3” identifies the same section in every volume, in the master index (Volume 10), and in the learning roadmap.

Volume	Title
Vol. 1	**Foundations and the Language of Business**
Vol. 2	How Businesses Work — Accounting and Financial Statements
Vol. 3	Corporate Finance, Economics and Business Mathematics
Vol. 4	Banking, International Trade and Treasury
Vol. 5	Commercial Operations — Sales, Supply Chain, Insurance and Risk
Vol. 6	Investment, Capital Markets, Commodities and Market Intelligence
Vol. 7	Law, Entrepreneurship, Management and Technology
Vol. 8	Professional Practice — Communication, Deals and Advanced Thinking
Vol. 9	Document Library, Master Reference, Exercises and Learning Roadmap
Vol. 10	Master Table of Contents, Glossary and Unified Index

Important notices

- **Educational purpose.** The content explains general business, financial, legal and commercial concepts. It is not legal, tax, accounting, investment or regulatory advice for any specific situation.
- **Fictional companies and transactions.** All companies, people, banks, documents, deals and figures used in examples, case studies and document templates are fictional training simulations unless an institution, standard or law is explicitly identified as real. Simulated transactions are never real completed transactions.
- **Document templates.** Sample documents (letters of credit, bills of lading, contracts, certificates, term sheets, etc.) are teaching templates. They are not valid instruments and must not be presented as documents issued by any bank, carrier, government or other institution.
- **Standards and rules change.** References to IFRS, US GAAP, Incoterms® 2020, UCP 600, URC 522, URDG 758, Basel standards and other frameworks reflect the author’s understanding as of October 2026. Always verify current versions with the official issuer before relying on them. Laws differ by jurisdiction; consult a qualified local professional for actual transactions.
- **Market figures.** Prices, rates, margins and costs in examples are illustrative assumptions chosen to teach the mechanics, not market data or forecasts.

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How to Use This Encyclopedia

Why this collection exists

A finance or computer-science degree teaches you models: discounted cash flows, regression, data structures, the capital asset pricing model, algorithms. Business practice also runs on a second body of knowledge that universities rarely teach in full. That second layer is made of *conventions* (how a letter of credit is actually presented to a bank), *vocabulary* (what a credit officer means by "tenor" or a trader by "contango"), *documents* (what a bill of lading proves and what it does not), *institutions* (who a correspondent bank is and why it matters), and *judgement* (why an experienced manager worries more about cash than about profit in a growing company).

This collection is designed to close that gap. It is written for a reader who is numerate, comfortable with technical ideas, and already familiar with parts of finance and technology, but who wants to understand the whole commercial world well enough to read any contract, report or email, participate credibly in a meeting, and eventually run or build a business.

LEARNING OBJECTIVES · What you should be able to do after working through the collection

- Read a business document — financial statement, term sheet, bill of lading, contract, analyst report — and explain what every important field means and why it is there.
- Follow a commercial transaction end to end: negotiation, contract, shipment, documents, payment, financing, accounting entries, risks and controls.
- Explain how a company makes money, where it loses money, and why profitable companies can still run out of cash.
- Explain what a bank does for a corporate client and how it decides whether to lend.
- Calculate margins, landed cost, break-even, working-capital needs, loan schedules, NPV, IRR, valuation multiples and FX outcomes without hesitation.
- Identify material risks in a deal and propose concrete controls.
- Communicate professionally in English, and connect English business terminology to correct Modern Standard Arabic.
- Combine finance, operations and technology to create business value.

How the collection is organised

The collection has **ten volumes** containing **twenty-three parts** plus a document library, an exercise bank, a learning roadmap and a master index. Chapter numbers run continuously from Volume 1 to Volume 9, so "Chapter 47" or "§47.3" refers to the same place everywhere.

Volume	Contents	Why it comes at this point
1	Front matter; Part I — The Language of Business	Vocabulary is the entry ticket. Every later chapter uses these terms.
2	Part II — How Businesses Work; Part III — Accounting	The firm as a system, then the language that measures it.
3	Part IV — Corporate Finance; Part V — Economics; Part XX — Business Mathematics	Decision tools and the environment that moves the inputs.
4	Part VI — Banking; Part VII — International Trade & Trade Finance; Part XVIII — FX & Treasury	How money moves, is lent and is protected across borders.

Volume	Contents	Why it comes at this point
5	Part VIII — Sales & Marketing; Part IX — Procurement & Supply Chain; Part XV — Insurance & Risk	The commercial engine: buying, moving, selling, protecting.
6	Part X — Investment & Capital Markets; Part XI — Commodities; Part XXI — Reading Business News	Markets, physical trading and how to interpret market information.
7	Part XII — Law & Governance; Part XIII — Entrepreneurship; Part XIV — Management & Strategy; Part XVI — Technology & AI	The rules, the founders' view, the managers' view, the technologists' view.
8	Part XVII — Communication; Part XIX — 15 Deal Case Studies; Part XXII — Advanced Thinking	Integration: using everything together, like a professional.
9	Document Library; Part XXIII — Master Reference; Exercise Bank; Roadmap & Final Assessment	Tools for practice and long-term reference.
10	Master TOC, English–Arabic glossary, thematic glossary, unified index	Navigation across the whole collection.

Learning sequence

The order of volumes is the recommended learning order with two exceptions. First, **Part XX (Business Mathematics)** sits in Volume 3 next to corporate finance, but you should use it as a workbook from the first week: whenever a chapter uses a formula, the full worked treatment is in Part XX. Second, **Part XVII (Communication)** is in Volume 8 but its phrasebook (Chapter 120 (Volume 8)) is worth reading early and revisiting weekly. The six-month roadmap in Volume 9 schedules both.

Handling overlaps

Many topics belong to several disciplines. A letter of credit is a banking product, a trade-payment method, a legal undertaking and a risk-mitigation tool. To avoid repeating the same explanation five times, each topic has one **home chapter** where it is explained in full, and other chapters cross-reference it.

Topic	Home chapter (full treatment)	Also applied in
Letters of credit, collections, guarantees	Part VII (trade finance)	Part VI (bank products), Part XIX (cases), Document Library
Incoterms® 2020	Part VII	Part IX (cost allocation), Part XI (commodity contracts)
Working capital, cash conversion cycle	Part IV	Part II (department interactions), Part XX (formulas), Part VI (bank finance)
Valuation (DCF, multiples)	Part IV	Part X (equity investing), Part XIII (startups), Part XIX (acquisition case)
M&A	Part IV (finance) and Part XIV (integration)	Part XII (legal), Part XIX (case 10)
FX risk	Part XVIII	Part V (macro), Part VII (trade), Part XIX (case 13)
Insurance	Part XV	Part VII (cargo insurance), Part XI (commodities)
Derivatives	Part X	Part XI (commodity hedging), Part XVIII (FX forwards and swaps)
Contracts and clauses	Part XII	Parts VII, VIII, IX, XIII
Formulas	Part XX	Everywhere

The teaching format

For major concepts the text follows a consistent sequence, adapted where a rigid template would add nothing:

Step	Element	Purpose
A	**Term** — English, Arabic, acronym	Fixes the vocabulary in both languages.
B	**Definition**	States the concept precisely.
C	**Why it matters**	The commercial purpose: who cares and why.
D	**How it works**	Mechanism, process or calculation.
E	**Practical example**	Realistic numbers with stated assumptions.
F	**Professional application**	When a banker, analyst, trader, manager or founder uses it.
G	**Related concepts**	Links to the rest of the collection.
H	**Common mistakes**	What beginners get wrong.
I	**Practice**	A question or decision scenario.
J	**Answer**	A worked solution with explanation.

Box legend

DEFINITION · Definition boxes

Green boxes give precise definitions.

FORMULA · Formula boxes

Blue boxes give formulas, with every variable defined. Full worked treatments of each formula are in Part XX.

COMMON MISTAKES · Common-mistake boxes

Red boxes list errors beginners (and sometimes professionals) make.

PROFESSIONAL INSIGHT · Professional-insight boxes

Amber boxes explain how practitioners actually think or behave.

بالعربية — مربعات الشرح بالعربية

تقدّم هذه المربعات شرحاً باللغة العربية الفصحى للمفاهيم المعقّدة، مع الإبقاء على المصطلحات الإنجليزية الشائعة بين قوسين حين يستخدمها المهنيون العرب في عملهم اليومي.

TRAINING SIMULATION · FICTIONAL DOCUMENT · NOT A VALID INSTRUMENT

Example of a document template

Bordered boxes with a dark banner are **fictional training documents**. They are teaching templates only, never valid instruments, and they do not imitate any real institution.

Term cards (in Part I and elsewhere) contain: definition, Arabic explanation, why it matters, usage in practice, example, a sentence a professional might say, related terms, and distinctions from similar terms.

Terminology and Translation System

Principles

1. **English is the primary language** of the text because English is the working language of international finance, trade and contracts. Arabic is provided for every important term and for complex explanations.
2. **Modern Standard Arabic** (الفصحى المعاصرة) is used for definitions and explanations. Regional colloquial forms are mentioned only when they are widely used in business.
3. **No mechanical translation.** Where a literal translation would mislead, the text uses the term that Arabic-speaking professionals and regulators actually use, and explains the nuance.
4. **Acronyms are preserved** in their English form (EBITDA, L/C, KYC, IRR) and explained. Arab bankers, accountants and traders overwhelmingly say these acronyms in English.
5. **One preferred translation per term.** Where several Arabic equivalents exist, the preferred one comes first and alternatives are noted.

بالعربية — لماذا نحتفظ بالمصطلحات الإنجليزية؟

في المصارف وشركات التجارة والاستشارات في العالم العربي تُستخدم كثير من المصطلحات بلغتها الإنجليزية مباشرة، مثل «EBITDA» و«KYC» و«L/C» و«Due Diligence». معرفة المقابل العربي الدقيق ضرورية لقراءة الأنظمة والتعاميم الرسمية والعقود العربية، ومعرفة المصطلح الإنجليزي ضرورية للتواصل المهني اليومي. لذلك يقدّم هذا الكتاب الاثنين معاً.

Preferred translations for frequently mistranslated terms

English	Preferred Arabic	Alternatives / regional usage	Note
Revenue	الإيرادات	المبيعات (when revenue is from sales of goods)	"Income" in English is broader; do not translate revenue as الدخل in financial statements.
Turnover	رقم الأعمال / حجم المبيعات	الإيرادات	In UK usage turnover = revenue; in HR "turnover" = staff turnover معدل دوران الموظفين.
Profit / Net income	الربح / صافي الدخل	صافي الربح	
Equity	حقوق الملكية	حقوق المساهمين	In investing, "equities" = الأسهم.
Liability	الالتزام / المطلوبات	الخصوم	Legal "liability" = المسؤولية القانونية.
Provision	المخصص		Not "توفير".
Depreciation	الإهلاك / الاستهلاك		Gulf/Egypt often استهلاك; Levant often إهلاك. Both appear in IFRS Arabic texts.
Amortization	الإطفاء	الاستهلاك (للأصول غير الملموسة)	Also means loan principal repayment schedule: جدول السداد/الإطفاء.
Letter of credit	الاعتماد المستندي	خطاب الاعتماد	
Bill of lading	بوليصة الشحن	سند الشحن	
Collateral	الضمانات / الرهن	الضمان العيني	Distinguish from guarantee (خطاب الضمان/الكفالة).

English	Preferred Arabic	Alternatives / regional usage	Note
Guarantee (bank)	خطاب الضمان	الكفالة المصرفية	
Credit facility	التسهيلات الائتمانية		
Covenant	التعهد (المالي)	الشرط التعاقدي	
Leverage	الرافعة المالية		
Hedging	التحوط		
Due diligence	العناية الواجبة / الفحص النافي للجهالة	التدقيق الشامل	الفحص النافي للجهالة is used in several Gulf regulations.
Compliance	الامتثال	الالتزام	
Stakeholder	صاحب المصلحة	الأطراف المعنية	
Margin	الهامش	هامش الربح	Trading "margin" (collateral) = التأمين النقدي/الهامش.
Underwriting	الاكتتاب / التعهد بالتغطية		In insurance: الاكتتاب التأميني.
Incoterms	قواعد إنكوتيرمز	مصطلحات التجارة الدولية	
Freight forwarder	وكيل الشحن	الشاحن الوسيط	
Demurrage	غرامة التأخير (رسوم الانتظار)	الديمرج	Widely said as "demurrage" in English in ports.

Terms Arabic-speaking professionals usually keep in English

The following are normally spoken in English in Arab banks, trading houses, consulting firms and technology companies, even in Arabic conversation: *EBITDA, CAPEX, OPEX, KPI, OKR, ROI, IRR, NPV, CRM, ERP, KYC, AML, L/C, SBLC, B/L, FOB, CIF, DDP, SWIFT, IBAN, LIBOR/SOFR, IPO, SPV, NDA, MoU, LOI, due diligence, pipeline, forecast, deal, closing, onboarding, compliance, cash flow, working capital, pitch deck, term sheet.*

> **PROFESSIONAL INSIGHT · Practical advice**
>
> In a meeting in Riyadh, Dubai, Beirut or Cairo you might hear: «قبل ما نوقّع الـ cash flow نحتاج نشوف الـ term sheet». In a regulator's circular or a court document the same idea would be written: «يجب دراسة التدفقات النقدية قبل توقيع ورقة الشروط». Learn both registers.

How Knowledge Is Classified in This Book

Business rules come from very different sources with very different authority. Beginners often treat a market convention as if it were law, or a single bank's policy as if it were a global standard. This collection labels the source of a rule wherever it matters.

Category	What it is	Examples	How binding?
Global principle	An economic or accounting logic true everywhere	Double entry; time value of money; supply and demand	Universal logic, not law
International standard	Rules published by a standard-setter, binding only when adopted by law or incorporated by contract	IFRS (IFRS Foundation/IASB); UCP 600, URC 522, URDG 758, Incoterms® 2020 (ICC); Basel III (BCBS)	Binding when a law adopts it (IFRS in many countries) or a contract incorporates it (UCP 600 in an L/C)
Country-specific law	Statutes, regulations and court decisions of a jurisdiction	Company law, insolvency law, customs tariffs, tax law, labour law	Binding within that jurisdiction
Regulatory requirement	Rules of a supervisor in a jurisdiction	Central bank capital and liquidity rules, AML regulations	Binding on regulated entities
Industry practice	How most participants actually behave	Payment terms of 30–90 days in B2B; 2-business-day spot FX settlement	Not binding unless contracted; departures need negotiation
Contractual convention	Standard clauses and forms widely used	Standard commodity contracts, master agreements (e.g., ISDA for derivatives)	Binding only if signed/incorporated
Institution-specific requirement	A bank's or company's internal policy	A bank's minimum DSCR of 1.25×; a company's approval matrix	Binding inside that institution only
Transaction-specific term	Whatever the parties agree in this deal	Price, quantity, tolerance, deadlines	Binding on the parties

COMMON MISTAKES · Common mistakes

- Saying "the law requires a letter of credit to be paid in 5 days". UCP 600 gives banks a maximum of five banking days *to examine documents*; it is a set of ICC rules that applies because the credit incorporates it, not a statute.
- Assuming IFRS and US GAAP give the same answer. They often do not (inventory methods, development costs, impairment reversals).
- Treating a bank's internal credit criteria as "the rules". A different bank may accept the same client on different terms.

The Map of Business: How Everything Connects

A business is a system that converts **capital** into **assets and capabilities**, uses them to deliver **value to customers**, collects **cash**, and returns more capital to its owners and lenders than it consumed. Every part of this collection explains one piece of that loop.

Flow	Question	Where in the collection
Capital in	Where does the money come from?	Banking (VI), Corporate finance (IV), Capital markets (X), Startups (XIII)
Capital deployed	What assets and people does it buy?	Procurement (IX), Management (XIV), Technology (XVI)
Value created	What do customers pay for and why?	Business models (II), Sales & marketing (VIII), Strategy (XIV, XXII)
Goods and services delivered	How does the product reach the customer?	Operations & supply chain (II, IX), International trade (VII)
Cash collected	How and when does money arrive?	Payments & trade finance (VI, VII), Treasury (XVIII)
Results measured	Did it work?	Accounting (III), Ratios (III, XX), Management reporting (XIV)
Risks controlled	What could go wrong?	Risk & insurance (XV), Law (XII), Compliance (VI)
Environment	What outside forces change the numbers?	Economics (V), Commodities (XI), News & reports (XXI)
Capital returned	Did owners and lenders get paid?	Dividends & valuation (IV), Exits (XIII), Investing (X)

بالعربية — خريطة عالم الأعمال

الشركة نظام يحوّل رأس المال إلى أصول وقدرات، ثم يستخدمها لتقديم قيمة للعملاء، ويحصّل النقد، ثم يعيد إلى المالكين والمقرضين أكثر مما استهلك. كل جزء من هذه الموسوعة يشرح حلقة من هذه الدائرة: من أين يأتي المال، وكيف يُستثمر، وكيف تُخلق القيمة، وكيف تُسلَّم البضائع والخدمات، وكيف يُحصَّل النقد، وكيف تُقاس النتائج، وكيف تُدار المخاطر، وما العوامل الخارجية التي تؤثر في كل ذلك.

What “thinking like a professional” means

Throughout the collection you will see contrasts between how a **graduate** and an **experienced professional** approach the same problem. The recurring differences are:

1. **Cash before profit.** Professionals ask “when do we get paid, and what do we need to fund until then?” before “what is the margin?”.
2. **Downside before upside.** They ask what happens if the counterparty does not pay, the ship is late, the currency moves or the key customer leaves.
3. **Documents and evidence.** They rely on what can be proven: signed contracts, presented documents, audited numbers, confirmed balances.
4. **Incentives.** They ask who benefits from each clause, number and recommendation.
5. **Second-order effects.** A price cut increases volume, which increases inventory, which consumes cash, which requires borrowing, which increases interest cost and covenant pressure.
6. **Precise language.** They distinguish revenue from cash, a guarantee from collateral, a quotation from an offer, an estimate from a fact.

Keep these six habits in mind as you read. Chapter 129 (Volume 8) returns to them in depth.

PART I

The Language of Business

لغة الأعمال

Part I builds the vocabulary used throughout the collection. It is organised by domain rather than alphabetically, because terms are easier to learn in clusters that share a logic: profit terms together, credit terms together, shipping terms together. The alphabetical index and the full English–Arabic glossary are in Volume 10, and every volume has its own index.

Each important term has a **term card**: English term, Arabic equivalent, acronym, definition, Arabic explanation, why it matters, how it is used in practice, an example, a sentence a professional might actually say or write, related terms, and the distinctions beginners most often miss. Shorter **quick-reference tables** follow each domain for additional terms that need only a definition.

The first chapter is deliberately different. It takes the twenty-one terms that cause the most confusion in meetings — revenue, profit, cash and return measures — and builds them from a single numerical example so that you can see exactly how they relate.

LEARNING OBJECTIVES · **Learning objectives for Part I**

- Use more than 450 business terms correctly in English, with their Arabic equivalents.
- Distinguish commonly confused pairs (revenue vs cash, margin vs markup, guarantee vs collateral, quotation vs offer, FOB vs CIF, liquidity vs solvency, and many more).
- Recognise which terms belong to which professional community, and what a speaker using them is likely to be thinking about.

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CHAPTER 1

The Core Financial Vocabulary: From Revenue to Return on Equity

LEARNING OBJECTIVES · In this chapter

You will see one fictional company's year expressed through 21 core terms. By the end you should be able to explain why "sales were strong but we ran out of cash" is not a contradiction, and why "margin" and "markup" on the same deal give different percentages.

1.1 The reference company: Cedar Line Trading LLC (fictional)

Cedar Line Trading LLC (fictional) imports kitchen equipment and sells it to hotels and restaurants. All figures are in US dollars for its financial year.

Item	Amount (USD)	Comment
Invoiced sales to customers	12,400,000	Gross invoiced value before returns and discounts
Returns and volume rebates	(400,000)	Deducted to reach net revenue
Net revenue	**12,000,000**	
Cost of goods sold (COGS)	(8,400,000)	Purchase cost of goods sold + inbound freight + duties
Gross profit	**3,600,000**	Gross margin 30%
Salaries, rent, marketing, IT (operating expenses excl. D&A)	(2,100,000)	
EBITDA	**1,500,000**	
Depreciation and amortisation (D&A)	(300,000)	Warehouse equipment, vehicles, software
EBIT / Operating profit	**1,200,000**	
Interest expense	(400,000)	Bank facilities
Profit before tax	**800,000**	
Income tax (assume 15%)	(120,000)	Illustrative rate
Net income	**680,000**	Net margin 5.7%

Balance-sheet and cash information for the same year:

Item	Start of year	End of year
Accounts receivable	1,500,000	2,600,000
Inventory	1,800,000	2,700,000
Accounts payable	1,100,000	1,300,000
Total debt	3,000,000	4,200,000
Shareholders' equity	3,800,000	4,280,000
Capital expenditure during year	—	500,000
Dividends paid	—	200,000

Keep these numbers in view: every term card below refers to them.

1.2 Revenue, sales and turnover

Revenue	الإيرادات
DEFINITION	The income a business earns from its ordinary activities — selling goods, providing services, earning fees or interest — measured at the amount it expects to be entitled to, after deducting returns, discounts and rebates. Under IFRS 15 and ASC 606, revenue is recognised when control of goods or services passes to the customer, not when cash is received.
بالعربية	الإيرادات هي ما تكسبه المنشأة من نشاطها المعتاد مثل بيع البضائع أو تقديم الخدمات، بعد خصم المرتجعات والخصومات والحسومات. وتُسجَّل الإيرادات عند انتقال السيطرة على البضاعة أو الخدمة إلى العميل، وليس عند استلام النقد. لذلك قد تكون الإيرادات مرتفعة بينما النقد في الصندوق منخفض.
WHY IT MATTERS	Revenue is the top line: every margin is a percentage of it, many valuations use it (EV/Revenue), and growth is usually measured on it. But revenue is an accounting measure of entitlement, not cash.
IN PRACTICE	Analysts track revenue growth, mix (by product, customer, region) and quality (recurring vs one-off). Bankers check revenue concentration: a borrower with 60% of revenue from one customer is riskier.
EXAMPLE	Cedar Line invoiced $12.4m but net revenue is $12.0m after $0.4m of returns and rebates.
PROFESSIONAL USAGE	*“Revenue grew 18% year on year, but most of the growth came from two hotel chains on 90-day terms, so cash conversion has weakened.”*
RELATED TERMS	Sales; turnover; top line; gross revenue; net revenue; recurring revenue; deferred revenue; revenue recognition.
DON'T CONFUSE	Revenue ≠ cash received (customers may not have paid). Revenue ≠ profit (costs are not yet deducted). “Gross revenue” before deductions differs from “net revenue”.

Sales	المبيعات
DEFINITION	The value of goods or services sold to customers in a period. In financial statements “sales” is normally a synonym for revenue from selling goods; in commercial conversation it can also mean the volume of units sold, the value of orders, or the sales department itself.
بالعربية	المبيعات هي قيمة البضائع أو الخدمات المبيعة خلال فترة معيّنة. في القوائم المالية تُستخدم غالباً بمعنى الإيرادات من بيع البضائع، أما في الحديث التجاري فقد تعني عدد الوحدات المبيعة، أو قيمة الطلبات، أو قسم المبيعات نفسه.
WHY IT MATTERS	Because “sales” is used loosely, you must check which meaning a speaker intends — booked orders, invoiced sales or recognised revenue can differ substantially.
IN PRACTICE	A sales director may report “sales of $3m this month” meaning orders signed; finance will only recognise revenue when goods are delivered.
EXAMPLE	Cedar Line’s sales team signed orders of $13.1m during the year; $12.4m was invoiced; $12.0m is net revenue.
PROFESSIONAL USAGE	*“Can you confirm whether the $3m sales figure is bookings or invoiced revenue?”*
RELATED TERMS	Bookings; orders; billings; revenue; sales volume; sales mix.
DON'T CONFUSE	Bookings (contracts signed) → billings (invoices issued) → revenue (recognised) → cash (collected). Each can be different in the same month.

Turnover	**رقم الأعمال / حجم المبيعات**
DEFINITION	In British and Commonwealth usage, the total revenue of a business in a period. The same word also describes the rate at which something is replaced or used up: inventory turnover, asset turnover, staff turnover.
بالعربية	في الاستخدام البريطاني يعني «رقم الأعمال» إجمالي إيرادات المنشأة خلال الفترة. وتُستخدم الكلمة أيضاً للدلالة على معدل الدوران، مثل معدل دوران المخزون أو معدل دوران الأصول أو معدل دوران الموظفين.
WHY IT MATTERS	Thresholds in law and regulation (company size categories, VAT registration, audit exemption) are often expressed in “turnover” in jurisdictions influenced by UK drafting.
IN PRACTICE	“Annual turnover of AED 50m” in a tender pre-qualification simply means revenue. “Inventory turnover of 4×” means the stock is sold and replaced four times a year.
EXAMPLE	Cedar Line’s turnover is $12.0m; its inventory turnover is COGS ÷ average inventory = 8.4 ÷ 2.25 = 3.7×.
PROFESSIONAL USAGE	*“The tender requires a minimum turnover of $10m over each of the last three years.”*
RELATED TERMS	Revenue; inventory turnover; asset turnover; receivables turnover; staff turnover.
DON'T CONFUSE	Do not confuse “turnover” (revenue) with “staff turnover” (employee attrition) or with “turnover ratios” (efficiency measures).

1.3 Profit layers: gross profit to net income

The income statement is a staircase: each step deducts another category of cost. Each step answers a different question.

Step	Question it answers	Who cares most
Gross profit	Do we sell above the direct cost of what we sell?	Pricing, procurement, product managers
EBITDA	Does the core business generate operating earnings before investment and financing choices?	Bankers, private equity, valuation
EBIT / operating profit	After wear-and-tear of assets, is the business profitable?	Management, analysts
Profit before tax	After the cost of debt?	Lenders, tax
Net income	What is left for shareholders?	Shareholders, dividends, EPS

Gross profit (GP) مجمل الربح

DEFINITION	Revenue minus cost of goods sold (or cost of sales). It measures what remains from sales after the direct cost of the products or services delivered, before overheads.
بالعربية	مجمل الربح هو الإيرادات مطروحاً منها تكلفة البضاعة المبيعة (أو تكلفة المبيعات). يقيس ما يتبقى من المبيعات بعد تغطية التكلفة المباشرة للمنتجات أو الخدمات، وقبل المصاريف العامة والإدارية.
WHY IT MATTERS	Gross margin shows pricing power and procurement efficiency. A business with a thin gross margin has little room to absorb overheads, freight increases or discounts.
IN PRACTICE	Traders and distributors manage obsessively to gross margin per deal; software companies report gross margins of 70–85% because the cost of serving one more customer is low.
EXAMPLE	Cedar Line: 12.0m − 8.4m = $3.6m gross profit; gross margin = 3.6 ÷ 12.0 = 30%.
PROFESSIONAL USAGE	*“If we accept the 5% discount, our gross margin on this account drops from 30% to about 26%.”*
RELATED TERMS	Cost of goods sold; gross margin; contribution margin; markup.
DON'T CONFUSE	Gross profit uses COGS; contribution margin subtracts all variable costs (including variable selling costs such as commissions and delivery). They are close but not identical.

Operating profit (EBIT) الربح التشغيلي

DEFINITION	Profit from the company’s core operations after deducting cost of sales and all operating expenses, including depreciation and amortisation, but before interest and tax. Often used interchangeably with EBIT (earnings before interest and taxes), although EBIT may include non-operating items such as gains on asset sales.
بالعربية	الربح التشغيلي هو الربح الناتج عن النشاط الأساسي بعد خصم تكلفة المبيعات وجميع المصاريف التشغيلية بما فيها الإهلاك والإطفاء، وقبل الفوائد والضرائب. يُستخدم غالباً بمعنى الأرباح قبل الفوائد والضرائب (EBIT)، مع أن EBIT قد يشمل بنوداً غير تشغيلية كأرباح بيع الأصول.
WHY IT MATTERS	Operating profit is independent of how the company is financed, so it allows comparison between companies with different debt levels. Interest cover = EBIT ÷ interest.
IN PRACTICE	Management bonuses are often tied to operating profit; lenders compute interest cover from it.
EXAMPLE	Cedar Line: EBITDA 1.5m − D&A 0.3m = EBIT 1.2m; operating margin 10%; interest cover = 1.2 ÷ 0.4 = 3.0×.
PROFESSIONAL USAGE	*“Operating profit was flat because the gross-margin gain was offset by higher warehouse costs.”*
RELATED TERMS	EBIT; EBITDA; operating margin; interest cover; operating leverage.
DON'T CONFUSE	Operating profit excludes interest; net income includes it. EBIT may include one-off non-operating gains — check the definition in each report.

EBITDA (EBITDA)	**الأرباح قبل الفوائد والضرائب والإهلاك والإطفاء**
DEFINITION	Earnings before interest, taxes, depreciation and amortisation. Operating profit with the non-cash charges for depreciation and amortisation added back. It is a proxy for operating cash earnings before investment, working capital changes, interest and tax.
بالعربية	هي الأرباح قبل خصم الفوائد والضرائب والإهلاك والإطفاء. تمثّل الربح التشغيلي مضافاً إليه الإهلاك والإطفاء لأنهما مصروفان غير نقديين. تُعدّ مؤشراً تقريبياً للأرباح النقدية التشغيلية، لكنها لا تساوي التدفق النقدي لأنها تتجاهل الاستثمارات الرأسمالية وتغيّرات رأس المال العامل والضرائب.
WHY IT MATTERS	EBITDA is the basis for leverage covenants (Net debt ÷ EBITDA), valuation multiples (EV ÷ EBITDA) and private-equity pricing. It is not defined by IFRS or US GAAP, so companies define it themselves.
IN PRACTICE	"Adjusted EBITDA" adds back items management considers one-off. Lenders define EBITDA precisely in the facility agreement to prevent creative adjustments.
EXAMPLE	Cedar Line: EBITDA $1.5m; net debt (assume cash 0.4m) = 4.2 − 0.4 = 3.8m; leverage = 3.8 ÷ 1.5 = 2.5×.
PROFESSIONAL USAGE	*"The bank's covenant is net debt to EBITDA below 3.0×, so we have headroom of about 0.5× turns."*
RELATED TERMS	Adjusted EBITDA; EBITDAR; EBIT; leverage ratio; EV/EBITDA; covenant.
DON'T CONFUSE	EBITDA ≠ cash flow. A company with rising receivables and inventory can have strong EBITDA and negative operating cash flow — exactly Cedar Line's situation (see the reconciliation at the end of this chapter).

EBIT (EBIT)	**الأرباح قبل الفوائد والضرائب**
DEFINITION	Earnings before interest and taxes: net income with interest expense and income tax added back. Measures profitability from operations (and sometimes non-operating items) independent of capital structure and tax regime.
بالعربية	الأرباح قبل الفوائد والضرائب، أي صافي الدخل مضافاً إليه مصروف الفائدة وضريبة الدخل. يقيس الربحية بغضّ النظر عن هيكل التمويل والنظام الضريبي.
WHY IT MATTERS	Used in interest cover, return on capital employed and EV/EBIT valuation. Unlike EBITDA it charges depreciation, so it reflects capital intensity.
IN PRACTICE	For asset-heavy businesses (shipping, manufacturing) analysts prefer EV/EBIT to EV/EBITDA because depreciation is a real economic cost of replacing assets.
EXAMPLE	Cedar Line: 680k + 120k tax + 400k interest = $1.2m.
PROFESSIONAL USAGE	*"On an EBIT basis the target trades at 11×, which isn't cheap for an asset-heavy business."*
RELATED TERMS	Operating profit; EBITDA; ROCE; interest cover.
DON'T CONFUSE	EBIT charges depreciation; EBITDA does not. For a software firm the gap is small; for an airline it is huge.

Net income (NI)	**صافي الدخل**
DEFINITION	The profit remaining after all expenses, interest, taxes and minority interests have been deducted. Also called net profit, net earnings or the bottom line. It belongs to the shareholders and is the source of dividends and retained earnings.
بالعربية	صافي الدخل هو الربح المتبقّي بعد خصم جميع المصاريف والفوائد والضرائب. يُسمّى أيضاً صافي الربح أو «السطر الأخير»، وهو حق للمساهمين ومصدر توزيعات الأرباح والأرباح المحتجزة.
WHY IT MATTERS	Earnings per share (EPS), price-to-earnings ratios and return on equity all use net income. It is what accounting says the owners earned.
IN PRACTICE	Equity investors focus on net income and EPS; lenders care more about EBITDA and cash flow.
EXAMPLE	Cedar Line: $680,000; net margin 5.7%.
PROFESSIONAL USAGE	*“Net income was hit by higher interest costs, even though operating profit improved.”*
RELATED TERMS	Net profit; bottom line; EPS; retained earnings; dividend payout.
DON'T CONFUSE	Net income ≠ cash generated. It includes non-cash items (depreciation, provisions) and ignores working-capital investment and capex.

1.4 Cash flow, working capital, CAPEX and OPEX

Cash flow	**التدفق النقدي**
DEFINITION	The movement of cash into and out of a business in a period. The cash flow statement separates operating cash flow (from trading), investing cash flow (capex, acquisitions, asset sales) and financing cash flow (borrowing, repayments, equity, dividends).
بالعربية	التدفق النقدي هو حركة النقد الداخل إلى المنشأة والخارج منها خلال فترة. تُقسَم قائمة التدفقات النقدية إلى: تدفقات من الأنشطة التشغيلية، ومن الأنشطة الاستثمارية (شراء الأصول وبيعها)، ومن الأنشطة التمويلية (الاقتراض والسداد وزيادة رأس المال والتوزيعات).
WHY IT MATTERS	Companies fail when they run out of cash, not when they report losses. Salaries, suppliers, tax and interest are paid in cash.
IN PRACTICE	Bankers build cash flow forecasts to test whether a borrower can service debt. Treasurers forecast weekly cash. Investors value companies on free cash flow.
EXAMPLE	See the reconciliation at the end of this chapter: Cedar Line has net income of $680k but operating cash flow of about −$820k.
PROFESSIONAL USAGE	*“We need more visibility on cash flow for the next 13 weeks before we commit to the new warehouse.”*
RELATED TERMS	Operating cash flow; free cash flow; cash conversion; liquidity; burn rate.
DON'T CONFUSE	Cash flow ≠ profit. Timing (credit terms), non-cash items and investment spending separate them.

Working capital (WC) رأس المال العامل

DEFINITION	Current assets minus current liabilities. In operational finance, “net working capital” or “trade working capital” usually means accounts receivable + inventory − accounts payable: the cash tied up in the operating cycle.
بالعربية	رأس المال العامل هو الأصول المتداولة مطروحاً منها الالتزامات المتداولة. وفي الإدارة المالية التشغيلية يُقصد به غالباً: الذمم المدينة + المخزون − الذمم الدائنة، أي النقد المحتجز في الدورة التشغيلية.
WHY IT MATTERS	Growing companies need more working capital: more stock and more customer credit. If this is not financed, the company runs out of cash while growing profitably.
IN PRACTICE	Banks finance working capital through overdrafts, revolving facilities, receivables finance and trade finance. Treasurers aim to shorten the cash conversion cycle.
EXAMPLE	Cedar Line trade working capital: start 1.5 + 1.8 − 1.1 = $2.2m; end 2.6 + 2.7 − 1.3 = $4.0m; increase $1.8m absorbed cash.
PROFESSIONAL USAGE	*“The new contract needs about $1.5m of extra working capital because the client pays at 90 days.”*
RELATED TERMS	Cash conversion cycle; DSO; DIO; DPO; liquidity; current ratio; working capital facility.
DON'T CONFUSE	Accountants’ working capital (all current items, including cash and short-term debt) differs from operational trade working capital. Always ask which definition is used.

Capital expenditure (CAPEX) النفقات الرأسمالية

DEFINITION	Spending on long-lived assets — property, plant, equipment, vehicles, major software — that will benefit more than one year. Capex is recorded as an asset on the balance sheet and expensed gradually through depreciation or amortisation.
بالعربية	النفقات الرأسمالية هي الإنفاق على أصول طويلة الأجل مثل العقارات والآلات والمعدّات والمركبات والبرمجيات الكبيرة التي تفيد المنشأة لأكثر من سنة. تُسجَّل كأصل في الميزانية ثم تُحمَّل على المصاريف تدريجياً عبر الإهلاك أو الإطفاء.
WHY IT MATTERS	Capex consumes cash immediately but hits profit slowly; EBITDA ignores it entirely. Capital-intensive businesses need high EBITDA just to stand still.
IN PRACTICE	Distinguish maintenance capex (replacing worn assets) from growth capex (expanding capacity). Lenders may restrict capex in covenants.
EXAMPLE	Cedar Line spent $500k on forklifts and racking; only $100k depreciation of it hits this year’s profit (5-year life).
PROFESSIONAL USAGE	*“We’re proposing $2m of growth capex for the second warehouse; maintenance capex stays at about $300k.”*
RELATED TERMS	OPEX; depreciation; free cash flow; capital budgeting; fixed assets.
DON'T CONFUSE	Capex = asset now, expense later; OPEX = expense now. Leasing can convert capex-like spending into lease payments (though IFRS 16 puts most leases on balance sheet).

Operating expenditure (OPEX)	النفقات التشغيلية
DEFINITION	Ongoing costs of running the business that are expensed in the period they are incurred: salaries, rent, utilities, marketing, software subscriptions, maintenance, travel.
بالعربية	النفقات التشغيلية هي التكاليف الجارية لتشغيل المنشأة، وتُحمَّل على المصاريف في الفترة نفسها، مثل الرواتب والإيجار والمرافق والتسويق واشتراكات البرمجيات والصيانة والسفر.
WHY IT MATTERS	Opex determines operating leverage: high fixed opex means profit swings sharply with revenue.
IN PRACTICE	Cloud computing shifted IT from capex (servers) to opex (subscriptions); budgets are usually split into opex and capex lines with separate approval.
EXAMPLE	Cedar Line opex excluding D&A: $2.1m.
PROFESSIONAL USAGE	*"Moving to SaaS turns this into opex, which is easier to approve than a capex request."*
RELATED TERMS	CAPEX; SG&A; fixed costs; overheads; operating leverage.
DON'T CONFUSE	Opex ≠ COGS. COGS is directly linked to goods sold; opex is the cost of running the organisation.

1.5 Receivables, payables, liquidity, solvency and leverage

Accounts receivable (AR)	الذمم المدينة
DEFINITION	Amounts owed to the business by customers for goods or services delivered on credit and not yet paid. A current asset.
بالعربية	الذمم المدينة هي المبالغ المستحقة للمنشأة على العملاء مقابل بضائع أو خدمات سُلِّمت بالآجل ولم تُدفع بعد، وهي من الأصول المتداولة.
WHY IT MATTERS	Receivables are revenue that has not become cash. They carry credit risk (non-payment) and tie up working capital.
IN PRACTICE	Credit controllers chase overdue invoices; banks lend against receivables (factoring, invoice discounting); analysts track days sales outstanding.
EXAMPLE	Cedar Line receivables rose from $1.5m to $2.6m. DSO = 2.6 ÷ 12.0 × 365 ≈ 79 days.
PROFESSIONAL USAGE	*"Receivables over 90 days are now 14% of the book; we need to tighten credit limits."*
RELATED TERMS	DSO; ageing report; bad debt; factoring; credit limit; trade credit insurance.
DON'T CONFUSE	Receivables (owed to us) vs payables (we owe). Note receivable = a formal written promise, unlike an ordinary trade receivable.

Accounts payable (AP) الذمم الدائنة

DEFINITION	Amounts the business owes to suppliers for goods or services received on credit and not yet paid. A current liability.
بالعربية	الذمم الدائنة هي المبالغ المستحقة على المنشأة للموردين مقابل بضائع أو خدمات استلمتها بالآجل ولم تدفع ثمنها بعد، وهي من الالتزامات المتداولة.
WHY IT MATTERS	Supplier credit is interest-free financing. Extending payables improves cash flow but can damage supplier relationships or forfeit early-payment discounts.
IN PRACTICE	Treasury balances payment timing; procurement negotiates payment terms; supply chain finance programmes let suppliers get paid early by a bank.
EXAMPLE	Cedar Line payables of $1.3m on COGS of $8.4m: DPO ≈ 1.3 ÷ 8.4 × 365 ≈ 56 days.
PROFESSIONAL USAGE	*“Can we move this supplier from 30 to 60 days without losing the 2% early-payment discount on other lines?”*
RELATED TERMS	DPO; payment terms; supply chain finance; accruals.
DON'T CONFUSE	Accounts payable (invoiced) vs accrued expenses (owed but not yet invoiced).

Liquidity السيولة

DEFINITION	The ability to meet short-term obligations as they fall due, and the ease with which an asset can be converted into cash without significant loss of value.
بالعربية	السيولة هي قدرة المنشأة على الوفاء بالتزاماتها قصيرة الأجل عند استحقاقها، وتعني أيضاً سهولة تحويل الأصل إلى نقد دون خسارة كبيرة في قيمته.
WHY IT MATTERS	A company can be profitable and solvent but illiquid — unable to pay this month’s obligations — and fail.
IN PRACTICE	Measured by current ratio, quick ratio, cash on hand, undrawn facilities and cash forecasts. Banks also manage their own liquidity under regulatory ratios (LCR, NSFR).
EXAMPLE	Cedar Line has $0.4m cash and $0.6m undrawn on its overdraft: liquidity headroom $1.0m against monthly outflows of ~$0.9m — tight.
PROFESSIONAL USAGE	*“Liquidity is tight until the Q3 collections come in; let’s draw on the revolver as a buffer.”*
RELATED TERMS	Solvency; current ratio; quick ratio; cash runway; liquidity risk; market liquidity.
DON'T CONFUSE	Liquidity = short-term ability to pay; solvency = long-term ability (assets exceed liabilities, sustainable debt). “Market liquidity” means ease of trading an asset.

Solvency	الملاءة المالية
DEFINITION	The ability of a business to meet its long-term obligations; broadly, having assets worth more than liabilities and a sustainable debt burden relative to earnings.
بالعربية	الملاءة المالية هي قدرة المنشأة على الوفاء بالتزاماتها طويلة الأجل، أي أن تكون أصولها أكبر من التزاماتها وأن يكون عبء ديونها محتملاً مقارنةً بأرباحها.
WHY IT MATTERS	Insolvency triggers legal consequences: directors' duties shift towards creditors, and insolvency procedures may start. The tests differ by jurisdiction (cash-flow test vs balance-sheet test).
IN PRACTICE	Measured by debt-to-equity, net debt/EBITDA, interest cover; for banks and insurers, by regulatory capital ratios.
EXAMPLE	Cedar Line: equity $4.28m, debt $4.2m — solvent, with debt-to-equity ≈ 0.98.
PROFESSIONAL USAGE	*"The group is solvent on a balance-sheet basis, but the 2027 bond maturity is a refinancing risk."*
RELATED TERMS	Liquidity; leverage; insolvency; capital adequacy; going concern.
DON'T CONFUSE	A firm can be solvent but illiquid (valuable assets, no cash today) or liquid but heading to insolvency (cash now, unsustainable losses).

Leverage	الرافعة المالية
DEFINITION	The use of borrowed money (financial leverage) or fixed costs (operating leverage) to magnify returns. Financial leverage is measured by ratios such as debt/equity or net debt/EBITDA.
بالعربية	الرافعة المالية هي استخدام الأموال المقترضة (أو التكاليف الثابتة في حالة الرافعة التشغيلية) لتضخيم العائد. تُقاس الرافعة المالية بنسب مثل الدين إلى حقوق الملكية أو صافي الدين إلى EBITDA.
WHY IT MATTERS	Leverage increases return on equity when returns on assets exceed the cost of debt — and amplifies losses when they do not. It is the central variable in credit analysis and private equity.
IN PRACTICE	Bankers say "the company is levered 3.5 times", meaning net debt is 3.5× EBITDA. Traders talk about leverage in margin accounts.
EXAMPLE	Cedar Line: net debt/EBITDA 2.5×; debt/equity 0.98×.
PROFESSIONAL USAGE	*"Post-acquisition leverage would peak at 4.2× and fall below 3× within two years."*
RELATED TERMS	Gearing; debt-to-equity; net debt; operating leverage; covenant.
DON'T CONFUSE	Financial leverage (debt) vs operating leverage (fixed costs). In the UK "gearing" is used for financial leverage.

1.6 Margin, markup, ROI and ROE

Margin	الهامش
DEFINITION	A profit measure expressed as a percentage of revenue (selling price). Gross margin = gross profit ÷ revenue; operating margin = operating profit ÷ revenue; net margin = net income ÷ revenue.
بالعربية	الهامش هو مقياس للربح يُعبَّر عنه كنسبة مئوية من الإيرادات أو سعر البيع. مثلاً: هامش مجمل الربح = مجمل الربح ÷ الإيرادات.
WHY IT MATTERS	Margins allow comparison across sizes and periods and show how much of each dollar of revenue becomes profit.
IN PRACTICE	Traders quote deals in margin per unit (e.g., $12/tonne); retailers in gross margin %; banks in net interest margin.
EXAMPLE	Cedar Line: gross margin 30%; EBITDA margin 12.5%; operating margin 10%; net margin 5.7%.
PROFESSIONAL USAGE	*“At a 4% net margin, a 2% freight increase wipes out half the profit.”*
RELATED TERMS	Markup; contribution margin; net interest margin; spread.
DON'T CONFUSE	Margin divides profit by **selling price**; markup divides profit by **cost**. In trading, “margin” can also mean collateral posted to an exchange or broker.

Markup	نسبة الإضافة على التكلفة
DEFINITION	The amount added to cost to arrive at a selling price, expressed as a percentage of cost.
بالعربية	نسبة الإضافة على التكلفة هي المبلغ المضاف إلى التكلفة للوصول إلى سعر البيع، وتُحسب كنسبة مئوية من التكلفة لا من سعر البيع.
WHY IT MATTERS	Many businesses price with cost-plus rules; confusing markup with margin leads to underpricing.
IN PRACTICE	“Cost plus 25%” is a markup. Retailers often think in markup; finance reports margin.
EXAMPLE	An item costs $80 and sells for $100: markup = 20 ÷ 80 = 25%; margin = 20 ÷ 100 = 20%.
PROFESSIONAL USAGE	*“We need a 30% gross margin, which means a markup of about 42.9% on landed cost.”*
RELATED TERMS	Margin; cost-plus pricing; landed cost.
DON'T CONFUSE	Markup = profit/cost; margin = profit/price. Margin = markup ÷ (1 + markup); markup = margin ÷ (1 − margin).

Return on investment (ROI)	**العائد على الاستثمار**
DEFINITION	The gain (or loss) from an investment relative to its cost: ROI = (gain from investment − cost of investment) ÷ cost of investment. A flexible, non-standardised measure.
بالعربية	العائد على الاستثمار هو الربح أو الخسارة من استثمار ما منسوباً إلى تكلفته: (العائد − التكلفة) ÷ التكلفة. هو مقياس مرن غير موحّد التعريف، ولا يأخذ في الحسبان القيمة الزمنية للنقود.
WHY IT MATTERS	Used to justify projects, marketing spend and technology purchases. Because it ignores timing and is defined differently by different people, serious capital decisions also use NPV and IRR.
IN PRACTICE	“The CRM project has a three-year ROI of 140%.” Always ask over what period and on what assumptions.
EXAMPLE	A $200k automation project saves $90k a year for 3 years: ROI = (270 − 200) ÷ 200 = 35% over 3 years (undiscounted).
PROFESSIONAL USAGE	*“Before we approve this, can we see the ROI on a discounted basis and the payback period?”*
RELATED TERMS	NPV; IRR; payback; ROE; ROCE; ROA.
DON'T CONFUSE	ROI ignores the time value of money and the period length; a 35% ROI over 3 years is far worse than 35% over 1 year.

Return on equity (ROE)	**العائد على حقوق الملكية**
DEFINITION	Net income divided by average shareholders’ equity. Measures the return generated on the capital owners have invested and retained.
بالعربية	العائد على حقوق الملكية هو صافي الدخل مقسوماً على متوسط حقوق المساهمين، ويقيس العائد المتحقق على الأموال التي استثمرها المالكون واحتجزوها في المنشأة.
WHY IT MATTERS	Shareholders compare ROE to their cost of equity. ROE can be raised by better margins, faster asset turnover or more leverage (DuPont analysis) — and the last one adds risk.
IN PRACTICE	Bank analysts focus heavily on ROE versus cost of equity; investors use ROE to judge management quality.
EXAMPLE	Cedar Line: 680 ÷ ((3,800 + 4,280) ÷ 2) = 680 ÷ 4,040 = 16.8%.
PROFESSIONAL USAGE	*“ROE looks strong at 17%, but a third of that comes from leverage rather than operating performance.”*
RELATED TERMS	ROA; ROCE; ROIC; DuPont analysis; cost of equity.
DON'T CONFUSE	ROE is affected by leverage; ROA and ROIC are not (or less). A company can raise ROE by borrowing while becoming riskier.

1.7 Why Cedar Line ran short of cash: reconciling profit to cash

Cedar Line earned $680,000 of net income, yet its debt rose by $1.2m. The bridge from profit to cash shows why.

Line	USD	Explanation
Net income	680,000	
+ Depreciation and amortisation	300,000	Non-cash expense added back
– Increase in receivables	(1,100,000)	Revenue booked but not yet collected
– Increase in inventory	(900,000)	Cash paid for stock not yet sold
+ Increase in payables	200,000	Supplier credit used

Line	USD	Explanation
Operating cash flow	**(820,000)**	Negative despite profit
– Capital expenditure	(500,000)	Investing activity
Free cash flow	**(1,320,000)**	
– Dividends	(200,000)	Financing activity
+ New borrowing	1,200,000	Financing activity
Change in cash	**(320,000)**	Cash fell from $0.72m to $0.40m (assumed)

PROFESSIONAL INSIGHT · What a banker sees here

A credit officer reading these numbers would say: "Profitable, but growth is being funded by debt because DSO has stretched and inventory is building. I want to see the receivables ageing, any concentration in the two hotel chains, and whether inventory includes slow-moving stock." This is the most common pattern of distress in growing trading companies — Chapter 16 (Volume 2) analyses it in depth.

بالعربية — لماذا تنفد السيولة من شركة رابحة؟

حققت الشركة صافي ربح قدره 680 ألف دولار، لكن تدفقها النقدي التشغيلي كان سالباً بنحو 820 ألف دولار. السبب أن الذمم المدينة ارتفعت بمقدار 1.1 مليون دولار (مبيعات لم تُحصَّل بعد)، وارتفع المخزون بمقدار 900 ألف دولار (بضاعة دُفع ثمنها ولم تُبع بعد). الربح المحاسبي يُسجَّل عند البيع، أما النقد فيتأخر حتى يدفع العميل. لذلك تموّل الشركات النامية نموها بالديون، وإذا لم تُدَر الذمم والمخزون بعناية فقد تتعثر رغم ربحيتها.

1.8 Comparison table: the twenty-one core terms

Term	Formula / basis	Cash or accounting?	Main users	Typical trap
Revenue	Value of goods/services transferred, net of returns	Accounting	Everyone	Treating as cash
Sales	Goods sold; sometimes orders	Either	Sales, finance	Bookings vs revenue
Turnover	UK: revenue; also rate of replacement	Accounting	Regulators, UK firms	Staff vs revenue meaning
Gross profit	Revenue – COGS	Accounting	Pricing, procurement	Excluding freight/duties from COGS
Operating profit	GP – opex – D&A	Accounting	Management	One-off items
EBITDA	EBIT + D&A	Accounting proxy	Lenders, PE	Treating as cash; aggressive "adjustments"
EBIT	NI + interest + tax	Accounting	Analysts	Non-operating items included
Net income	All revenues – all expenses	Accounting	Shareholders	Ignoring working capital
Cash flow	Cash in – cash out	Cash	Treasury, banks	Ignoring timing
Working capital	AR + inventory – AP (trade)	Balance-sheet	Treasury, banks	Different definitions
CAPEX	Spending on long-lived assets	Cash now, expense later	Management, lenders	Ignored by EBITDA
OPEX	Running costs	Expense now	Budget owners	Confusing with COGS

Term	Formula / basis	Cash or ac-counting?	Main users	Typical trap
AR	Owed by customers	Balance-sheet	Credit control	Ageing ignored
AP	Owed to suppliers	Balance-sheet	Procurement, treasury	Over-stretching suppliers
Liquidity	Short-term ability to pay	Cash	Treasury	Confused with solvency
Solvency	Long-term ability to pay	Balance-sheet	Lenders, courts	Confused with liquidity
Leverage	Debt / EBITDA, debt / equity	Ratio	Lenders, PE	Ignoring leases, guarantees
Margin	Profit ÷ price	Ratio	Everyone	Confused with markup
Markup	Profit ÷ cost	Ratio	Pricing	Confused with margin
ROI	(Gain − cost) ÷ cost	Ratio	Project sponsors	No time period
ROE	NI ÷ avg equity	Ratio	Shareholders	Boosted by leverage

PRACTICE · Practice questions

1. A distributor buys a product for $64 and sells it for $80. Compute the markup and the margin.
2. Company A has revenue of $50m, EBITDA of $10m, D&A of $4m, interest of $2m and tax of $1m. Compute EBIT, profit before tax, net income and the EBITDA margin.
3. During a year, a company's net income is $2m, D&A $1m, receivables increase by $3m, inventory decreases by $0.5m and payables increase by $0.2m. What is operating cash flow? What would you tell the CEO?
4. In a meeting, the sales director says: "We did $4m of sales in March, so cash is fine." List three questions you should ask.
5. Company B has ROE of 24% and Company C has ROE of 15%. Under what circumstances could C be the better-run business?

ANSWER · Answers to the practice questions

1. Profit = $16. Markup = 16 ÷ 64 = **25%**. Margin = 16 ÷ 80 = **20%**. Check: margin = 0.25 ÷ 1.25 = 0.20.
2. EBIT = 10 − 4 = **$6m**; PBT = 6 − 2 = **$4m**; net income = 4 − 1 = **$3m**; EBITDA margin = 10 ÷ 50 = **20%**.
3. OCF = 2 + 1 − 3 + 0.5 + 0.2 = **$0.7m**. Message: profit converted to cash at only 35% (0.7 ÷ 2) because receivables grew by $3m. Ask why — new large customers on long terms? Overdue invoices? Review credit terms and collections before increasing sales further.
4. (a) Is $4m bookings, invoices or recognised revenue? (b) On what payment terms, and how much has been collected? (c) What did fulfilling those orders cost in inventory and supplier payments, and when are those payments due?
5. If B's ROE comes mainly from high leverage (e.g., debt/equity of 4×) while C has little debt, C may have a higher return on assets or ROIC and much lower risk. Use DuPont analysis: ROE = net margin × asset turnover × equity multiplier.

SUMMARY · Key takeaways

- Revenue, profit and cash are three different measurements of the same business; professionals always reconcile them.
- Each profit layer answers a different question and serves a different audience.
- Working capital is where growing businesses lose cash; EBITDA hides it.
- Margin and markup are different; know the conversion formulas.
- Return measures must be read together with the risk (leverage) that produces them.

CHAPTER 2

General Business and Corporate Terminology

LEARNING OBJECTIVES · In this chapter

Domain 1 (general business) and Domain 2 (corporate) vocabulary: the words used in every meeting regardless of industry, and the words that describe how companies are owned, governed and structured.

2.1 General business terminology

Business model	نموذج العمل
DEFINITION	The logic by which an organisation creates value for customers, delivers it, and captures part of that value as revenue and profit.
بالعربية	نموذج العمل هو المنطق الذي تتبعه المنشأة لخلق قيمة لعملائها وتقديمها لهم والحصول على جزء من هذه القيمة في صورة إيرادات وأرباح.
WHY IT MATTERS	Two companies in the same industry can have completely different economics because of their business models (e.g., selling software licences vs subscriptions).
IN PRACTICE	Investors ask “what is the business model?” to understand who pays, for what, how often, and what it costs to serve them.
EXAMPLE	An airline sells seats (transaction model); a freight marketplace earns a commission per booking (marketplace model).
PROFESSIONAL USAGE	*“The business model depends on repeat orders; without them the acquisition cost never pays back.”*
RELATED TERMS	Value proposition; revenue model; unit economics; Business Model Canvas.
DON'T CONFUSE	Business model ≠ business plan. The model is the logic; the plan is a document describing how to execute and finance it.

Value proposition	عرض القيمة
DEFINITION	The specific benefit a product or service promises a defined customer, and why that customer should choose it over alternatives.
بالعربية	عرض القيمة هو المنفعة المحددة التي يعد بها المنتج أو الخدمة لعميل معيّن، والسبب الذي يجعل هذا العميل يختاره بدلاً من البدائل.
WHY IT MATTERS	Without a clear value proposition, sales become price-driven and margins collapse.
IN PRACTICE	Written into proposals and pitch decks; tested in customer interviews.
EXAMPLE	“We deliver spare parts to oil-field sites within 24 hours, cutting your downtime cost.”
PROFESSIONAL USAGE	*“Our value proposition to the hotel chains is reliability of supply, not the lowest price.”*
RELATED TERMS	Positioning; unique selling proposition; customer segment; competitive advantage.
DON'T CONFUSE	Value proposition (customer benefit) vs product features (what it does). Customers buy outcomes, not features.

Stakeholder — صاحب المصلحة

DEFINITION	Any person or group that affects or is affected by an organisation's decisions: shareholders, employees, customers, suppliers, lenders, regulators, communities.
بالعربية	صاحب المصلحة هو أي شخص أو جهة تؤثّر في قرارات المنشأة أو تتأثر بها، مثل المساهمين والموظفين والعملاء والموردين والمقرضين والجهات الرقابية والمجتمع.
WHY IT MATTERS	Projects fail when a key stakeholder (e.g., the finance director or a regulator) is not consulted.
IN PRACTICE	Project managers produce stakeholder maps; executives "manage stakeholders" to secure approvals.
EXAMPLE	For a new warehouse: board (approves capex), bank (finances), municipality (permits), staff (relocation).
PROFESSIONAL USAGE	*"Before the board meeting we need to align the key stakeholders, especially the CFO."*
RELATED TERMS	Shareholder; stakeholder management; ESG; governance.
DON'T CONFUSE	Stakeholder ≠ shareholder. Shareholders own shares; stakeholders are anyone with an interest.

Fiscal year (FY) — السنة المالية

DEFINITION	The 12-month period a company uses for accounting and reporting. It may or may not coincide with the calendar year.
بالعربية	السنة المالية هي فترة الاثني عشر شهراً التي تعتمدها المنشأة لأغراض المحاسبة وإعداد التقارير، وقد لا تتطابق مع السنة الميلادية.
WHY IT MATTERS	Comparing companies requires aligning periods; tax and filing deadlines depend on the year-end.
IN PRACTICE	"FY26" for a company with a March year-end usually means the year ending March 2026 — check the convention.
EXAMPLE	A retailer may choose a January year-end to close the books after the holiday season.
PROFESSIONAL USAGE	*"Our FY26 budget assumes 12% growth over FY25."*
RELATED TERMS	Quarter (Q1–Q4); year-to-date (YTD); last twelve months (LTM); reporting period.
DON'T CONFUSE	Fiscal year (company reporting period) vs tax year (set by tax law; may differ) vs government fiscal year.

Year-to-date (YTD) — منذ بداية السنة حتى تاريخه

DEFINITION	The period from the start of the current financial year to a given date, used to report cumulative results.
بالعربية	الفترة من بداية السنة المالية الحالية حتى تاريخ معيّن، وتُستخدم لعرض النتائج التراكمية.
WHY IT MATTERS	Management compares YTD actuals with YTD budget to see whether the year is on track.
IN PRACTICE	Management reports show month, YTD and full-year forecast side by side.
EXAMPLE	By 30 June, YTD revenue is $5.8m against a YTD budget of $6.1m (−5%).
PROFESSIONAL USAGE	*"YTD we're 5% behind budget, but the pipeline for Q3 should close most of the gap."*
RELATED TERMS	MTD; QTD; LTM/TTM; run rate; full-year forecast.
DON'T CONFUSE	YTD (cumulative this year) vs LTM (last twelve months, rolling across years).

Run rate	المعدّل السنوي المتوقّع
DEFINITION	An annualised figure extrapolated from recent results, e.g., this month's revenue × 12.
بالعربية	رقم سنوي تقديري يُستنتج من النتائج الأخيرة، مثل ضرب إيرادات الشهر الحالي في 12.
WHY IT MATTERS	Useful for fast-growing or changed businesses, but it can mislead when results are seasonal or a month was exceptional.
IN PRACTICE	SaaS companies quote annual recurring revenue (ARR) run rate; cost-saving programmes quote "run-rate savings".
EXAMPLE	October revenue $400k → annual run rate $4.8m, although last year's actual revenue was $3.1m.
PROFESSIONAL USAGE	*"We exited the year at a $4.8m run rate, so FY27 revenue of $5.5m is achievable."*
RELATED TERMS	ARR; annualised; LTM; extrapolation.
DON'T CONFUSE	Run rate is an extrapolation, not a result. Always ask which period it is based on.

Economies of scale	وفورات الحجم
DEFINITION	The reduction in average cost per unit as output increases, because fixed costs are spread over more units and larger buyers obtain better terms.
بالعربية	انخفاض متوسط تكلفة الوحدة كلما زاد حجم الإنتاج، لأن التكاليف الثابتة تتوزع على عدد أكبر من الوحدات ولأن المشترين الكبار يحصلون على شروط أفضل.
WHY IT MATTERS	Scale advantages create competitive moats and explain consolidation in shipping, retail and banking.
IN PRACTICE	Used to justify mergers and capacity expansions.
EXAMPLE	A factory with $2m fixed cost: at 100k units fixed cost per unit is $20; at 200k units it is $10.
PROFESSIONAL USAGE	*"The merger gives us economies of scale in procurement — we expect 3% savings on raw materials."*
RELATED TERMS	Fixed cost; operating leverage; economies of scope; moat.
DON'T CONFUSE	Economies of scale (more of the same) vs economies of scope (cost advantages from producing related products together).

Market share	الحصة السوقية
DEFINITION	A company's sales as a percentage of total sales in a defined market.
بالعربية	نسبة مبيعات الشركة من إجمالي مبيعات سوق محدَّد.
WHY IT MATTERS	Higher share often brings pricing power and scale; the definition of the "market" determines the number.
IN PRACTICE	Strategy decks and competition authorities both rely on market-share analysis.
EXAMPLE	Industry sales $500m; company sales $75m → 15% share.
PROFESSIONAL USAGE	*"We hold 15% of the GCC commercial kitchen market, up from 12% last year."*
RELATED TERMS	Total addressable market (TAM); market size; concentration; competitive position.
DON'T CONFUSE	Share by value (revenue) can differ from share by volume (units).

Overheads	المصاريف العامة غير المباشرة
DEFINITION	Ongoing business costs not directly tied to producing a specific product or service: rent, administration, management salaries, insurance, utilities.
بالعربية	التكاليف المستمرة التي لا ترتبط مباشرة بإنتاج منتج أو خدمة بعينها، مثل الإيجار والإدارة ورواتب المديرين والتأمين والمرافق.
WHY IT MATTERS	Overheads must be covered by gross profit; allocating them correctly affects product profitability decisions.
IN PRACTICE	Cost accountants allocate overheads to products or departments; managers try to keep overheads flat as revenue grows.
EXAMPLE	A consultancy's overheads of $1.2m must be covered before any project margin becomes profit.
PROFESSIONAL USAGE	*"Overheads are growing faster than revenue — we need to look at headcount in support functions."*
RELATED TERMS	Indirect cost; SG&A; fixed cost; overhead absorption.
DON'T CONFUSE	Overheads (indirect) vs direct costs (traceable to a product, e.g., materials).

Benchmark	المؤشر المرجعي / المقارنة المعيارية
DEFINITION	A standard or point of reference against which performance, prices or practices are compared.
بالعربية	معيار أو نقطة مرجعية تُقارن بها النتائج أو الأسعار أو الممارسات.
WHY IT MATTERS	Benchmarks turn numbers into judgements: a 6% margin is good or bad only relative to peers.
IN PRACTICE	Benchmarking studies compare costs against peers; in markets, benchmarks are reference prices (e.g., Brent crude) or indices.
EXAMPLE	Peer distributors earn 4–6% EBIT margins; ours is 3.1%, below benchmark.
PROFESSIONAL USAGE	*"Our cost-to-serve is 20% above the industry benchmark."*
RELATED TERMS	KPI; peer group; index; best practice.
DON'T CONFUSE	An internal target is not a benchmark; benchmarks come from external comparison.

Due diligence (DD)	العناية الواجبة / الفحص النافي للجهالة
DEFINITION	A structured investigation of a company, asset, counterparty or transaction before committing, to verify facts and uncover risks.
بالعربية	تحقيق منظّم في شركة أو أصل أو طرف مقابل أو صفقة قبل الالتزام بها، للتحقق من المعلومات وكشف المخاطر. يُسمّى في بعض الأنظمة الخليجية «الفحص النافي للجهالة».
WHY IT MATTERS	Most of the value of a deal is protected or lost in due diligence: hidden debts, litigation, tax exposures, overstated revenue.
IN PRACTICE	Types: financial, legal, tax, commercial, technical, environmental, IT, KYC due diligence on counterparties.
EXAMPLE	DD reveals that 40% of a target's revenue comes from a contract expiring in six months; price is renegotiated.
PROFESSIONAL USAGE	*"The offer is non-binding and subject to satisfactory due diligence."*
RELATED TERMS	Data room; disclosure; representations and warranties; KYC.
DON'T CONFUSE	DD (investigation before) vs audit (periodic verification of financial statements).

Memorandum of understanding (MoU)	**مذكرة التفاهم**
DEFINITION	A document recording the intentions and main terms agreed between parties, usually expressed to be non-binding except for specific clauses (confidentiality, exclusivity, governing law).
بالعربية	وثيقة تسجّل نوايا الأطراف والشروط الرئيسية المتفق عليها، وتكون عادةً غير ملزمة باستثناء بنود محددة كالسرية والحصرية والقانون الحاكم.
WHY IT MATTERS	Useful to align parties before investing in full contracts, but whether it is binding depends on wording and local law.
IN PRACTICE	Common in government deals, joint ventures and partnerships in the Middle East and Asia.
EXAMPLE	Two companies sign an MoU to explore a logistics joint venture, binding only on confidentiality.
PROFESSIONAL USAGE	*"Let's sign an MoU so both boards can approve the next phase."*
RELATED TERMS	Letter of intent (LOI); heads of terms; term sheet; binding vs non-binding.
DON'T CONFUSE	MoU vs contract: an MoU usually expresses intention; courts may still find it binding if it contains clear terms and intention to be bound. Get legal advice.

Quick reference: further general business terms

English	Arabic	Meaning
Bottom line	السطر الأخير / صافي الربح	Net income; also "the final result" of any discussion.
Top line	السطر الأول / الإيرادات	Revenue.
Headcount	عدد الموظفين	Number of employees (sometimes FTEs).
FTE (full-time equivalent)	ما يعادل موظفاً بدوام كامل	Workload expressed as full-time positions (two half-time staff = 1 FTE).
Deliverable	المُخرَج / ما يجب تسليمه	A defined output promised in a project or contract.
Deadline	الموعد النهائي	Final date for delivery.
Lead time	مهلة التوريد / زمن الانتظار	Time between order and delivery.
Ballpark figure	رقم تقديري تقريبي	Rough estimate.
Back-of-the-envelope	حساب سريع تقريبي	Quick rough calculation.
Rule of thumb	قاعدة عملية تقريبية	Practical heuristic, not exact.
Value chain	سلسلة القيمة	Sequence of activities that create value (Porter).
B2B / B2C / B2G	من شركة إلى شركة / إلى مستهلك / إلى حكومة	Customer type in the business model.
Going concern	مبدأ الاستمرارية	Assumption the business will continue operating for the foreseeable future.
Core business	النشاط الأساسي	Main activity generating most value.
Non-core asset	أصل غير أساسي	Asset not essential to the core business; often a divestment candidate.
Outsourcing	الاستعانة بمصادر خارجية	Contracting an external provider to perform a function.
Offshoring	النقل إلى الخارج	Moving activities to another country.

English	Arabic	Meaning
Scalability	قابلية التوسّع	Ability to grow volume without proportional cost increase.
Synergy	التآزر / التكامل	Value created when combined entities perform better than separately.
Pipeline	خط الصفقات المحتملة	Expected deals/projects not yet closed.
Win-win	مكسب للطرفين	Outcome beneficial to both sides.
Best practice	أفضل الممارسات	Method widely accepted as superior.
Track record	السجل السابق / الخبرة المثبتة	History of past performance.
Turnkey	تسليم مفتاح	Delivered complete and ready to operate.
White label	علامة بيضاء	Product made by one firm and sold under another's brand.
Cost centre / profit centre	مركز تكلفة / مركز ربح	Unit responsible for costs only / for revenue and costs.

2.2 Corporate terminology

Shareholder — المساهم / الشريك

DEFINITION	An owner of shares (equity) in a company, entitled to rights defined by law and the company's constitution: voting, dividends, and a residual claim on assets after creditors.
بالعربية	المساهم هو مالك أسهم أو حصص في شركة، وله حقوق يحددها القانون والنظام الأساسي، كحق التصويت والحصول على الأرباح الموزعة والحق المتبقي في الأصول بعد سداد الدائنين. في الشركات ذات المسؤولية المحدودة يُسمّى عادةً «الشريك».
WHY IT MATTERS	Shareholders bear the first loss and capture the upside; their rights shape control and governance.
IN PRACTICE	Majority shareholders control board appointments; minority shareholders rely on protections in shareholder agreements.
EXAMPLE	A holds 60%, B holds 40%; B negotiates veto rights over new borrowing above $5m.
PROFESSIONAL USAGE	*"Any change to the dividend policy needs a shareholder resolution."*
RELATED TERMS	Equity; share capital; shareholder agreement; minority protection; dividend.
DON'T CONFUSE	Shareholder (owner) vs director (manages/oversees) vs creditor (lender). One person can be all three.

Board of directors	مجلس الإدارة
DEFINITION	The body elected by shareholders to oversee management, set strategy, approve major decisions and protect the company's interests.
بالعربية	الهيئة التي ينتخبها المساهمون للإشراف على الإدارة التنفيذية ووضع الاستراتيجية واعتماد القرارات الكبرى وحماية مصالح الشركة.
WHY IT MATTERS	Major contracts, borrowing, acquisitions and dividends usually need board approval; banks ask for board resolutions.
IN PRACTICE	Boards act through resolutions at meetings or in writing; committees (audit, risk, remuneration) handle specialised oversight.
EXAMPLE	The bank requires a certified board resolution authorising the CEO and CFO to sign the facility agreement.
PROFESSIONAL USAGE	*"The acquisition is subject to board approval at the meeting on the 14th."*
RELATED TERMS	Executive / non-executive director; chairman; board resolution; corporate governance.
DON'T CONFUSE	Board (oversight, strategy) vs management (day-to-day execution). Some jurisdictions use two-tier boards (supervisory + management).

Chief Executive Officer (CEO)	الرئيس التنفيذي
DEFINITION	The most senior executive responsible for running the company and implementing the board's strategy.
بالعربية	أعلى منصب تنفيذي في الشركة، وهو المسؤول عن إدارتها وتنفيذ الاستراتيجية التي يقرّها مجلس الإدارة.
WHY IT MATTERS	Knowing the C-suite helps you identify decision-makers in sales, partnerships and lending.
IN PRACTICE	Other C-level roles: CFO (finance), COO (operations), CTO (technology), CIO (information), CRO (risk or revenue), CCO (commercial or compliance), CHRO (people).
EXAMPLE	A $3m software deal may need the CFO's budget approval and the CTO's technical sign-off.
PROFESSIONAL USAGE	*"We need the CFO in the room — the CEO likes the proposal but finance owns the budget."*
RELATED TERMS	C-suite; managing director; general manager; delegation of authority.
DON'T CONFUSE	"Managing Director" is the CEO equivalent in UK usage, but in investment banks it is a senior rank, not the head of the firm.

Limited liability — المسؤولية المحدودة

DEFINITION	The principle that shareholders' losses are limited to the amount they invested in the company; creditors cannot normally claim shareholders' personal assets.
بالعربية	مبدأ يقضي بأن خسارة المساهم تقتصر على المبلغ الذي استثمره في الشركة، ولا يحق للدائنين عادةً المطالبة بأمواله الشخصية.
WHY IT MATTERS	Limited liability makes it possible to take business risk without risking personal ruin. It is why lenders ask small-company owners for personal guarantees.
IN PRACTICE	Exceptions exist: personal guarantees, fraud, "piercing the corporate veil", director liability for wrongful trading — rules depend on jurisdiction.
EXAMPLE	An LLC fails owing $2m; the owner who invested $200k loses that amount, unless he signed a personal guarantee.
PROFESSIONAL USAGE	*"The bank won't lend to the new SPV without a parent company guarantee, given limited liability."*
RELATED TERMS	LLC; corporation; personal guarantee; corporate veil.
DON'T CONFUSE	Limited liability company (entity type) vs limited partnership (general partner has unlimited liability).

Holding company — الشركة القابضة

DEFINITION	A company whose main purpose is to own shares in other companies (subsidiaries) and often to control them.
بالعربية	شركة غرضها الأساسي تملّك أسهم أو حصص في شركات أخرى (شركات تابعة) والسيطرة عليها في الغالب.
WHY IT MATTERS	Group structures separate risks, hold assets in favourable jurisdictions and allow selling businesses separately. Lenders care about "structural subordination": creditors of the holding company are paid after creditors of the operating subsidiaries.
IN PRACTICE	Groups present consolidated financial statements; banks may require guarantees from subsidiaries.
EXAMPLE	XYZ Holding owns 100% of a trading company, 70% of a logistics company and 30% of a joint venture.
PROFESSIONAL USAGE	*"Debt sits at the holdco, but the cash is generated in the opcos — we need upstream guarantees."*
RELATED TERMS	Subsidiary; affiliate; parent company; consolidation; SPV; holdco/opco.
DON'T CONFUSE	Subsidiary (controlled) vs associate (significant influence, typically 20–50%) vs joint venture (joint control).

Special purpose vehicle (SPV) — الشركة ذات الغرض الخاص

DEFINITION	A legal entity created for a single, limited purpose — to hold an asset, ring-fence a project, or carry out a financing — isolating its risks from the sponsor.
بالعربية	كيان قانوني يُنشأ لغرض واحد محدد، كحيازة أصل أو عزل مشروع أو تنفيذ عملية تمويل، بهدف فصل مخاطره عن مخاطر الجهة الراعية.
WHY IT MATTERS	Project finance, securitisation, real-estate investment and many joint ventures use SPVs so lenders look only at the project's cash flows.
IN PRACTICE	Lenders take security over the SPV's assets and shares; sponsors limit exposure to their equity contribution.
EXAMPLE	A solar-farm SPV borrows $80m repaid only from electricity sales under a 25-year power purchase agreement.
PROFESSIONAL USAGE	*"The vessel will be owned by a single-ship SPV, with the loan secured on a ship mortgage."*
RELATED TERMS	Project finance; non-recourse; securitisation; holding company.
DON'T CONFUSE	SPV (single purpose, ring-fenced) vs operating subsidiary (multiple activities).

Corporate governance — حوكمة الشركات

DEFINITION	The system of rules, practices and processes by which a company is directed and controlled, balancing the interests of shareholders, management and other stakeholders.
بالعربية	منظومة القواعد والممارسات والإجراءات التي تُوجَّه بها الشركة وتُراقَب، بما يحقق التوازن بين مصالح المساهمين والإدارة وأصحاب المصلحة الآخرين.
WHY IT MATTERS	Good governance reduces fraud, improves decisions and lowers the cost of capital; investors and lenders assess it.
IN PRACTICE	Elements: board independence, committees, internal audit, delegation of authority, disclosure, related-party controls. Frameworks include the G20/OECD Principles of Corporate Governance and national codes.
EXAMPLE	A family company adds two independent directors and an audit committee before seeking private-equity investment.
PROFESSIONAL USAGE	*"The investors' main concern is governance — related-party transactions with the founder's other companies."*
RELATED TERMS	Board; audit committee; internal control; related party; ESG.
DON'T CONFUSE	Governance (direction and control) vs management (execution) vs compliance (adherence to rules).

Articles of association — النظام الأساسي / عقد التأسيس

DEFINITION	The company's constitutional document setting rules for share classes, shareholder meetings, board powers, transfers of shares and other internal matters (names vary: bylaws, memorandum and articles, statutes).
بالعربية	الوثيقة التأسيسية للشركة التي تحدد قواعد فئات الأسهم واجتماعات المساهمين وصلاحيات مجلس الإدارة ونقل ملكية الأسهم وغيرها من الأمور الداخلية. تختلف التسمية حسب البلد.
WHY IT MATTERS	Banks and counterparties check the articles to confirm who can sign and what approvals are needed.
IN PRACTICE	KYC files include certified copies of constitutional documents; M&A lawyers review transfer restrictions.
EXAMPLE	The articles require a 75% shareholder vote to sell the main asset.
PROFESSIONAL USAGE	*"Please send the latest certified articles and the commercial registration certificate for our KYC file."*
RELATED TERMS	Memorandum of association; bylaws; commercial registration; shareholder agreement.
DON'T CONFUSE	Articles (public constitutional document) vs shareholder agreement (private contract between shareholders).

Dividend — توزيعات الأرباح

DEFINITION	A distribution of a company's profits to its shareholders, usually in cash and in proportion to shareholdings.
بالعربية	توزيع جزء من أرباح الشركة على المساهمين، نقداً في الغالب، بنسبة ما يملكه كل منهم.
WHY IT MATTERS	Dividends return cash to owners but reduce cash available for growth or debt service; laws usually restrict dividends to distributable profits, and loan covenants may limit them.
IN PRACTICE	Expressed per share or as a payout ratio; "interim" and "final" dividends.
EXAMPLE	Net income $680k; payout ratio 30% → dividend $204k.
PROFESSIONAL USAGE	*"The facility restricts dividends while leverage is above 2.5×."*
RELATED TERMS	Payout ratio; retained earnings; dividend yield; share buyback.
DON'T CONFUSE	Dividend (distribution of profit) vs return of capital vs salary/management fee to an owner-manager.

Share capital	رأس المال
DEFINITION	The amount contributed by shareholders in exchange for shares, recorded in equity. Authorised capital is the maximum allowed; issued/paid-up capital is what has actually been issued and paid.
بالعربية	المبلغ الذي ساهم به المساهمون مقابل الأسهم، ويُسجَّل ضمن حقوق الملكية. رأس المال المصرّح به هو الحد الأقصى المسموح، والمدفوع هو ما أُصدر وسُدّد فعلاً.
WHY IT MATTERS	Some jurisdictions set minimum capital for certain activities; banks look at paid-up capital as a sign of shareholder commitment.
IN PRACTICE	Increases in capital are made by rights issues, new investors or capitalising shareholder loans.
EXAMPLE	Paid-up capital AED 1m; shareholders also provided AED 3m of shareholder loans.
PROFESSIONAL USAGE	*"We could convert part of the shareholder loan into capital to strengthen the balance sheet before the bank review."*
RELATED TERMS	Equity; paid-up capital; retained earnings; shareholder loan.
DON'T CONFUSE	Share capital ≠ total equity (equity also includes retained earnings and reserves).

Quick reference: further corporate terms

English	Arabic	Meaning
Subsidiary	الشركة التابعة	Company controlled by another (usually >50% of votes).
Affiliate	الشركة الشقيقة / المرتبطة	Company related through common ownership or control.
Parent company	الشركة الأم	Company that controls subsidiaries.
Joint venture (JV)	المشروع المشترك	Business jointly owned and controlled by two or more parties.
Commercial registration (CR)	السجل التجاري	Official registration of a business with the authorities.
Trade licence	الرخصة التجارية	Permission to conduct specified activities (common in GCC).
Annual general meeting (AGM)	الجمعية العمومية العادية	Yearly shareholder meeting to approve accounts, appoint auditors, elect directors.
Extraordinary general meeting (EGM)	الجمعية العمومية غير العادية	Meeting for major decisions (capital changes, amendments to articles).
Board resolution	قرار مجلس الإدارة	Formal decision of the board.
Power of attorney (POA)	الوكالة / التوكيل	Legal authorisation for someone to act on another's behalf.
Authorised signatory	المفوَّض بالتوقيع	Person authorised to sign for the company.
Delegation of authority (DoA)	مصفوفة الصلاحيات	Rules for who can approve what, up to which amounts.
Ultimate beneficial owner (UBO)	المستفيد الحقيقي	Natural person who ultimately owns or controls an entity.
Related party	الطرف ذو العلاقة	Person/entity with close links to the company (directors, owners, their companies).
Company secretary	أمين سر الشركة	Officer responsible for statutory compliance and board administration.
Executive / non-executive director	عضو تنفيذي / غير تنفيذي	Director who is / is not also a manager.

English	Arabic	Meaning
Independent director	عضو مستقل	Non-executive director without material ties to the company.
Proxy	التوكيل بالتصويت	Authorisation to vote on someone's behalf.
Listed / unlisted company	شركة مدرجة / غير مدرجة	Shares traded / not traded on a stock exchange.
Free zone company	شركة منطقة حرة	Entity registered in a special economic zone with specific rules (e.g., in the UAE).
Branch	الفرع	Extension of a company in another location, not a separate legal entity.
Representative office	مكتب تمثيلي	Office allowed to promote but usually not to trade.
Spin-off	فصل نشاط / شركة منبثقة	Separating a business unit into an independent company.
Conglomerate	التكتل / المجموعة المتنوعة	Group operating in unrelated industries.

بالعربية — ملاحظة حول المصطلحات العربية للكيانات

تختلف تسمية الكيانات القانونية بين الدول العربية: «الشركة ذات المسؤولية المحدودة»، و«شركة المساهمة العامة/الخاصة»، و«شركة التضامن»، و«شركة التوصية البسيطة». كما تختلف الوثائق التأسيسية: «عقد التأسيس» و«النظام الأساسي». يجب دائماً الرجوع إلى قانون الشركات المحلي في كل بلد، لأن الحقوق والالتزامات تختلف من دولة إلى أخرى.

PRACTICE · Practice questions

1. A bank asks for "certified articles, a board resolution and UBO declaration". Explain why it needs each.
2. Your manager says the target company has a "$12m run rate". What two questions do you ask?
3. Classify: (a) a 35% stake with two board seats in a company; (b) a 100%-owned company created only to own one ship; (c) a 55% stake.
4. A shareholder of an LLC asks whether he is personally liable for the company's $500k unpaid supplier invoices. What is the general answer and what exceptions should he check?

ANSWER · Answers to the practice questions

1. Articles: confirm the company exists, its powers and who can bind it. Board resolution: proves the board authorised the transaction and named signatories. UBO declaration: KYC/AML requirement to identify natural persons who own or control the company.
2. (a) Which period is annualised (one month? one quarter?) and is it seasonal? (b) How does it compare with actual last-twelve-months revenue, and is any of it one-off?
3. (a) Likely an associate (significant influence) — or a JV if control is shared by agreement; (b) an SPV and a wholly owned subsidiary; (c) a subsidiary (control), subject to voting agreements.
4. Generally no — limited liability caps his loss at his investment. Exceptions: a personal guarantee he signed; fraud or misuse of the company; jurisdiction-specific director/manager liability rules (e.g., trading while insolvent). He should take local legal advice.

CHAPTER 3

Accounting Terminology

LEARNING OBJECTIVES · In this chapter

Domain 3: the vocabulary of measurement and reporting. Part III explains the mechanics in depth; here the goal is to recognise and use the terms correctly.

3.1 Core accounting terms

Accrual basis of accounting — أساس الاستحقاق

DEFINITION	Recording revenues when earned and expenses when incurred, regardless of when cash is received or paid. Required by IFRS and US GAAP for general-purpose financial statements.
بالعربية	تسجيل الإيرادات عند تحققها والمصاريف عند تكبّدها بصرف النظر عن موعد استلام النقد أو دفعه. وهو الأساس المطلوب في المعايير الدولية (IFRS) والمبادئ الأمريكية (US GAAP).
WHY IT MATTERS	Matches costs to the revenue they generate, giving a truer picture of performance than cash timing — but creates the gap between profit and cash.
IN PRACTICE	Accountants book accruals (expenses incurred, not invoiced) and prepayments (paid in advance) at month-end.
EXAMPLE	December electricity used but billed in January is accrued as a December expense.
PROFESSIONAL USAGE	*“On an accruals basis the project made money in Q2, even though most cash came in Q3.”*
RELATED TERMS	Cash basis; matching principle; accrued expenses; prepayments; deferred revenue.
DON'T CONFUSE	Cash basis records only cash movements; used by some very small businesses and for some tax purposes.

Double-entry bookkeeping — القيد المزدوج

DEFINITION	The system in which every transaction is recorded in at least two accounts, with total debits equal to total credits, keeping Assets = Liabilities + Equity in balance.
بالعربية	نظام يُسجَّل فيه كل حدث مالي في حسابين على الأقل، بحيث يتساوى مجموع المدين مع مجموع الدائن، فتبقى معادلة الميزانية متوازنة: الأصول = الالتزامات + حقوق الملكية.
WHY IT MATTERS	It provides an internal check on accuracy and makes the three financial statements consistent.
IN PRACTICE	Every ERP and accounting system is built on double entry; reading a journal entry is a basic professional skill.
EXAMPLE	Buying inventory on credit for $10,000: Debit Inventory 10,000; Credit Accounts payable 10,000.
PROFESSIONAL USAGE	*“What’s the other side of that entry — did it hit cash or payables?”*
RELATED TERMS	Debit; credit; journal; general ledger; trial balance.
DON'T CONFUSE	Debit and credit do not mean “good” and “bad”: a debit increases assets and expenses; a credit increases liabilities, equity and revenue.

Asset	الأصل
DEFINITION	A resource controlled by the entity as a result of past events, from which future economic benefits are expected (IFRS Conceptual Framework: a present economic resource with the potential to produce economic benefits).
بالعربية	مورد تسيطر عليه المنشأة نتيجة أحداث سابقة، ويُتوقّع أن تتدفق منه منافع اقتصادية مستقبلية، مثل النقد والذمم المدينة والمخزون والمعدات.
WHY IT MATTERS	Assets show what the company has to generate revenue and what lenders could rely on as collateral.
IN PRACTICE	Classified as current (expected to be realised within 12 months) and non-current.
EXAMPLE	A delivery truck, a customer receivable and a patent are all assets.
PROFESSIONAL USAGE	*"Most of the asset base is receivables, which is good for a borrowing-base facility."*
RELATED TERMS	Current asset; fixed asset; intangible asset; balance sheet.
DON'T CONFUSE	An employee's skill is valuable but is not recognised as an accounting asset because the company does not control it.

Liability	الالتزام / المطلوبات
DEFINITION	A present obligation of the entity to transfer an economic resource as a result of past events: loans, payables, taxes owed, provisions, deferred revenue.
بالعربية	التزام حالي على المنشأة بتحويل مورد اقتصادي نتيجة أحداث سابقة، مثل القروض والذمم الدائنة والضرائب المستحقة والمخصصات والإيرادات المؤجلة.
WHY IT MATTERS	Liabilities determine solvency and liquidity; hidden or off-balance-sheet liabilities are a classic DD finding.
IN PRACTICE	Current liabilities (due within 12 months) vs non-current.
EXAMPLE	A customer's $50k advance payment is a liability (deferred revenue) until goods are delivered.
PROFESSIONAL USAGE	*"There may be an unrecorded liability for end-of-service benefits."*
RELATED TERMS	Debt; payables; provision; contingent liability.
DON'T CONFUSE	"Liability" in accounting (obligation on the balance sheet) vs legal liability (responsibility for damages).

Equity	حقوق الملكية
DEFINITION	The residual interest in the assets after deducting liabilities: share capital, retained earnings and other reserves.
بالعربية	الحق المتبقي في أصول المنشأة بعد طرح جميع الالتزامات، ويشمل رأس المال والأرباح المحتجزة والاحتياطيات.
WHY IT MATTERS	Equity is the shareholders' cushion that absorbs losses before creditors are affected.
IN PRACTICE	Book value of equity (accounting) differs from market value (share price × shares).
EXAMPLE	Assets $10m, liabilities $6.5m → equity $3.5m.
PROFESSIONAL USAGE	*"Book equity is only $3.5m, so a $1m loss would be material for the bank."*
RELATED TERMS	Net worth; book value; retained earnings; tangible net worth.
DON'T CONFUSE	Book equity (accounting) vs market capitalisation (market value) vs "equities" (shares as an asset class).

Depreciation — الإهلاك / الاستهلاك

DEFINITION	The systematic allocation of the cost of a tangible fixed asset, less residual value, over its useful life.
بالعربية	التوزيع المنتظم لتكلفة الأصل الثابت الملموس، بعد طرح القيمة المتبقية، على عمره الإنتاجي.
WHY IT MATTERS	Spreads the cost of assets over the periods that benefit; it is a non-cash expense that reduces taxable profit in most tax systems (tax depreciation rules may differ).
IN PRACTICE	Methods: straight-line, declining balance, units of production.
EXAMPLE	Truck cost $60k, residual $10k, life 5 years → straight-line $10k per year.
PROFESSIONAL USAGE	*“Depreciation is non-cash, so add it back when you estimate operating cash flow.”*
RELATED TERMS	Amortisation; useful life; residual value; accumulated depreciation; net book value.
DON'T CONFUSE	Depreciation (tangible assets) vs amortisation (intangibles) vs impairment (sudden write-down).

Amortisation — الإطفاء

DEFINITION	(1) The systematic allocation of the cost of an intangible asset with a finite life (software, licences, patents). (2) In lending, the gradual repayment of loan principal over time.
بالعربية	(1) التوزيع المنتظم لتكلفة أصل غير ملموس ذي عمر محدد كالبرمجيات والتراخيص وبراءات الاختراع. (2) وفي الإقراض: السداد التدريجي لأصل القرض على أقساط.
WHY IT MATTERS	Both meanings are common; context tells you which.
IN PRACTICE	“Amortising loan” = principal repaid in instalments; “bullet loan” = principal repaid at maturity.
EXAMPLE	Software licence $300k over 3 years → $100k amortisation per year.
PROFESSIONAL USAGE	*“The term loan amortises over five years with a 30% balloon.”*
RELATED TERMS	Depreciation; intangible asset; amortisation schedule; bullet; balloon.
DON'T CONFUSE	Goodwill is not amortised under IFRS (it is tested for impairment); private companies under some GAAP options may amortise it.

Impairment — انخفاض القيمة

DEFINITION	A reduction in the carrying amount of an asset to its recoverable amount when that amount is lower than the book value.
بالعربية	تخفيض القيمة الدفترية للأصل إلى قيمته القابلة للاسترداد عندما تكون أقل من قيمته المسجلة.
WHY IT MATTERS	Impairments reveal that past investments or acquisitions have not delivered expected returns; large goodwill impairments often follow overpriced acquisitions.
IN PRACTICE	Tested annually for goodwill (IAS 36) and when indicators exist for other assets; for financial assets, expected credit loss (IFRS 9) applies.
EXAMPLE	A plant carried at $20m generates cash flows worth $14m → impairment loss $6m.
PROFESSIONAL USAGE	*“The goodwill impairment suggests we overpaid for the acquisition.”*
RELATED TERMS	Write-down; recoverable amount; goodwill; expected credit loss.
DON'T CONFUSE	Impairment (unexpected loss in value) vs depreciation (planned allocation).

Provision المخصص

DEFINITION	A liability of uncertain timing or amount (IAS 37), recognised when there is a present obligation from a past event, an outflow is probable and the amount can be reliably estimated — e.g., warranties, legal claims, restructuring.
بالعربية	التزام غير مؤكد التوقيت أو المبلغ، يُعترف به عند وجود التزام حالي ناتج عن حدث سابق، ويكون خروج الموارد محتملاً ويمكن تقدير المبلغ بشكل موثوق، مثل الضمانات والقضايا وإعادة الهيكلة.
WHY IT MATTERS	Provisions bring future costs into today's profit; analysts watch for under-provisioning or "cookie-jar" reserves.
IN PRACTICE	Banks also use "provision" loosely for loan-loss allowances.
EXAMPLE	Warranty claims average 2% of sales → provision of $240k on $12m sales.
PROFESSIONAL USAGE	*"We should provide for the claim — our lawyers think it's more likely than not we'll pay."*
RELATED TERMS	Contingent liability; accrual; allowance; IAS 37.
DON'T CONFUSE	Provision (recognised liability) vs contingent liability (possible obligation, disclosed only) vs reserve (part of equity).

Deferred revenue الإيرادات المؤجلة

DEFINITION	Cash received (or receivable) for goods or services not yet delivered; a liability (contract liability) until the performance obligation is satisfied.
بالعربية	نقد مقبوض مقدماً عن بضائع أو خدمات لم تُسلَّم بعد، ويُعدّ التزاماً (التزام تعاقدي) إلى أن يتم الوفاء بالأداء.
WHY IT MATTERS	Common in subscriptions, software and projects; high deferred revenue is often a sign of strong cash dynamics.
IN PRACTICE	SaaS investors watch growth in deferred revenue as a leading indicator.
EXAMPLE	Annual subscription $12k paid upfront in January → $1k revenue per month; deferred revenue at end-January $11k.
PROFESSIONAL USAGE	*"Cash is ahead of revenue because customers prepay annually — deferred revenue is up 30%."*
RELATED TERMS	Contract liability; unearned revenue; billings; IFRS 15.
DON'T CONFUSE	Deferred revenue (we received, not yet earned) vs accrued revenue (earned, not yet billed).

Cost of goods sold (COGS) تكلفة البضاعة المبيعة

DEFINITION	The direct costs of the goods sold in a period: purchase or production cost, inbound freight, duties and other costs to bring inventory to its present location and condition.
بالعربية	التكاليف المباشرة للبضائع المبيعة خلال الفترة، وتشمل تكلفة الشراء أو الإنتاج والشحن الوارد والرسوم الجمركية وأي تكاليف لازمة لإيصال المخزون إلى موقعه وحالته الحالية.
WHY IT MATTERS	Determines gross margin; misclassifying costs (e.g., putting freight in opex) distorts margins.
IN PRACTICE	COGS = opening inventory + purchases − closing inventory.
EXAMPLE	Opening stock $1.8m + purchases $9.3m − closing $2.7m = COGS $8.4m.
PROFESSIONAL USAGE	*"Freight-in should sit in COGS, otherwise our gross margin looks better than it is."*
RELATED TERMS	Cost of sales; inventory; landed cost; gross profit.
DON'T CONFUSE	COGS (cost of what was sold) vs purchases (what was bought, including unsold stock).

Retained earnings — الأرباح المحتجزة

DEFINITION	Cumulative net income kept in the company after dividends since inception; part of equity.
بالعربية	صافي الأرباح المتراكمة التي احتفظت بها الشركة منذ تأسيسها بعد توزيع الأرباح، وهي جزء من حقوق الملكية.
WHY IT MATTERS	Shows how much the company has financed itself; often limits distributable dividends.
IN PRACTICE	Closing RE = opening RE + net income − dividends.
EXAMPLE	2,000k + 680k − 200k = 2,480k.
PROFESSIONAL USAGE	*“Retained earnings have been funding growth; we have never raised new equity.”*
RELATED TERMS	Equity; reserves; dividend; accumulated losses.
DON'T CONFUSE	Retained earnings are not cash; they may be invested in inventory or equipment.

Goodwill — الشهرة

DEFINITION	The excess of the price paid in a business combination over the fair value of identifiable net assets acquired; represents expected synergies, workforce, reputation.
بالعربية	الزيادة في ثمن الاستحواذ على شركة عن القيمة العادلة لصافي أصولها القابلة للتحديد، وتمثّل التآزر المتوقع والسمعة وفريق العمل.
WHY IT MATTERS	Large goodwill means the buyer paid for future expectations; it is impaired if those expectations fail.
IN PRACTICE	Lenders often deduct goodwill to compute tangible net worth.
EXAMPLE	Price $50m; fair value of net assets $35m → goodwill $15m.
PROFESSIONAL USAGE	*“Tangible net worth is negative once you strip out the goodwill from past acquisitions.”*
RELATED TERMS	Intangible assets; purchase price allocation; impairment; tangible net worth.
DON'T CONFUSE	Acquired goodwill is recognised; internally generated goodwill is not.

Audit opinion — رأي المدقق

DEFINITION	The independent auditor’s conclusion on whether financial statements are presented fairly, in all material respects, under the applicable framework. Types: unmodified (clean), qualified, adverse, disclaimer.
بالعربية	استنتاج المدقق المستقل بشأن ما إذا كانت القوائم المالية معروضة بعدل من جميع النواحي الجوهرية وفق الإطار المحاسبي المطبق. أنواعه: رأي غير معدل (نظيف)، ومتحفظ، وعكسي، وامتناع عن إبداء الرأي.
WHY IT MATTERS	A qualified opinion or “material uncertainty related to going concern” paragraph is a red flag for lenders and investors.
IN PRACTICE	Banks usually require audited statements within a set number of days after year-end.
EXAMPLE	Qualified opinion because the auditor could not verify inventory counts at a remote warehouse.
PROFESSIONAL USAGE	*“The accounts carry a going-concern paragraph — we need to understand the refinancing plan.”*
RELATED TERMS	External audit; ISA; management letter; going concern; material misstatement.
DON'T CONFUSE	Audit (reasonable assurance) vs review (limited assurance) vs compilation (no assurance).

Quick reference: further accounting terms

English	Arabic	Meaning
Journal entry	قيد اليومية	Record of a transaction with debits and credits.
General ledger (GL)	دفتر الأستاذ العام	Master record of all accounts.
Trial balance (TB)	ميزان المراجعة	List of all ledger balances; debits must equal credits.
Chart of accounts (CoA)	دليل الحسابات	Structured list of all accounts used.
Accrued expense	المصروف المستحق	Expense incurred but not yet invoiced/paid.
Prepayment	المصروف المدفوع مقدماً	Expense paid before the period it relates to.
Accrued income	الإيراد المستحق	Revenue earned, not yet invoiced.
Contingent liability	الالتزام المحتمل	Possible obligation depending on uncertain future events; disclosed, not recognised.
Net book value (NBV)	صافي القيمة الدفترية	Cost less accumulated depreciation and impairment.
Residual value	القيمة المتبقية	Expected value at the end of useful life.
FIFO / weighted average	الوارد أولاً صادر أولاً / المتوسط المرجح	Inventory cost formulas (LIFO is not permitted under IFRS).
Net realisable value (NRV)	صافي القيمة القابلة للتحقق	Estimated selling price less costs to complete and sell; inventory is held at lower of cost and NRV.
Bad debt / ECL	الديون المعدومة / الخسائر الائتمانية المتوقعة	Receivables not expected to be collected.
Write-off	الشطب	Removing an asset (e.g., a receivable) from the books.
Reconciliation	التسوية / المطابقة	Comparing two records (e.g., bank statement vs ledger) and explaining differences.
Month-end close	الإقفال الشهري	Process of finalising the month's accounts.
Materiality	الأهمية النسبية	Size or nature of an item that could influence users' decisions.
Consolidation	التوحيد	Combining parent and subsidiaries' accounts as one economic entity.
Non-controlling interest (NCI)	الحصص غير المسيطرة	Equity in a subsidiary not owned by the parent.
Deferred tax	الضريبة المؤجلة	Tax effect of timing differences between accounting and tax rules.
Off-balance-sheet	خارج الميزانية	Obligations not recognised as liabilities (guarantees, some commitments).
Restatement	إعادة عرض القوائم	Correcting previously issued financial statements.
IFRS / IAS	المعايير الدولية لإعداد التقارير المالية / معايير المحاسبة الدولية	Standards issued by the IASB (IAS = older standards still in force).
US GAAP	المبادئ المحاسبية المقبولة عموماً في الولايات المتحدة	US standards issued by FASB (codified in the ASC).

CHAPTER 4

Financial and Investment Terminology

LEARNING OBJECTIVES · In this chapter

Domain 4 (finance) and Domain 6 (investment). Corporate finance terms are explained mechanically in Part IV; market terms in Part X.

4.1 Financial terminology

Time value of money (TVM) — القيمة الزمنية للنقود

DEFINITION	The principle that a sum of money today is worth more than the same sum in the future, because it can be invested to earn a return and because of inflation and risk.
بالعربية	مبدأ يقضي بأن المبلغ اليوم أعلى قيمة من المبلغ نفسه في المستقبل، لأنه يمكن استثماره لتحقيق عائد، ولتأثير التضخم والمخاطر.
WHY IT MATTERS	Every investment, loan, lease and valuation decision depends on it; it is why payment terms are a price variable.
IN PRACTICE	Discounting future cash flows to present value; comparing payment terms (cash now vs 90 days).
EXAMPLE	At 8% per year, $108 received in a year is worth $100 today.
PROFESSIONAL USAGE	*"Offering 120-day terms is effectively a discount worth about 2.6% at our cost of funds."*
RELATED TERMS	Present value; future value; discount rate; compounding; NPV.
DON'T CONFUSE	TVM is about timing; inflation is one reason for it but not the only one.

Net present value (NPV) — صافي القيمة الحالية

DEFINITION	The sum of the present values of all expected cash flows of a project or investment, including the initial outlay, discounted at an appropriate rate.
بالعربية	مجموع القيم الحالية لجميع التدفقات النقدية المتوقعة لمشروع أو استثمار، بما فيها الإنفاق الأولي، مخصومة بمعدل خصم مناسب.
WHY IT MATTERS	A positive NPV means the project is expected to create value above the required return; it is the theoretically preferred investment criterion.
IN PRACTICE	Capital budgeting committees, project finance, M&A valuations.
EXAMPLE	Invest $1,000k; receive $400k per year for 3 years; rate 10% → NPV = −1,000 + 363.6 + 330.6 + 300.5 = −$5.3k (marginally negative).
PROFESSIONAL USAGE	*"At an 11% WACC the NPV is negative; the project only works if we secure the volume contract."*
RELATED TERMS	IRR; discount rate; WACC; DCF; payback.
DON'T CONFUSE	NPV (absolute value created, in money) vs IRR (rate of return, in %).

Internal rate of return (IRR) — معدل العائد الداخلي

DEFINITION	The discount rate at which a project's NPV equals zero — the annualised return implied by its cash flows.
بالعربية	معدل الخصم الذي تصبح عنده صافي القيمة الحالية للمشروع صفراً، وهو العائد السنوي الضمني لتدفقاته النقدية.
WHY IT MATTERS	Intuitive ("the project returns 18%") and widely used in private equity and project finance, but can mislead for unconventional cash flows or mutually exclusive projects.
IN PRACTICE	Compare IRR to the hurdle rate; private equity targets equity IRRs (e.g., 20%+), project lenders look at project IRR.
EXAMPLE	The project above has an IRR of about 9.7% — just below the 10% hurdle.
PROFESSIONAL USAGE	*"Equity IRR is 22% in the base case and 14% in the downside."*
RELATED TERMS	NPV; hurdle rate; MOIC; cost of capital.
DON'T CONFUSE	IRR assumes reinvestment at the IRR; a high IRR on a small, short project can create less value than a lower IRR on a big one.

Weighted average cost of capital (WACC) — المتوسط المرجّح لتكلفة رأس المال

DEFINITION	The average rate of return a company must pay its capital providers, weighted by the market values of debt and equity, with the cost of debt taken after tax.
بالعربية	متوسط معدل العائد الذي يجب على الشركة دفعه لممولّيها، مرجّحاً بالقيم السوقية للدين وحقوق الملكية، مع احتساب تكلفة الدين بعد الضريبة.
WHY IT MATTERS	Used as the discount rate for projects of average risk and in DCF valuations.
IN PRACTICE	WACC = E/(D+E) × Ke + D/(D+E) × Kd × (1 − t).
EXAMPLE	60% equity at 14%, 40% debt at 7% pre-tax, tax 20% → WACC = 8.4% + 2.24% = 10.64%.
PROFESSIONAL USAGE	*"Using group WACC for a project in a riskier country understates the risk; add a country premium."*
RELATED TERMS	Cost of equity; cost of debt; CAPM; hurdle rate; capital structure.
DON'T CONFUSE	WACC (company-wide average) vs project-specific discount rate (adjusted for project risk).

Free cash flow (FCF) — التدفق النقدي الحر

DEFINITION	Cash generated after operating expenses, taxes, working-capital investment and capital expenditure — the cash available to repay debt, pay dividends or invest. Free cash flow to the firm (FCFF) is before debt service; free cash flow to equity (FCFE) is after.
بالعربية	النقد المتولد بعد المصاريف التشغيلية والضرائب والاستثمار في رأس المال العامل والنفقات الرأسمالية، وهو النقد المتاح لسداد الديون أو توزيع الأرباح أو الاستثمار.
WHY IT MATTERS	The basis of DCF valuation and of a lender's view of repayment capacity.
IN PRACTICE	FCFF = EBIT × (1 − t) + D&A − capex − ΔNWC.
EXAMPLE	EBIT 1,200; tax 15%; D&A 300; capex 500; ΔNWC 1,800 → FCFF = 1,020 + 300 − 500 − 1,800 = −980.
PROFESSIONAL USAGE	*"FCF has been negative for three years — the business consumes cash as it grows."*
RELATED TERMS	Operating cash flow; EBITDA; DCF; cash conversion.
DON'T CONFUSE	FCF ≠ EBITDA ≠ net income; definitions vary between companies.

Enterprise value (EV) — قيمة المنشأة

DEFINITION	The value of a company's operating business to all capital providers: equity value + net debt (+ minority interests + preferred equity, − non-operating assets as appropriate).
بالعربية	قيمة النشاط التشغيلي للشركة لجميع مموّليها: قيمة حقوق الملكية + صافي الدين (مع تعديلات للحصص غير المسيطرة والأسهم الممتازة والأصول غير التشغيلية).
WHY IT MATTERS	Allows comparing companies regardless of capital structure; paired with EBITDA, EBIT or revenue multiples.
IN PRACTICE	In acquisitions, the headline price is often EV ("cash-free, debt-free"), and the equity price is derived after deducting net debt.
EXAMPLE	Market cap $500m + debt $200m − cash $50m = EV $650m.
PROFESSIONAL USAGE	*"We agreed an EV of $120m on a cash-free, debt-free basis; the equity cheque depends on closing net debt."*
RELATED TERMS	Equity value; net debt; EV/EBITDA; market capitalisation.
DON'T CONFUSE	EV (whole business) vs equity value (shareholders' part). See Chapter 34 (Volume 3).

Net debt — صافي الدين

DEFINITION	Total interest-bearing debt minus cash and cash equivalents. Definitions may include leases, shareholder loans, pension deficits or exclude restricted cash.
بالعربية	إجمالي الديون التي تحمل فوائد مطروحاً منه النقد وما في حكمه. قد يشمل التعريف عقود الإيجار وقروض المساهمين أو يستبعد النقد المقيّد.
WHY IT MATTERS	Central to leverage covenants and to the EV-to-equity bridge in acquisitions; definitions are heavily negotiated.
IN PRACTICE	Facility agreements and SPAs define net debt precisely.
EXAMPLE	Bank loans 4.2m + leases 0.6m − cash 0.4m = net debt 4.4m (if leases included).
PROFESSIONAL USAGE	*"Is customer prepayment treated as debt-like in the net debt definition?"*
RELATED TERMS	Leverage; EV; debt-like items; covenant.
DON'T CONFUSE	Gross debt (total borrowings) vs net debt (after cash).

Hurdle rate — معدل العائد المطلوب

DEFINITION	The minimum acceptable rate of return for an investment, set by the company or investor, often WACC plus a risk premium.
بالعربية	الحد الأدنى للعائد المقبول على الاستثمار، وتحدده الشركة أو المستثمر، وغالباً ما يساوي تكلفة رأس المال مضافاً إليها علاوة مخاطر.
WHY IT MATTERS	Projects below the hurdle destroy value (or do not compensate risk).
IN PRACTICE	Different hurdles for different risk classes (e.g., 10% for replacement, 15% for new markets).
EXAMPLE	Group hurdle 12%; project IRR 10.5% → rejected unless strategic.
PROFESSIONAL USAGE	*"It clears the 12% hurdle only in the upside scenario."*
RELATED TERMS	WACC; IRR; cost of capital; risk premium.
DON'T CONFUSE	Hurdle rate (policy threshold) vs WACC (estimated cost of funds).

Payback period	فترة الاسترداد
DEFINITION	The time required for cumulative cash inflows from a project to recover the initial investment.
بالعربية	الفترة اللازمة لتغطية الاستثمار الأولي من التدفقات النقدية المتراكمة للمشروع.
WHY IT MATTERS	Simple measure of liquidity risk; popular with owner-managers and in uncertain environments.
IN PRACTICE	Often used together with NPV/IRR; discounted payback uses present values.
EXAMPLE	Invest $300k, save $100k a year → payback 3 years.
PROFESSIONAL USAGE	*“The board wants payback under three years for any IT investment.”*
RELATED TERMS	NPV; IRR; ROI; breakeven.
DON'T CONFUSE	Payback ignores cash flows after the payback date and (in simple form) the time value of money.

Capital structure	هيكل رأس المال
DEFINITION	The mix of debt and equity (and hybrid instruments) used to finance a company’s assets.
بالعربية	مزيج الدين وحقوق الملكية (والأدوات الهجينة) المستخدم في تمويل أصول الشركة.
WHY IT MATTERS	Affects risk, cost of capital, control and flexibility; too much debt risks distress, too little may waste the tax shield and dilute owners.
IN PRACTICE	CFOs set target leverage ranges; rating agencies and banks assess it.
EXAMPLE	A utility with stable cash flows may run 60% debt; a startup is mostly equity.
PROFESSIONAL USAGE	*“We’d like to optimise the capital structure ahead of the expansion — perhaps a term loan instead of new equity.”*
RELATED TERMS	Leverage; WACC; gearing; hybrid capital.
DON'T CONFUSE	Capital structure (long-term financing mix) vs working-capital financing (short-term).

4.2 Investment terminology

Asset class	فئة الأصول
DEFINITION	A group of investments with similar characteristics and behaviour: equities, fixed income, cash, real estate, commodities, private equity, hedge funds, infrastructure.
بالعربية	مجموعة من الاستثمارات ذات خصائص وسلوك متشابه، مثل الأسهم والسندات والنقد والعقارات والسلع والملكية الخاصة.
WHY IT MATTERS	Asset allocation across classes explains most of a diversified portfolio’s risk and return.
IN PRACTICE	Investment mandates set allocation ranges per asset class.
EXAMPLE	A pension fund allocates 45% equities, 35% bonds, 10% real estate, 10% alternatives.
PROFESSIONAL USAGE	*“Private credit has become a distinct asset class for insurers.”*
RELATED TERMS	Asset allocation; diversification; mandate; alternatives.
DON'T CONFUSE	Asset class (category) vs security (individual instrument).

Diversification	التنويع
DEFINITION	Spreading investments across assets whose returns are not perfectly correlated to reduce portfolio risk without proportionally reducing expected return.
بالعربية	توزيع الاستثمارات على أصول لا ترتبط عوائدها ارتباطاً تاماً، لتقليل مخاطر المحفظة دون خفض العائد المتوقع بالنسبة نفسها.
WHY IT MATTERS	Eliminates idiosyncratic (company-specific) risk; systematic (market) risk remains.
IN PRACTICE	Also applies to businesses: customer, supplier and country diversification.
EXAMPLE	Two assets with 20% volatility each and correlation 0.2: an equal-weight portfolio has volatility ≈ 15.5%.
PROFESSIONAL USAGE	*“Our customer base is not diversified — the top three customers are 70% of revenue.”*
RELATED TERMS	Correlation; systematic risk; portfolio theory; concentration risk.
DON'T CONFUSE	Diversification reduces risk; it does not guarantee against loss in a market-wide fall.

Volatility	التقلّب
DEFINITION	The degree of variation of an asset’s price or return over time, usually measured as the annualised standard deviation of returns.
بالعربية	درجة تذبذب سعر الأصل أو عائده عبر الزمن، وتُقاس عادةً بالانحراف المعياري السنوي للعوائد.
WHY IT MATTERS	A key risk measure and the main input to option pricing.
IN PRACTICE	Implied volatility (from option prices) vs historical volatility (from past prices).
EXAMPLE	Daily volatility of 1.2% ≈ annual 1.2% × √252 ≈ 19%.
PROFESSIONAL USAGE	*“Volatility in freight rates makes fixed-price contracts dangerous.”*
RELATED TERMS	Standard deviation; risk; VaR; option premium; beta.
DON'T CONFUSE	Volatility (fluctuation) is not the same as permanent loss of capital.

Yield	العائد
DEFINITION	The income return on an investment, expressed as a percentage of its price or value: dividend yield, current yield, yield to maturity on bonds.
بالعربية	العائد الدخلي على الاستثمار كنسبة مئوية من سعره أو قيمته، مثل عائد التوزيعات أو العائد حتى الاستحقاق على السندات.
WHY IT MATTERS	Bond prices and yields move inversely; yields are the language of debt markets.
IN PRACTICE	“The 10-year yields 4.2%”; “dividend yield 3.5%”.
EXAMPLE	A bond paying $50 a year bought at $950: current yield = 5.26%.
PROFESSIONAL USAGE	*“Yields have risen 80 basis points since we priced the deal, so the bond is trading below par.”*
RELATED TERMS	Coupon; YTM; spread; basis point; yield curve.
DON'T CONFUSE	Coupon (fixed contractual interest on face value) vs yield (return based on current price).

Basis point (bp) — نقطة أساس

DEFINITION	One hundredth of one percentage point (0.01%). Used to express changes in interest rates, spreads and fees precisely.
بالعربية	جزء من مئة من النقطة المئوية الواحدة (0.01%)، ويُستخدم للتعبير بدقة عن تغيّرات أسعار الفائدة والهوامش والرسوم.
WHY IT MATTERS	Avoids ambiguity between “1% increase” (relative) and “1 percentage point” (absolute).
IN PRACTICE	“Margin of 275 bps over SOFR”; “rates up 25 bps”.
EXAMPLE	A rate rising from 5.00% to 5.25% has risen 25 bps.
PROFESSIONAL USAGE	*“The bank came back at 225 bps; we were hoping for 200.”*
RELATED TERMS	Percentage point; spread; margin; pip (FX).
DON'T CONFUSE	A move from 4% to 5% is +100 bps (+1 percentage point), which is a 25% relative increase.

Market capitalisation (Market cap) — القيمة السوقية

DEFINITION	Share price multiplied by the number of shares outstanding: the market value of a listed company’s equity.
بالعربية	سعر السهم مضروباً في عدد الأسهم القائمة، أي القيمة السوقية لحقوق ملكية الشركة المدرجة.
WHY IT MATTERS	Used to classify companies (large, mid, small cap), weight indices and compute EV.
IN PRACTICE	Fully diluted market cap includes options and convertibles.
EXAMPLE	200m shares × $12.50 = $2.5bn.
PROFESSIONAL USAGE	*“It’s a $2.5bn market cap but EV is $4bn because of the debt.”*
RELATED TERMS	EV; float; index weighting; P/E.
DON'T CONFUSE	Market cap (equity only) vs EV (equity + net debt).

Liquidity (market) — سيولة السوق

DEFINITION	The ability to buy or sell an asset quickly in size without moving its price significantly; indicated by bid-ask spreads, volume and market depth.
بالعربية	القدرة على شراء الأصل أو بيعه بسرعة وبكميات كبيرة دون التأثير كثيراً في سعره، وتُقاس بفارق سعر العرض والطلب وحجم التداول وعمق السوق.
WHY IT MATTERS	Illiquid assets require a premium and can trap investors in a crisis.
IN PRACTICE	Fund managers match portfolio liquidity to investor redemption terms.
EXAMPLE	A large-cap share trades $500m a day with a 0.02% spread; a small private bond may not trade for weeks.
PROFESSIONAL USAGE	*“The position is too large relative to daily volume; exiting would take a week.”*
RELATED TERMS	Bid-ask spread; depth; illiquidity premium; liquidity risk.
DON'T CONFUSE	Market liquidity (tradability of an asset) vs funding liquidity (a firm’s ability to pay).

Hedging	التحوّط
DEFINITION	Taking a position that offsets an existing exposure to reduce risk from price, currency, interest-rate or commodity movements.
بالعربية	اتخاذ مركز يعاكس تعرّضاً قائماً بهدف تقليل المخاطر الناتجة عن تحركات الأسعار أو العملات أو أسعار الفائدة أو السلع.
WHY IT MATTERS	Protects margins and cash flows; lets a business focus on its core activity rather than on market bets.
IN PRACTICE	Forwards, futures, options and swaps; natural hedges (matching revenue and costs in the same currency).
EXAMPLE	An importer owing EUR 1m in 90 days buys EUR forward to fix the cost.
PROFESSIONAL USAGE	*"We hedge 70% of forecast euro purchases on a rolling 12-month basis."*
RELATED TERMS	Derivative; forward; basis risk; speculation; treasury policy.
DON'T CONFUSE	Hedging reduces an existing exposure; speculation creates a new exposure to profit from price moves.

Quick reference: further financial and investment terms

English	Arabic	Meaning
Present value (PV)	القيمة الحالية	Today's value of a future amount.
Future value (FV)	القيمة المستقبلية	Value at a future date after compounding.
Discount rate	معدل الخصم	Rate used to convert future cash flows to present value.
Cost of equity (Ke)	تكلفة حقوق الملكية	Return shareholders require.
Cost of debt (Kd)	تكلفة الدين	Interest rate on borrowings (after tax in WACC).
CAPM	نموذج تسعير الأصول الرأسمالية	Ke = risk-free rate + beta × equity risk premium.
Beta (β)	معامل بيتا	Sensitivity of a stock's returns to the market.
Risk-free rate	المعدل الخالي من المخاطر	Return on a default-free government security.
Equity risk premium	علاوة مخاطر الأسهم	Extra return investors require for holding equities.
Tax shield	الوفر الضريبي	Tax saved because interest is deductible.
Dilution	التخفيف	Reduction in ownership % when new shares are issued.
Coupon	الكوبون / الفائدة الاسمية	Contractual interest on a bond.
Par / face value	القيمة الاسمية	Amount repaid at maturity.
Duration	المدة / الأمد	Sensitivity of a bond's price to interest-rate changes.
Spread	الفارق / الهامش	Difference between two rates or prices.
Portfolio	المحفظة	Collection of investments.
Benchmark index	المؤشر المرجعي	Index against which performance is measured.
Alpha	ألفا	Return above that explained by market risk.
Sharpe ratio	نسبة شارب	Excess return per unit of volatility.
Long / short position	مركز شراء / مركز بيع على المكشوف	Owning an asset / profiting from its fall.

English	Arabic	Meaning
Bull / bear market	سوق صاعدة / سوق هابطة	Rising / falling market.
Arbitrage	المراجحة	Profiting from price differences for the same asset.
Speculation	المضاربة	Taking risk to profit from expected price moves.
MOIC	مضاعف رأس المال المستثمر	Total value returned ÷ capital invested.
AUM	الأصول تحت الإدارة	Assets managed by a fund manager.
NAV	صافي قيمة الأصول	Net asset value of a fund (per unit/share).

PRACTICE · Practice questions

1. A customer prepays $24,000 for a 12-month maintenance contract on 1 April. What is deferred revenue at 30 June?
2. Distinguish provision, contingent liability and reserve with one example each.
3. A company has market cap $800m, debt $300m and cash $100m. What is EV? If EBITDA is $100m, what is EV/EBITDA?
4. A bank increases a loan margin from 2.75% to 3.10%. Express the change in basis points.
5. WACC: equity 70% at 15%, debt 30% at 8% pre-tax, tax rate 25%. Compute WACC.

ANSWER · Answers to the practice questions

1. Three months earned ($6,000) → deferred revenue = **$18,000**.
2. Provision: warranty claims expected on products sold (probable, estimable — recognised). Contingent liability: a lawsuit the lawyers think is possible but not probable (disclosed only). Reserve: part of equity, e.g., a statutory reserve required by company law (not a liability).
3. EV = 800 + 300 − 100 = **$1,000m**; EV/EBITDA = **10.0×**.
4. +**35 bps**.
5. 0.7 × 15% + 0.3 × 8% × 0.75 = 10.5% + 1.8% = **12.3%**.

CHAPTER 5

Banking Terminology

LEARNING OBJECTIVES · In this chapter

Domain 5: the words used by relationship managers, credit officers, trade-finance specialists and treasury teams. Part VI explains the products and processes; Part VII the trade-finance instruments.

5.1 Lending and credit terms

Credit facility	**التسهيلات الائتمانية**
DEFINITION	An arrangement under which a bank makes credit available to a borrower up to an agreed limit, on agreed terms — e.g., overdraft, revolving credit, term loan, trade-finance lines, guarantee lines.
بالعربية	ترتيب يتيح فيه البنك للمقترض ائتماناً حتى حدّ متفق عليه وبشروط محددة، مثل الحساب الجاري المدين والقرض الدوّار والقرض لأجل وخطوط تمويل التجارة وخطوط خطابات الضمان.
WHY IT MATTERS	Companies negotiate facilities in advance so funding is available when needed; banks approve them after credit analysis.
IN PRACTICE	“Funded” facilities involve lending cash (loans, overdrafts); “unfunded” or “non-cash” facilities involve contingent commitments (L/Cs, guarantees).
EXAMPLE	A bank grants a $5m package: $2m overdraft, $2m L/C line, $1m guarantee line.
PROFESSIONAL USAGE	*“Our facilities come up for annual review in March — we should ask for an increase in the L/C line.”*
RELATED TERMS	Credit limit; facility letter; funded/unfunded; drawdown; utilisation.
DON'T CONFUSE	Facility (the available limit) vs utilisation (the amount actually used).

Overdraft (OD)	**الحساب الجاري المدين / السحب على المكشوف**
DEFINITION	A facility allowing a current account to go into a negative balance up to an agreed limit; interest is charged on the overdrawn amount, and it is usually repayable on demand.
بالعربية	تسهيل يسمح بأن يصبح رصيد الحساب الجاري سالباً حتى حد متفق عليه، وتُحتسب الفائدة على المبلغ المسحوب فقط، ويكون عادةً قابلاً للاستدعاء عند الطلب.
WHY IT MATTERS	Flexible day-to-day working-capital cover; but “on demand” means the bank can cancel it.
IN PRACTICE	Used for timing gaps in payments and collections.
EXAMPLE	Limit $1m; average utilisation $400k at 9% → interest about $36k a year.
PROFESSIONAL USAGE	*“We’re running close to the overdraft limit at month-end because of salary payments.”*
RELATED TERMS	Revolving credit facility; working capital; on demand; utilisation.
DON'T CONFUSE	Overdraft (on-demand, usually annual) vs committed RCF (bank must lend during the commitment period if conditions are met).

Revolving credit facility (RCF)	**التسهيل الائتماني المتجدد (الدوّار)**
DEFINITION	A committed facility under which a borrower can draw, repay and redraw loans up to a limit during an availability period (often 1–5 years), paying interest on drawn amounts and a commitment fee on undrawn amounts.
بالعربية	تسهيل ملزم للبنك يسمح للمقترض بالسحب والسداد وإعادة السحب حتى حد معيّن خلال فترة الإتاحة (عادة من سنة إلى خمس سنوات)، ويدفع فائدة على المسحوب وعمولة التزام على غير المسحوب.
WHY IT MATTERS	Gives certainty of liquidity; standard for mid-size and large corporates.
IN PRACTICE	Drawn in “loans” of 1, 3 or 6 months; often used as a liquidity backstop.
EXAMPLE	$50m 3-year RCF: margin 1.75% over SOFR on drawn; commitment fee 35% of margin on undrawn.
PROFESSIONAL USAGE	*“We keep the RCF largely undrawn as liquidity headroom.”*
RELATED TERMS	Commitment fee; utilisation fee; margin; availability period; covenants.
DON'T CONFUSE	RCF (revolving) vs term loan (once repaid, cannot be redrawn).

Term loan	**القرض لأجل**
DEFINITION	A loan of a fixed amount for a fixed period, repaid by instalments (amortising) or at maturity (bullet), typically used to finance capex, acquisitions or long-term needs.
بالعربية	قرض بمبلغ محدد ولمدة محددة، يُسدَّد على أقساط أو دفعة واحدة عند الاستحقاق، ويُستخدم عادة لتمويل النفقات الرأسمالية أو الاستحواذات أو الاحتياجات طويلة الأجل.
WHY IT MATTERS	Matches long-term assets with long-term funding.
IN PRACTICE	Terms include tenor, grace period, repayment profile, pricing, security and covenants.
EXAMPLE	$10m, 5 years, 1-year grace, then 16 equal quarterly instalments.
PROFESSIONAL USAGE	*“We’d like a 7-year tenor with a 30% balloon to match the asset life.”*
RELATED TERMS	Tenor; amortisation; bullet; balloon; grace period; covenant.
DON'T CONFUSE	Term loan (capex/long-term) vs working-capital facilities (short-term, revolving).

Tenor	**مدة التسهيل / أجل القرض**
DEFINITION	The length of time until a loan, bill, letter of credit or other credit instrument matures.
بالعربية	المدة المتبقية حتى استحقاق القرض أو الكمبيالة أو الاعتماد المستندي أو أي أداة ائتمانية.
WHY IT MATTERS	Longer tenor means more risk for the bank (and usually higher pricing) and lower annual repayments for the borrower.
IN PRACTICE	Bankers say “5-year tenor”; in trade finance “90-day usance L/C”.
EXAMPLE	An import loan with 120-day tenor matches the time to sell and collect.
PROFESSIONAL USAGE	*“The bank is comfortable with the amount but wants to shorten the tenor to three years.”*
RELATED TERMS	Maturity; usance; average life; duration.
DON'T CONFUSE	Tenor (length) vs maturity date (end date).

Collateral	**الضمان العيني / الرهن**
DEFINITION	Assets pledged by a borrower to secure an obligation, which the lender can enforce against if the borrower defaults: property mortgages, pledges of shares, assignments of receivables, charges over inventory or equipment.
بالعربية	أصول يرهنها المقترض لضمان التزامه، ويحق للمقرض التنفيذ عليها في حال التعثر، مثل رهن العقارات أو الأسهم أو الودائع النقدية أو التنازل عن الذمم المدينة أو رهن المخزون والمعدات.
WHY IT MATTERS	Reduces the lender's loss given default and may lower pricing; but enforcement depends on local law and the asset's liquidity.
IN PRACTICE	Lenders apply haircuts: a property worth $10m may support a loan of only $6m (60% loan-to-value).
EXAMPLE	Cash collateral covering 100% of a guarantee issued for a client with weak credit.
PROFESSIONAL USAGE	*"The facility is secured by a first-ranking mortgage over the warehouse and an assignment of insurance."*
RELATED TERMS	Security; mortgage; pledge; LTV; haircut; guarantee.
DON'T CONFUSE	Collateral is an asset; a guarantee is a promise by a third party to pay. Both are "credit support".

Bank guarantee (BG / LG)	**خطاب الضمان**
DEFINITION	An irrevocable undertaking by a bank to pay a beneficiary up to a stated amount if the applicant fails to perform an obligation, typically payable on first written demand (demand guarantee, often subject to URDG 758).
بالعربية	تعهد غير قابل للإلغاء من البنك بدفع مبلغ محدد للمستفيد إذا أخلّ العميل (طالب الضمان) بالتزامه، ويُدفع عادةً عند أول طلب كتابي، وكثيراً ما يخضع للقواعد الموحدة للضمانات عند الطلب (URDG 758).
WHY IT MATTERS	Gives the beneficiary security without cash deposits; essential in tenders, construction and supply contracts.
IN PRACTICE	Types: bid bond, performance bond, advance payment guarantee, retention guarantee, payment guarantee, customs guarantee.
EXAMPLE	A contractor gives a 10% performance guarantee on a $20m contract: $2m.
PROFESSIONAL USAGE	*"The client requires a 5% bid bond valid for 120 days."*
RELATED TERMS	Standby L/C; URDG 758; counter-guarantee; performance bond.
DON'T CONFUSE	A demand guarantee is independent of the underlying contract (bank pays on compliant demand); a surety/accessory guarantee depends on proving the default.

Covenant	التعهّد
DEFINITION	A promise in a loan agreement by the borrower to do (positive covenant), not to do (negative covenant), or to maintain financial ratios (financial covenant). Breach can be an event of default.
بالعربية	التزام في اتفاقية القرض يتعهد فيه المقترض بالقيام بأمر ما (تعهد إيجابي) أو الامتناع عنه (تعهد سلبي) أو المحافظة على نسب مالية معينة (تعهد مالي). مخالفته قد تُعدّ حالة تعثر.
WHY IT MATTERS	Covenants are the bank's early-warning and control system; breaches give lenders leverage to renegotiate.
IN PRACTICE	Common financial covenants: net debt/EBITDA ≤ 3.0×; interest cover ≥ 4.0×; DSCR ≥ 1.25×; minimum tangible net worth.
EXAMPLE	Q3 net debt/EBITDA = 3.3× vs covenant 3.0× → breach; borrower seeks a waiver.
PROFESSIONAL USAGE	*"We have limited headroom on the leverage covenant at year-end; let's talk to the bank before the test date."*
RELATED TERMS	Negative pledge; event of default; waiver; headroom; compliance certificate.
DON'T CONFUSE	Covenant (borrower's promise) vs condition precedent (must be satisfied before drawdown).

Reference rate and margin	السعر المرجعي والهامش
DEFINITION	Floating-rate loans are priced as a reference (benchmark) rate plus a credit margin. Major references include SOFR (USD), €STR and EURIBOR (EUR), SONIA (GBP), and local interbank rates such as EIBOR or SAIBOR.
بالعربية	تُسعَّر القروض ذات الفائدة المتغيرة على أساس سعر مرجعي مضافاً إليه هامش ائتماني. من الأسعار المرجعية: SOFR للدولار، وEURIBOR وSTR€ لليورو، وSONIA للجنيه الإسترليني، وأسعار محلية مثل EIBOR وSAIBOR.
WHY IT MATTERS	The reference rate reflects market funding cost; the margin reflects the borrower's credit risk. LIBOR was phased out (USD LIBOR panels ceased in June 2023); verify current benchmarks for any contract.
IN PRACTICE	"3M SOFR + 225 bps"; interest periods of 1, 3 or 6 months.
EXAMPLE	3M SOFR 4.30% + 2.25% = 6.55% all-in.
PROFESSIONAL USAGE	*"The margin ratchets down 25 bps if leverage falls below 2.0×."*
RELATED TERMS	Basis point; margin ratchet; floor; fixed vs floating; interest rate swap.
DON'T CONFUSE	Margin (bank's credit spread) vs all-in rate (reference + margin) vs fees.

Letter of credit (L/C, LC) الاعتماد المستندي

DEFINITION	A bank's undertaking, on behalf of the buyer (applicant), to pay the seller (beneficiary) a stated sum against presentation of complying documents within a set time, usually subject to UCP 600.
بالعربية	تعهد من البنك، بناءً على طلب المشتري، بأن يدفع للبائع مبلغاً محدداً مقابل تقديم مستندات مطابقة لشروط الاعتماد خلال مدة محددة، ويخضع عادةً للأصول والأعراف الموحدة للاعتمادات المستندية (UCP 600).
WHY IT MATTERS	Replaces the buyer's credit risk with a bank's, and gives the buyer assurance that payment is made only against shipping documents.
IN PRACTICE	Sight or usance (deferred); confirmed or unconfirmed; transferable; back-to-back. Banks deal in documents, not goods.
EXAMPLE	An L/C for $480,000 requires a clean on-board bill of lading, commercial invoice, packing list and certificate of origin.
PROFESSIONAL USAGE	*"We'll ship only against a confirmed irrevocable L/C from a first-class bank."*
RELATED TERMS	UCP 600; confirmation; discrepancy; advising bank; SBLC.
DON'T CONFUSE	Commercial L/C (payment mechanism, expected to be drawn) vs standby L/C (guarantee-like, drawn only on default).

Correspondent bank البنك المراسل

DEFINITION	A bank that provides services (payments, account holding, trade finance) on behalf of another bank, usually in another country or currency.
بالعربية	بنك يقدّم خدمات لبنك آخر، كتنفيذ المدفوعات والاحتفاظ بالحسابات وتمويل التجارة، وغالباً في بلد آخر أو بعملة أخرى.
WHY IT MATTERS	International payments in USD normally settle through US correspondent accounts; loss of correspondent relationships ("de-risking") can cut a country off from dollar payments.
IN PRACTICE	Nostro account ("our account with you") and vostro account ("your account with us").
EXAMPLE	A Lebanese bank pays USD to a Chinese supplier via its correspondent in New York.
PROFESSIONAL USAGE	*"The payment is delayed at the correspondent bank for compliance screening."*
RELATED TERMS	Nostro/vostro; SWIFT; intermediary bank; de-risking; AML.
DON'T CONFUSE	Correspondent bank (service provider to banks) vs branch (part of the same bank).

Know your customer (KYC)	اعرف عميلك
DEFINITION	Procedures by which financial institutions verify the identity of clients, understand ownership and control, the nature of the business and the expected activity, and assess money-laundering and sanctions risk.
بالعربية	إجراءات تتحقق بها المؤسسات المالية من هوية العملاء وهيكل الملكية والسيطرة وطبيعة النشاط والتعاملات المتوقعة، وتقيّم مخاطر غسل الأموال والعقوبات.
WHY IT MATTERS	Regulatory requirement under AML laws based on FATF Recommendations; poor KYC exposes banks to large fines and loss of correspondent relationships.
IN PRACTICE	Onboarding, periodic reviews and event-driven reviews; enhanced due diligence (EDD) for high-risk clients and PEPs.
EXAMPLE	Account opening needs CR, articles, UBO declaration, IDs of signatories, source of funds, expected transaction profile.
PROFESSIONAL USAGE	*“Onboarding will take two weeks because the ownership structure has three layers of holding companies.”*
RELATED TERMS	CDD; EDD; UBO; PEP; AML; sanctions screening.
DON'T CONFUSE	KYC (know the client) vs KYT (monitor transactions) vs KYS/KYB (know suppliers/businesses).

Syndicated loan	القرض المشترك (المجمّع)
DEFINITION	A loan provided by a group (syndicate) of lenders under one agreement, arranged by one or more lead arrangers and administered by an agent bank.
بالعربية	قرض يقدّمه تجمّع من المقرضين بموجب اتفاقية واحدة، ويرتّبه بنك أو أكثر بصفة مرتّب رئيسي، ويديره بنك وكيل.
WHY IT MATTERS	Allows large loans beyond one bank’s appetite and spreads risk.
IN PRACTICE	Roles: mandated lead arranger (MLA), bookrunner, agent, security agent, participants. Fees: arrangement, participation, agency.
EXAMPLE	$600m 5-year loan for a petrochemical company from 12 banks.
PROFESSIONAL USAGE	*“We’ve mandated two banks to arrange a $300m syndicated facility; general syndication launches next week.”*
RELATED TERMS	Club deal; agent bank; arrangement fee; LMA documentation.
DON'T CONFUSE	Syndicated loan vs club deal (small group of relationship banks, often without wide syndication) vs bilateral loan (one bank).

Non-performing loan (NPL)	**القرض غير العامل (المتعثر)**
DEFINITION	A loan on which the borrower is in default or unlikely to pay, commonly defined as 90 or more days past due or classified as credit-impaired (Stage 3 under IFRS 9).
بالعربية	قرض تعثّر فيه المقترض أو يُرجّح عدم قدرته على السداد، ويُعرَّف عادةً بالتأخر 90 يوماً أو أكثر أو بتصنيفه منخفض القيمة الائتمانية (المرحلة الثالثة وفق IFRS 9).
WHY IT MATTERS	NPLs reduce bank income, require provisions and consume capital; the NPL ratio is a key bank-health indicator.
IN PRACTICE	Banks restructure, enforce collateral or sell NPL portfolios.
EXAMPLE	Loans $10bn; NPLs $450m → NPL ratio 4.5%; provisions $360m → coverage 80%.
PROFESSIONAL USAGE	*“The NPL ratio rose to 4.5%, mainly from the construction book.”*
RELATED TERMS	Default; Stage 1/2/3; provision coverage; restructuring; write-off.
DON'T CONFUSE	NPL (bad loan) vs watch-list loan (early warning, still performing).

Quick reference: further banking terms

English	Arabic	Meaning
Relationship manager (RM)	مدير العلاقة	Bank officer responsible for a client relationship.
Credit committee	لجنة الائتمان	Body that approves credit decisions.
Credit memo / credit proposal	مذكرة الائتمان	Written analysis recommending a credit decision.
Drawdown	السحب	Using a facility (taking the loan).
Utilisation	الاستخدام	Amount currently drawn.
Headroom	الهامش المتاح	Unused capacity under a limit or covenant.
Commitment fee	عمولة الالتزام	Fee on undrawn committed amounts.
Arrangement fee	رسوم الترتيب	Upfront fee for structuring a loan.
Grace period	فترة السماح	Period before repayments begin.
Bullet / balloon	دفعة واحدة / دفعة أخيرة كبيرة	Repayment at maturity / large final instalment.
Event of default	حالة الإخلال / التعثر	Event allowing lenders to accelerate the loan.
Acceleration	تعجيل الاستحقاق	Demanding immediate repayment after default.
Waiver	التنازل / الإعفاء	Lender’s agreement to overlook a breach.
Negative pledge	التعهد بعدم الرهن	Promise not to grant security to other lenders.
Pari passu	على قدم المساواة	Ranking equally with other creditors.
Subordinated debt	الدين المساند / التابع	Debt ranking behind senior debt.
DSCR	نسبة تغطية خدمة الدين	Cash available for debt service ÷ debt service.
LTV	نسبة القرض إلى القيمة	Loan amount ÷ collateral value.
Nostro / vostro	حساب لنا لديكم / حساب لكم لدينا	Bank’s account at another bank / another bank’s account with it.

English	Arabic	Meaning
IBAN / SWIFT BIC	رقم الحساب المصرفي الدولي / رمز البنك	Account and bank identifiers for international payments.
Value date	تاريخ الحق / تاريخ القيمة	Date funds become available / interest starts.
Cut-off time	الموعد النهائي لتنفيذ العمليات	Latest time to submit payments for same-day processing.
Factoring	تحويل الفواتير (التخصيم)	Selling receivables to a factor for early cash.
Bill discounting	خصم الكمبيالات	Advancing funds against a bill of exchange before maturity.
Basel III	اتفاقية بازل 3	International bank capital and liquidity framework (BCBS).
Capital adequacy ratio (CAR)	نسبة كفاية رأس المال	Bank capital ÷ risk-weighted assets.
PEP	الشخص المعرض سياسياً	Politically exposed person — higher AML risk.
AML / CFT	مكافحة غسل الأموال وتمويل الإرهاب	Anti-money laundering / countering financing of terrorism.
Sanctions screening	الفحص مقابل قوائم العقوبات	Checking names, vessels, goods and countries against sanctions lists.

PRACTICE · Practice questions

1. A borrower has a $10m RCF, drawn $4m. Margin 2.0% over 3M SOFR (4.3%), commitment fee 35% of margin on undrawn. What is the annual cost?
2. Explain to a non-banker the difference between collateral and a guarantee.
3. A client wants a 10-year term loan to finance inventory. What is wrong with this request?
4. A covenant requires interest cover ≥ 4.0×. EBIT is $6m, interest $1.6m. Is the covenant met? How much can EBIT fall before a breach?

ANSWER · Answers to the practice questions

1. Drawn interest: 4m × 6.3% = $252,000. Commitment fee: 6m × 0.70% = $42,000. Total ≈ **$294,000** (plus any arrangement fee amortisation).
2. Collateral is an asset the lender can take and sell (property, cash, shares). A guarantee is a promise by another person or bank to pay if the borrower does not. Collateral's value depends on the asset; a guarantee's value depends on the guarantor's creditworthiness.
3. Mismatch: inventory turns over within months; it should be financed with short-term working-capital lines that are repaid as goods are sold. Long-term debt for short-term assets wastes interest and hides poor inventory management.
4. 6.0 ÷ 1.6 = 3.75× → **breach** (below 4.0×). It is already in breach; EBIT must rise to at least $6.4m to comply.

CHAPTER 6

Economics Terminology

LEARNING OBJECTIVES · In this chapter

Domain 7: the language of markets, the macro-economy and policy. Part V explains how these forces affect companies, with numerical examples.

6.1 Microeconomic and macroeconomic terms

Inflation	التضخم
DEFINITION	The rate at which the general level of prices for goods and services rises, reducing the purchasing power of money. Commonly measured by the consumer price index (CPI).
بالعربية	معدل ارتفاع المستوى العام لأسعار السلع والخدمات، مما يقلل القوة الشرائية للنقود، ويُقاس عادةً بمؤشر أسعار المستهلك.
WHY IT MATTERS	Inflation erodes margins on fixed-price contracts, raises wage demands and drives central-bank interest-rate decisions.
IN PRACTICE	“Headline” CPI includes food and energy; “core” excludes them. Contracts include price-escalation clauses linked to an index.
EXAMPLE	A 3-year fixed-price service contract signed when inflation was 2% becomes loss-making when costs rise 7% a year.
PROFESSIONAL USAGE	*“We need an indexation clause — with inflation at 6%, a fixed price for three years is too risky.”*
RELATED TERMS	CPI; PPI; real vs nominal; deflation; stagflation; indexation.
DON'T CONFUSE	Inflation (general price rise) vs a relative price change (one product becoming more expensive).

Real vs nominal	الحقيقي مقابل الاسمي
DEFINITION	Nominal values are measured in current money; real values are adjusted for inflation. Real rate ≈ nominal rate − inflation.
بالعربية	القيم الاسمية تُقاس بالنقود الجارية، أما القيم الحقيقية فمعدّلة بأثر التضخم. سعر الفائدة الحقيقي ≈ السعر الاسمي − التضخم.
WHY IT MATTERS	Revenue growth of 8% with 9% inflation is a real decline in volume or price.
IN PRACTICE	Economists report real GDP growth; investors target real returns.
EXAMPLE	Deposit at 5% with inflation at 7% → real return ≈ −2%.
PROFESSIONAL USAGE	*“In real terms, sales fell 1% — all of the growth was price.”*
RELATED TERMS	Inflation; deflator; Fisher equation; purchasing power.
DON'T CONFUSE	The exact Fisher relation: (1 + nominal) = (1 + real)(1 + inflation).

Gross domestic product (GDP) — الناتج المحلي الإجمالي

DEFINITION	The total market value of all final goods and services produced within a country in a period.
بالعربية	إجمالي القيمة السوقية لجميع السلع والخدمات النهائية المنتجة داخل بلد ما خلال فترة زمنية محددة.
WHY IT MATTERS	The broadest measure of economic activity; drives demand for most businesses.
IN PRACTICE	GDP = C + I + G + (X − M). Reported quarterly, often annualised (US) or year-on-year.
EXAMPLE	Real GDP growth slowing from 4% to 1% signals weaker demand for construction materials.
PROFESSIONAL USAGE	*“Our volumes track non-oil GDP more than headline GDP.”*
RELATED TERMS	GNI; GDP per capita; recession; business cycle; nominal/real GDP.
DON'T CONFUSE	GDP (production within borders) vs GNI (income of residents, including from abroad).

Monetary policy — السياسة النقدية

DEFINITION	Actions by a central bank to influence money supply, interest rates and credit conditions to achieve price stability and other mandates.
بالعربية	الإجراءات التي يتخذها البنك المركزي للتأثير في عرض النقود وأسعار الفائدة وشروط الائتمان، بهدف تحقيق استقرار الأسعار وأهداف أخرى.
WHY IT MATTERS	Policy rate changes pass through to loan pricing, deposit rates, exchange rates and asset prices.
IN PRACTICE	Tools: policy rate, open-market operations, reserve requirements, quantitative easing/tightening, forward guidance. Countries with currency pegs (e.g., several GCC states to USD) generally follow the anchor’s rate moves.
EXAMPLE	A 50 bps hike raises a company’s floating-rate interest bill on $20m debt by $100k a year.
PROFESSIONAL USAGE	*“With a USD peg, our borrowing costs follow Fed decisions closely.”*
RELATED TERMS	Central bank; policy rate; inflation targeting; quantitative easing; fiscal policy.
DON'T CONFUSE	Monetary policy (central bank, interest rates/money) vs fiscal policy (government spending and taxation).

Fiscal policy — السياسة المالية

DEFINITION	Government decisions on spending, taxation and borrowing to influence the economy.
بالعربية	قرارات الحكومة بشأن الإنفاق والضرائب والاقتراض للتأثير في الاقتصاد.
WHY IT MATTERS	Government projects, subsidies and tax changes directly change demand in construction, healthcare, defence and many other sectors.
IN PRACTICE	Budget deficit/surplus; public debt; stimulus; austerity.
EXAMPLE	A government’s 20% cut in capital spending reduces orders for contractors and building materials.
PROFESSIONAL USAGE	*“Fiscal consolidation next year will slow public project awards.”*
RELATED TERMS	Budget deficit; government debt; taxation; stimulus.
DON'T CONFUSE	Fiscal (treasury/ministry of finance) vs monetary (central bank).

Exchange rate (FX rate) — سعر الصرف

DEFINITION	The price of one currency in terms of another. Regimes include free float, managed float, crawling peg and fixed peg.
بالعربية	سعر عملة ما مقابل عملة أخرى. أنظمة الصرف تشمل التعويم الحر والتعويم المدار والربط الثابت.
WHY IT MATTERS	Changes the cost of imports, the value of export revenue, the burden of foreign-currency debt and competitiveness.
IN PRACTICE	Quoted as base/quote currency, e.g., EUR/USD 1.0850 means 1 EUR = 1.0850 USD.
EXAMPLE	An importer paying EUR 500k at 1.05 pays $525k; at 1.15 pays $575k.
PROFESSIONAL USAGE	*“Our margin is exposed to EUR/USD between order and payment.”*
RELATED TERMS	Appreciation; depreciation; peg; FX risk; spot; forward.
DON'T CONFUSE	Depreciation (market-driven fall) vs devaluation (official lowering of a fixed rate).

Elasticity of demand — مرونة الطلب

DEFINITION	The percentage change in quantity demanded resulting from a 1% change in price (price elasticity) or another variable (income, prices of substitutes).
بالعربية	نسبة التغير في الكمية المطلوبة الناتجة عن تغير السعر بنسبة 1% (المرونة السعرية) أو عن تغير متغير آخر كالدخل أو أسعار البدائل.
WHY IT MATTERS	Determines whether a price increase raises or lowers revenue.
IN PRACTICE	Elastic ($\|e\| > 1$): price increases reduce revenue; inelastic ($\|e\| < 1$): price increases raise revenue.
EXAMPLE	Price +10%, volume −4% → elasticity −0.4 (inelastic): revenue rises about 5.6%.
PROFESSIONAL USAGE	*“Demand for spare parts is inelastic in an emergency — but customers remember gouging.”*
RELATED TERMS	Demand curve; pricing power; substitutes; cross-elasticity.
DON'T CONFUSE	Elasticity varies along the curve and over time (short run vs long run).

Recession — الركود الاقتصادي

DEFINITION	A significant, broad-based decline in economic activity lasting more than a few months; often (informally) two consecutive quarters of negative real GDP growth.
بالعربية	تراجع كبير وواسع في النشاط الاقتصادي يستمر أكثر من بضعة أشهر، ويُعرَّف بشكل غير رسمي بربعين متتاليين من النمو السلبي للناتج المحلي الحقيقي.
WHY IT MATTERS	Recessions raise defaults, cut demand and tighten credit; resilient business models are tested.
IN PRACTICE	Official dating varies by country (e.g., the NBER in the US uses a broader assessment).
EXAMPLE	In a recession, a bank raises credit-loss provisions and tightens lending criteria for SMEs.
PROFESSIONAL USAGE	*“Our downside case assumes a mild recession with 15% lower volumes.”*
RELATED TERMS	Business cycle; GDP; unemployment; depression; stagflation.
DON'T CONFUSE	Recession (decline) vs slowdown (slower growth, still positive).

Balance of payments (BoP)	**ميزان المدفوعات**
DEFINITION	The record of all economic transactions between residents of a country and the rest of the world: current account (trade, income, transfers), capital account and financial account.
بالعربية	سجل جميع المعاملات الاقتصادية بين المقيمين في بلد ما وبقية العالم، ويتكوّن من الحساب الجاري (التجارة والدخل والتحويلات) والحساب الرأسمالي والحساب المالي.
WHY IT MATTERS	Persistent current-account deficits financed by short-term inflows can lead to currency crises, capital controls and payment delays — important country-risk signals.
IN PRACTICE	Analysts check current account, reserves (months of import cover), external debt.
EXAMPLE	A country with a current-account deficit of 8% of GDP and falling reserves may restrict FX access, delaying importers' payments.
PROFESSIONAL USAGE	*"The country's FX reserves cover only two months of imports — we should require confirmed L/Cs."*
RELATED TERMS	Current account; trade balance; FX reserves; capital flows; country risk.
DON'T CONFUSE	Trade balance (goods/services only) vs current account (also income and transfers).

Market structure	**هيكل السوق**
DEFINITION	The organisation of a market by the number and size of firms, product differentiation and entry barriers: perfect competition, monopolistic competition, oligopoly, monopoly.
بالعربية	طريقة تنظيم السوق من حيث عدد الشركات وأحجامها وتمايز المنتجات وعوائق الدخول: منافسة كاملة، منافسة احتكارية، احتكار القلة، احتكار.
WHY IT MATTERS	Structure drives pricing power, margins and strategy.
IN PRACTICE	Competition authorities measure concentration (e.g., HHI) when reviewing mergers.
EXAMPLE	Container shipping is an oligopoly with a few large carriers and alliances.
PROFESSIONAL USAGE	*"It's an oligopoly — any price move by one player is matched within weeks."*
RELATED TERMS	Monopoly; oligopoly; barriers to entry; HHI; competition law.
DON'T CONFUSE	Monopoly (one seller) vs monopsony (one buyer).

Quick reference: further economics terms

English	Arabic	Meaning
Supply and demand	العرض والطلب	Interaction determining market price and quantity.
Equilibrium	التوازن	Price where quantity supplied equals quantity demanded.
Opportunity cost	تكلفة الفرصة البديلة	Value of the best alternative forgone.
Productivity	الإنتاجية	Output per unit of input (e.g., per worker-hour).
Marginal cost	التكلفة الحدية	Cost of producing one more unit.
CPI / PPI	مؤشر أسعار المستهلك / المنتج	Price indices for consumers / producers.
Deflation	الانكماش	Falling general price level.
Stagflation	الركود التضخمي	High inflation with stagnant growth.
Policy rate	سعر الفائدة الرئيسي	Central bank's main interest rate.

English	Arabic	Meaning
Quantitative easing (QE)	التيسير الكمي	Central bank asset purchases to ease conditions.
Yield curve	منحنى العائد	Yields across maturities; inversion often precedes slow-downs.
Budget deficit	عجز الموازنة	Government spending above revenue.
Sovereign debt	الدين السيادي	Debt issued by a national government.
Currency peg	ربط العملة	Fixed exchange rate to an anchor currency.
Devaluation	تخفيض قيمة العملة	Official reduction in a pegged currency’s value.
Capital controls	القيود على حركة رأس المال	Restrictions on moving money across borders.
Tariff	التعرفة الجمركية	Tax on imports (sometimes exports).
Non-tariff barrier	العائق غير الجمركي	Quotas, licences, standards limiting trade.
Sanctions	العقوبات	Restrictions on dealings with countries, entities or persons.
Country risk	مخاطر الدولة	Risk from political, economic or legal conditions in a country.
Sovereign risk	المخاطر السيادية	Risk that a government defaults or blocks payments.
Unemployment rate	معدل البطالة	Share of the labour force without work and seeking it.
Business cycle	الدورة الاقتصادية	Expansion, peak, contraction, trough.
Purchasing Managers’ Index (PMI)	مؤشر مديري المشتريات	Survey indicator; above 50 = expansion.

CHAPTER 7

Sales, Marketing and Negotiation Terminology

LEARNING OBJECTIVES · In this chapter

Domain 8 (sales and marketing) and Domain 19 (negotiation and commercial terms). Part VIII applies these in full sales processes.

7.1 Sales and marketing terms

Customer acquisition cost (CAC) — تكلفة اكتساب العميل

DEFINITION	Total sales and marketing cost incurred to acquire new customers in a period divided by the number of new customers acquired.
بالعربية	إجمالي تكاليف المبيعات والتسويق خلال فترة مقسوماً على عدد العملاء الجدد الذين تم اكتسابهم فيها.
WHY IT MATTERS	If CAC exceeds the profit a customer generates over its life, growth destroys value.
IN PRACTICE	Compared with customer lifetime value (LTV) and payback months.
EXAMPLE	$300k spent; 150 new customers → CAC = $2,000.
PROFESSIONAL USAGE	*“Paid search CAC has doubled; referral CAC is a fifth of that.”*
RELATED TERMS	LTV; LTV/CAC; payback; conversion rate; funnel.
DON'T CONFUSE	Blended CAC (all customers) vs paid CAC (only customers from paid channels).

Customer lifetime value (CLV / LTV) — القيمة الدائمة للعميل

DEFINITION	The present value of the gross profit (or contribution) a customer is expected to generate over the whole relationship.
بالعربية	القيمة الحالية لمجمل الربح (أو المساهمة) الذي يُتوقّع أن يحققه العميل طوال فترة تعامله مع الشركة.
WHY IT MATTERS	Determines how much can be spent to acquire and retain a customer.
IN PRACTICE	Simple form: LTV = average monthly gross profit per customer ÷ monthly churn rate.
EXAMPLE	$100 monthly gross profit; churn 2% → LTV ≈ $5,000; with CAC $2,000, LTV/CAC = 2.5.
PROFESSIONAL USAGE	*“Our LTV to CAC is below 3, so we should slow paid acquisition until retention improves.”*
RELATED TERMS	CAC; churn; retention; cohort analysis; unit economics.
DON'T CONFUSE	Revenue-based LTV overstates value; use gross profit or contribution.

Sales funnel — قمع المبيعات

DEFINITION	The stages a prospect passes through from first awareness to purchase, with conversion rates between stages (e.g., lead → qualified lead → opportunity → proposal → won).
بالعربية	المراحل التي يمر بها العميل المحتمل من أول معرفة بالمنتج حتى الشراء، مع نسب التحويل بين كل مرحلة وأخرى.
WHY IT MATTERS	Shows where deals are lost and how many leads are needed to hit targets.
IN PRACTICE	Sales managers forecast from pipeline value × stage probabilities.
EXAMPLE	400 leads → 120 qualified (30%) → 40 proposals (33%) → 10 won (25%).
PROFESSIONAL USAGE	*"Our proposal-to-win rate is only 25%; we're proposing to unqualified prospects."*
RELATED TERMS	Pipeline; conversion rate; lead; opportunity; win rate.
DON'T CONFUSE	Funnel (stage-based view of prospects) vs pipeline (value of open opportunities).

Lead — العميل المحتمل

DEFINITION	A person or organisation that has shown potential interest in buying, or that matches the target profile, but has not yet been qualified.
بالعربية	شخص أو جهة أبدت اهتماماً محتملاً بالشراء أو تطابق مواصفات العميل المستهدف، لكن لم يتم التحقق من جديته بعد.
WHY IT MATTERS	Leads are the raw material of sales; quality matters more than quantity.
IN PRACTICE	MQL (marketing-qualified lead), SQL (sales-qualified lead).
EXAMPLE	A visitor downloading a whitepaper is a lead; after a call confirming budget and need, an SQL.
PROFESSIONAL USAGE	*"Marketing sent 300 leads but only 20 were sales-qualified."*
RELATED TERMS	Prospect; qualification; BANT; MQL/SQL.
DON'T CONFUSE	Lead (unqualified interest) vs prospect (qualified potential buyer) vs opportunity (active deal).

Market segmentation — تجزئة السوق

DEFINITION	Dividing a market into groups of customers with similar needs, behaviours or characteristics, so products, prices and messages can be tailored.
بالعربية	تقسيم السوق إلى مجموعات من العملاء ذوي احتياجات أو سلوكيات أو خصائص متشابهة، لتصميم المنتجات والأسعار والرسائل التسويقية المناسبة لكل مجموعة.
WHY IT MATTERS	Prevents trying to sell everything to everyone; allows price discrimination and focus.
IN PRACTICE	B2B segmentation by industry, size, geography, buying behaviour; B2C by demographics, needs, behaviour.
EXAMPLE	A logistics firm segments into e-commerce SMEs, industrial importers and project cargo.
PROFESSIONAL USAGE	*"The mid-market segment has the best margins and the shortest sales cycle."*
RELATED TERMS	Targeting; positioning; ICP (ideal customer profile); persona.
DON'T CONFUSE	Segmentation (dividing) vs targeting (choosing which segments to serve).

Churn	معدل فقدان العملاء
DEFINITION	The rate at which customers stop buying or cancel subscriptions in a period (customer churn), or the share of recurring revenue lost (revenue churn).
بالعربية	نسبة العملاء الذين يتوقفون عن الشراء أو يلغون اشتراكاتهم خلال فترة، أو نسبة الإيرادات المتكررة المفقودة.
WHY IT MATTERS	Small changes in churn create large changes in LTV and long-term growth.
IN PRACTICE	Net revenue retention (NRR) combines churn, downgrades and upsells.
EXAMPLE	Monthly churn 3% ≈ 31% of customers lost per year ($1 - 0.97^{12}$).
PROFESSIONAL USAGE	*"Gross churn is stable, but expansion revenue gives us NRR of 112%."*
RELATED TERMS	Retention; NRR; LTV; cohort.
DON'T CONFUSE	Customer churn (count) vs revenue churn (value).

Key account management (KAM)	إدارة الحسابات الرئيسية
DEFINITION	A strategic approach to managing a company's most important customers with dedicated teams, plans and senior relationships.
بالعربية	نهج استراتيجي لإدارة أهم عملاء الشركة عبر فرق وخطط مخصصة وعلاقات على مستوى الإدارة العليا.
WHY IT MATTERS	A small number of accounts often produce most revenue and profit (Pareto).
IN PRACTICE	Account plans include share-of-wallet goals, relationship maps and risk reviews.
EXAMPLE	The top 12 accounts generate 55% of revenue; each has an account director.
PROFESSIONAL USAGE	*"We need a joint business plan with the account for next year."*
RELATED TERMS	Account manager; share of wallet; customer success; CRM.
DON'T CONFUSE	Account management (growing existing customers) vs new business development (hunting new ones).

7.2 Negotiation and commercial terms

BATNA (BATNA)	أفضل بديل للاتفاق المتفاوض عليه
DEFINITION	Best alternative to a negotiated agreement: what you will do if this negotiation fails. It determines your walk-away point.
بالعربية	أفضل بديل متاح لك إذا فشل التفاوض الحالي، وهو الذي يحدد النقطة التي تنسحب عندها.
WHY IT MATTERS	Negotiating power comes mainly from having a good alternative, not from rhetoric.
IN PRACTICE	Prepare your BATNA and estimate the other side's before any significant negotiation.
EXAMPLE	A buyer with two qualified alternative suppliers at similar prices has a strong BATNA.
PROFESSIONAL USAGE	*"Our BATNA is to stay with the current supplier at a 4% higher price — that's our ceiling."*
RELATED TERMS	Reservation price; ZOPA; leverage; anchoring.
DON'T CONFUSE	BATNA (alternative course of action) vs bottom line (a number you set, which may be arbitrary).

ZOPA (ZOPA)	منطقة الاتفاق الممكن
DEFINITION	Zone of possible agreement: the range between the seller's minimum acceptable price and the buyer's maximum, within which a deal can be made.
بالعربية	النطاق الواقع بين أدنى سعر يقبله البائع وأعلى سعر يقبله المشتري، والذي يمكن داخله إبرام الصفقة.
WHY IT MATTERS	If there is no overlap, no deal is possible on price alone; parties must add other variables (terms, volume, timing).
IN PRACTICE	Negotiators estimate the ZOPA and try to capture value within it.
EXAMPLE	Seller's minimum $90; buyer's maximum $100 → ZOPA $90–$100.
PROFESSIONAL USAGE	*"There's no ZOPA on price, but extending payment terms could bridge the gap."*
RELATED TERMS	BATNA; reservation price; anchoring; trade-off.
DON'T CONFUSE	ZOPA is about the overlap; BATNA explains why each reservation price is where it is.

Quotation	عرض السعر
DEFINITION	A seller's statement of the price and terms on which it is willing to supply specified goods or services, usually with a validity period.
بالعربية	بيان من البائع بالسعر والشروط التي يقبل بها توريد بضائع أو خدمات محددة، عادة مع مدة صلاحية.
WHY IT MATTERS	Whether a quotation is a binding offer or merely an invitation to treat depends on wording and law; validity periods and conditions matter.
IN PRACTICE	Includes Incoterm, delivery time, payment terms, validity, exclusions.
EXAMPLE	"Price USD 48.50/unit FOB Ningbo, valid 15 days, 30% deposit, balance against B/L copy."
PROFESSIONAL USAGE	*"Please note our quotation is valid until 30 November and subject to material availability."*
RELATED TERMS	Offer; pro forma invoice; RFQ; acceptance; tender.
DON'T CONFUSE	Quotation (often non-binding) vs firm offer (binding if accepted within validity) vs pro forma invoice (preliminary invoice).

Payment terms	شروط الدفع
DEFINITION	The agreed conditions for when and how payment is made: timing (advance, at sight, net 30/60/90), method (transfer, L/C, collection), currency, and discounts or penalties.
بالعربية	الشروط المتفق عليها بشأن موعد الدفع وطريقته: التوقيت (مقدماً، عند الاطلاع، بعد 30 أو 60 أو 90 يوماً)، والوسيلة (تحويل، اعتماد مستندي، تحصيل)، والعملة، والخصومات أو الغرامات.
WHY IT MATTERS	Payment terms move risk and financing cost between buyer and seller; they are as important as price.
IN PRACTICE	"2/10 net 30" = 2% discount if paid in 10 days, otherwise due in 30.
EXAMPLE	30% advance, 70% against copy of bill of lading.
PROFESSIONAL USAGE	*"We can meet your price if you accept 30% advance instead of 60 days open account."*
RELATED TERMS	Open account; L/C; DSO; early payment discount; trade credit.
DON'T CONFUSE	Payment terms (contractual) vs payment practice (what customers actually do).

Quick reference: further sales, marketing and negotiation terms

English	Arabic	Meaning
Prospect	العميل المرتقب	Qualified potential buyer.

English	Arabic	Meaning
Pipeline	خط المبيعات	Open opportunities, with values and stages.
Conversion rate	معدل التحويل	Share moving from one stage to the next.
Upselling / cross-selling	البيع الأعلى / البيع المتقاطع	Selling a higher version / related products to the same customer.
Positioning	التموضع	How a brand is perceived relative to competitors.
Brand equity	قيمة العلامة التجارية	Value from customer perception of a brand.
Go-to-market (GTM)	استراتيجية الوصول إلى السوق	Plan for reaching and selling to target customers.
Ideal customer profile (ICP)	ملف العميل المثالي	Description of the best-fit customer organisation.
RFP / RFQ / RFI	طلب عرض / طلب تسعير / طلب معلومات	Buyer's requests for proposals / quotes / information.
Tender	المناقصة	Formal competitive bidding process.
Win rate	نسبة الفوز	Deals won ÷ deals decided.
Sales cycle	دورة المبيعات	Time from first contact to closing.
Quota	الحصة المستهدفة	Sales target for a salesperson.
Commission	العمولة	Payment based on sales achieved.
Anchoring	التثبيت المرجعي	Setting a first number that influences the negotiation.
Concession	التنازل	Something given up in negotiation.
Walk-away price	سعر الانسحاب	Point beyond which you will not agree.
Trade-off	المقايضة	Exchanging one variable for another (price for volume).
Exclusivity	الحصرية	Agreement to deal only with one party in a scope.
Letter of intent (LOI)	خطاب النوايا	Preliminary document of intended terms.
Volume discount / rebate	خصم الكمية / الحسم اللاحق	Price reduction for quantity / refund after reaching volume.
Most-favoured-customer clause	بند العميل الأكثر رعاية	Promise to give a customer terms at least as good as others.
Net promoter score (NPS)	صافي نقاط الترويج	Loyalty measure: % promoters – % detractors.

CHAPTER 8

Operations, Supply Chain and International Trade Terminology

LEARNING OBJECTIVES · In this chapter

Domain 9 (operations and supply chain) and Domain 10 (international trade). Parts VII and IX explain processes, documents and calculations.

8.1 Operations and supply chain terms

Lead time	مهلة التوريد
DEFINITION	The time between initiating a process (placing an order) and its completion (receipt of goods). Includes supplier production, transit and clearance.
بالعربية	الفترة بين بدء العملية (تقديم الطلب) واكتمالها (استلام البضاعة)، وتشمل وقت الإنتاج لدى المورد والنقل والتخليص الجمركي.
WHY IT MATTERS	Longer and more variable lead times require more safety stock and working capital.
IN PRACTICE	Inputs to reorder points and production plans.
EXAMPLE	China to Jebel Ali: 25 days production + 20 days transit + 5 days clearance = 50 days.
PROFESSIONAL USAGE	*“Lead times have stretched to 10 weeks; we need to increase our order quantities.”*
RELATED TERMS	Reorder point; safety stock; cycle time; transit time.
DON'T CONFUSE	Lead time (end-to-end) vs transit time (shipping only).

Safety stock	المخزون الاحتياطي (مخزون الأمان)
DEFINITION	Extra inventory held to protect against variability in demand and lead time.
بالعربية	مخزون إضافي يُحتفظ به للحماية من تقلبات الطلب وتأخر التوريد.
WHY IT MATTERS	Balances service level against the cost of holding inventory.
IN PRACTICE	Statistical formula: SS = z × σ(demand during lead time).
EXAMPLE	z = 1.65 (95% service), σ of lead-time demand 400 units → SS ≈ 660 units.
PROFESSIONAL USAGE	*“We cut safety stock to free cash, and stock-outs doubled.”*
RELATED TERMS	Reorder point; service level; buffer stock; inventory turnover.
DON'T CONFUSE	Safety stock (buffer) vs cycle stock (normal replenishment quantity).

Reorder point (ROP) نقطة إعادة الطلب

DEFINITION	The inventory level at which a new order should be placed: expected demand during lead time plus safety stock.
بالعربية	مستوى المخزون الذي يجب عنده تقديم طلب جديد: الطلب المتوقع خلال مهلة التوريد مضافاً إليه مخزون الأمان.
WHY IT MATTERS	Prevents stock-outs while avoiding excess inventory.
IN PRACTICE	Configured in ERP/WMS systems to trigger purchase requisitions.
EXAMPLE	Demand 100/day, lead time 20 days, SS 660 → ROP = 2,660 units.
PROFESSIONAL USAGE	*“Reset the reorder points — lead times are no longer 20 days.”*
RELATED TERMS	Safety stock; EOQ; lead time; MRP.
DON'T CONFUSE	ROP (when to order) vs EOQ (how much to order).

Landed cost التكلفة الواصلة (حتى المستودع)

DEFINITION	The total cost of a product delivered to the buyer’s premises: purchase price + freight + insurance + duties and taxes (non-recoverable) + port, clearance and handling charges + inland transport + financing and other costs.
بالعربية	التكلفة الإجمالية للمنتج حتى وصوله إلى مقر المشتري: سعر الشراء + الشحن + التأمين + الرسوم والضرائب غير المستردة + رسوم الميناء والتخليص والمناولة + النقل الداخلي + تكاليف التمويل وغيرها.
WHY IT MATTERS	Pricing and margin decisions based on supplier price alone systematically overstate profit.
IN PRACTICE	Allocated per unit by value, weight or volume.
EXAMPLE	Price $10.00 + freight $0.80 + insurance $0.03 + duty 5% on CIF $0.54 + local charges $0.35 → about $11.72 per unit.
PROFESSIONAL USAGE	*“At landed cost the margin is 18%, not the 30% sales were quoting.”*
RELATED TERMS	Incoterms; customs value; COGS; freight allocation.
DON'T CONFUSE	Landed cost (delivered) vs ex-works price (at seller’s door).

Inventory turnover معدل دوران المخزون

DEFINITION	COGS divided by average inventory: how many times inventory is sold and replaced in a period. Days inventory outstanding (DIO) = 365 ÷ turnover.
بالعربية	تكلفة البضاعة المبيعة مقسومة على متوسط المخزون، أي عدد مرات بيع المخزون واستبداله خلال الفترة. وأيام المخزون = 365 ÷ معدل الدوران.
WHY IT MATTERS	Low turnover ties up cash and signals obsolete or slow-moving stock.
IN PRACTICE	Benchmarked by industry: grocery retail turns fast; heavy equipment slow.
EXAMPLE	COGS $8.4m ÷ average inventory $2.25m = 3.7× → DIO ≈ 98 days.
PROFESSIONAL USAGE	*“DIO increased by 20 days — there’s slow-moving stock in the outdoor range.”*
RELATED TERMS	DIO; cash conversion cycle; obsolescence; ABC analysis.
DON'T CONFUSE	Inventory turnover (cost basis) is sometimes computed on revenue; be consistent.

Third-party logistics (3PL)	**الخدمات اللوجستية لطرف ثالث**
DEFINITION	Outsourced logistics services — warehousing, transport, fulfilment, customs — provided by a specialised company.
بالعربية	خدمات لوجستية يقدمها طرف متخصص بالنيابة عن الشركة، كالتخزين والنقل وتجهيز الطلبات والتخليص الجمركي.
WHY IT MATTERS	Converts fixed logistics costs into variable ones and provides expertise and scale.
IN PRACTICE	Contracts priced per pallet, per order, per shipment, with KPIs and SLAs.
EXAMPLE	An e-commerce company pays a 3PL $1.20 per order picked and $12 per pallet per month.
PROFESSIONAL USAGE	*“Moving to a 3PL would turn warehouse capex into a variable cost.”*
RELATED TERMS	4PL; freight forwarder; fulfilment; SLA.
DON'T CONFUSE	3PL (executes logistics) vs 4PL (manages the whole logistics network, often orchestrating several 3PLs).

8.2 International trade terms

Incoterms® 2020	**قواعد إنكوتيرمز 2020**
DEFINITION	Eleven ICC rules defining the obligations, costs and risk transfer between seller and buyer for delivery of goods: EXW, FCA, CPT, CIP, DAP, DPU, DDP (any mode) and FAS, FOB, CFR, CIF (sea and inland waterway).
بالعربية	إحدى عشرة قاعدة صادرة عن غرفة التجارة الدولية تحدد التزامات البائع والمشتري وتوزيع التكاليف ولحظة انتقال المخاطر عند تسليم البضائع.
WHY IT MATTERS	A single three-letter rule decides who pays freight and insurance, who clears customs and when risk passes — central to pricing, insurance and L/C documents.
IN PRACTICE	Always state the rule with a named place and version: “CIF Jebel Ali, Incoterms® 2020”.
EXAMPLE	Under FOB Shanghai, risk passes when goods are on board the vessel at Shanghai; the buyer pays sea freight and insurance.
PROFESSIONAL USAGE	*“Quote me CFR Dammam; we’ll arrange insurance locally.”*
RELATED TERMS	Delivery; risk transfer; FOB; CIF; DAP; DDP.
DON'T CONFUSE	Incoterms do not deal with transfer of ownership (title), payment, or breach remedies — the sales contract does.

Bill of lading (B/L)	**بوليصة الشحن**
DEFINITION	A document issued by a carrier (or its agent) for sea transport that serves as (1) receipt for goods shipped, (2) evidence of the contract of carriage, and (3) when negotiable ("to order"), a document of title that controls the goods.
بالعربية	مستند يصدره الناقل البحري أو وكيله، ويؤدي ثلاث وظائف: إيصال باستلام البضاعة، ودليل على عقد النقل، وسند ملكية يمثّل البضاعة إذا كان قابلاً للتداول (لأمر).
WHY IT MATTERS	Whoever holds the original negotiable B/L can claim the goods; banks rely on it under L/Cs.
IN PRACTICE	Clean (no notation of damage), on-board, to order, blank-endorsed; issued in sets of originals (often 3/3).
EXAMPLE	"Full set of clean on-board ocean bills of lading made out to the order of the issuing bank, notify applicant."
PROFESSIONAL USAGE	*"We'll release the original B/Ls once the balance payment is received."*
RELATED TERMS	Sea waybill; house B/L; master B/L; telex release; document of title.
DON'T CONFUSE	Negotiable B/L (document of title) vs sea waybill (non-negotiable; consignee named; no original needed to collect goods).

Customs value	**القيمة الجمركية**
DEFINITION	The value of imported goods for calculating ad valorem duty, primarily the transaction value (price actually paid or payable) with adjustments, under the WTO Customs Valuation Agreement. Many countries use CIF value as the basis; some use FOB.
بالعربية	قيمة البضائع المستوردة التي تُحتسب على أساسها الرسوم الجمركية القيمية، وتعتمد أساساً على قيمة الصفقة (الثمن المدفوع فعلاً أو المستحق) مع تعديلات، وفق اتفاقية القيمة الجمركية لمنظمة التجارة العالمية. تعتمد دول كثيرة قيمة CIF أساساً.
WHY IT MATTERS	Under-valuation is customs fraud; over-valuation increases duty and can be a sign of trade-based money laundering.
IN PRACTICE	Verify each country's basis, duty rates by HS code, and taxes (e.g., VAT on duty-inclusive value).
EXAMPLE	CIF value $50,000; duty 5% → $2,500; VAT 5% on (50,000 + 2,500) → $2,625 (illustrative; GCC rates should be verified).
PROFESSIONAL USAGE	*"Customs rejected our declared value and uplifted it based on reference prices."*
RELATED TERMS	HS code; duty; transaction value; CIF; customs broker.
DON'T CONFUSE	Customs value vs invoice value (may differ due to adjustments: royalties, assists, freight).

HS code (HS)	**رمز النظام المنسق**
DEFINITION	The Harmonized Commodity Description and Coding System maintained by the World Customs Organization: a 6-digit international product classification, extended to 8–12 digits nationally, used to determine tariffs, controls and statistics.
بالعربية	النظام المنسق لتصنيف وترميز السلع الذي تديره منظمة الجمارك العالمية: تصنيف دولي من 6 أرقام، تمدده الدول إلى 8–12 رقماً، ويُستخدم لتحديد الرسوم والقيود والإحصاءات.
WHY IT MATTERS	The code determines duty rate, licensing requirements and eligibility for preferential origin.
IN PRACTICE	Misclassification leads to penalties, delays and back-duties.
EXAMPLE	A different classification may change duty from 5% to 15% on the same goods.
PROFESSIONAL USAGE	*“Let’s get a binding ruling on the HS code before we sign a delivered-duty-paid contract.”*
RELATED TERMS	Tariff; customs classification; rules of origin; WCO.
DON'T CONFUSE	HS code (classification) vs certificate of origin (country of origin).

Freight forwarder	**وكيل الشحن**
DEFINITION	A company that arranges the transport of goods on behalf of shippers: booking carriers, consolidating cargo, preparing documents, arranging insurance, customs clearance and delivery.
بالعربية	شركة تنظم نقل البضائع نيابةً عن الشاحنين، فتحجز لدى الناقلين وتجمّع الشحنات وتعد المستندات وترتب التأمين والتخليص الجمركي والتسليم.
WHY IT MATTERS	Most importers and exporters rely on forwarders rather than dealing directly with shipping lines and airlines.
IN PRACTICE	May act as agent or as principal (NVOCC issuing house bills of lading).
EXAMPLE	A forwarder consolidates five small shipments into one 40ft container (LCL to FCL).
PROFESSIONAL USAGE	*“Our forwarder can get a better rate on the Shanghai–Jebel Ali lane through their contract with the carrier.”*
RELATED TERMS	NVOCC; customs broker; carrier; house B/L; LCL/FCL.
DON'T CONFUSE	Forwarder (organises transport) vs carrier (performs it) vs customs broker (clears customs).

Demurrage and detention (D&D)	**غرامات التأخير: الديمرج والاحتجاز**
DEFINITION	Charges for using carrier-owned containers beyond agreed free time: demurrage typically applies while a full container remains in the port/terminal; detention while the container is outside the terminal (e.g., at the consignee's warehouse) before being returned. Exact definitions vary by carrier and contract.
بالعربية	رسوم تُفرض على استخدام حاويات الناقل بعد انتهاء الفترة المجانية: الديمرج عادةً عن بقاء الحاوية المحمّلة في الميناء، والاحتجاز عن بقائها خارج الميناء قبل إعادتها. تختلف التعريفات حسب الناقل والعقد. وفي الشحن الصب يعني الديمرج تعويض مالك السفينة عن تجاوز مدة التحميل أو التفريغ.
WHY IT MATTERS	D&D can quickly exceed the freight cost if documents or customs clearance are delayed.
IN PRACTICE	Negotiate free time in the freight contract; in bulk shipping, demurrage under a charter party compensates the shipowner for exceeding laytime.
EXAMPLE	Free time 7 days; container collected on day 15 at $100/day → $800 demurrage.
PROFESSIONAL USAGE	*"The B/Ls arrived late, so we're paying demurrage on 12 containers."*
RELATED TERMS	Free time; laytime; charter party; storage charges.
DON'T CONFUSE	Container D&D (liner shipping) vs vessel demurrage (bulk/tanker charter parties).

Quick reference: further operations and trade terms

English	Arabic	Meaning
Supply chain	سلسلة الإمداد	Network from raw materials to the end customer.
Procurement	المشتريات	Process of sourcing and buying goods and services.
Purchase order (PO)	أمر الشراء	Buyer's formal order document.
Bill of materials (BOM)	قائمة المواد	List of components for a product.
EOQ	الكمية الاقتصادية للطلب	Order quantity minimising ordering + holding costs.
SKU	وحدة حفظ المخزون	Unique stock item code.
WMS / TMS	نظام إدارة المستودعات / النقل	Software for warehouse / transport management.
Cross-docking	التحويل المباشر بين الأرصفة	Transferring goods from inbound to outbound with minimal storage.
FCL / LCL	حاوية كاملة / شحنة جزئية	Full container load / less than container load.
TEU / FEU	حاوية 20 قدماً / 40 قدماً	Twenty- / forty-foot equivalent unit.
Air waybill (AWB)	بوليصة الشحن الجوي	Non-negotiable air transport document.
Certificate of origin (CO)	شهادة المنشأ	Document certifying where goods were produced.
Packing list	قائمة التعبئة	Details of packages, weights and contents.
Commercial invoice	الفاتورة التجارية	Seller's invoice for the goods; basis for customs and payment.
Pro forma invoice	الفاتورة المبدئية	Preliminary invoice used for quotes, prepayment or import licences.
Consignee / shipper	المرسل إليه / الشاحن	Party receiving / sending the goods.
Notify party	الطرف المُخطَر	Party the carrier notifies on arrival.
Customs broker	المخلّص الجمركي	Licensed agent who clears goods through customs.

English	Arabic	Meaning
Bonded warehouse	المستودع الجمركي (المنطقة الحرة)	Storage where duties are suspended until release.
Transhipment	إعادة الشحن (المسافنة)	Transfer of cargo between vessels en route.
Free time	الفترة المجانية	Period before D&D/storage charges start.
Rules of origin	قواعد المنشأ	Criteria for determining a product's origin.
Export licence	رخصة التصدير	Permission required to export controlled goods.
Dual-use goods	السلع ذات الاستخدام المزدوج	Goods with civil and military uses, subject to controls.
Trade finance	تمويل التجارة	Financing and risk mitigation for trade transactions.
Documentary collection	التحصيل المستندي	Banks handle documents against payment/acceptance (URC 522).
Open account	الحساب المفتوح	Goods shipped before payment, which is due at an agreed date.
Advance payment	الدفع المقدم	Buyer pays before shipment.

PRACTICE · Practice questions

1. Your company's revenue grew 7% while inflation was 9%. Describe the real change.
2. A price increase of 5% leads to a 12% fall in volume. Is demand elastic? What happens to revenue?
3. Monthly marketing spend $60k brings 40 customers; average gross profit per customer is $150/month with 2.5% monthly churn. Compute CAC, LTV and LTV/CAC.
4. Daily demand 50 units, lead time 30 days, safety stock 400. What is the reorder point?
5. Under FOB Ningbo, a container falls into the sea during loading before it is on board. Whose risk? Under CIF Jebel Ali, the vessel sinks mid-voyage. Whose risk, and who holds the insurance?

ANSWER · Answers to the practice questions

1. Real growth ≈ 1.07 ÷ 1.09 − 1 = **−1.8%**: in real terms the business shrank.
2. Elasticity = −12% ÷ 5% = −2.4 → **elastic**. Revenue ≈ 1.05 × 0.88 − 1 = **−7.6%**.
3. CAC = 60,000 ÷ 40 = **$1,500**; LTV ≈ 150 ÷ 0.025 = **$6,000**; LTV/CAC = **4.0** (healthy if the churn estimate is reliable).
4. ROP = 50 × 30 + 400 = **1,900 units**.
5. FOB: risk passes when goods are on board; before that it is the **seller's** risk. CIF: risk passed to the **buyer** when goods were loaded at origin; the seller had to buy insurance for the buyer's benefit (minimum Institute Cargo Clauses (C) cover under CIF in Incoterms® 2020), so the buyer claims under that policy.

CHAPTER 9

Legal, Risk, Compliance and Insurance Terminology

LEARNING OBJECTIVES · In this chapter

Domain 11 (legal and contractual), Domain 15 (risk management and compliance) and Domain 16 (insurance). Legal concepts are explained in general terms; rules vary by jurisdiction and actual transactions need advice from a qualified local lawyer. Part XII and Part XV give full treatment.

9.1 Legal and contractual terms

Representations and warranties (R&W) — الإقرارات والضمانات

DEFINITION	Statements of fact made by a party in a contract (representations) and contractual promises that certain facts are true (warranties). If untrue, the other party may have remedies — damages, termination or indemnity — depending on the contract and governing law.
بالعربية	الإقرارات هي بيانات بوقائع يقدمها أحد الأطراف في العقد، والضمانات وعود تعاقدية بأن وقائع معينة صحيحة. إذا ثبت عدم صحتها قد يحق للطرف الآخر المطالبة بالتعويض أو الفسخ أو الرجوع بالتعويض الخاص بحسب العقد والقانون الحاكم.
WHY IT MATTERS	In acquisitions, loans and supply contracts, R&W allocate the risk of unknown facts to the party best placed to know them.
IN PRACTICE	Seller in an SPA warrants that accounts are accurate, there is no undisclosed litigation, taxes are paid. A disclosure letter qualifies warranties.
EXAMPLE	Seller warrants “no customer representing more than 10% of revenue has given notice of termination”.
PROFESSIONAL USAGE	*“We need a specific warranty on tax, plus an indemnity for the open audit years.”*
RELATED TERMS	Indemnity; disclosure letter; due diligence; W&I insurance; SPA.
DON'T CONFUSE	The legal distinction between representations and warranties differs between common-law and civil-law systems; in practice they are often drafted together.

Indemnity — التعويض / الالتزام بالتعويض

DEFINITION	A contractual promise by one party to compensate the other for specified losses, often on a pound-for-pound basis, regardless of whether a breach occurred.
بالعربية	تعهد تعاقدي من أحد الأطراف بتعويض الطرف الآخر عن خسائر محددة، غالباً بمبلغ مساوٍ للخسارة، بغض النظر عن وقوع إخلال بالعقد.
WHY IT MATTERS	Gives stronger, more predictable protection than a claim for breach of warranty; often capped and time-limited.
IN PRACTICE	IP infringement indemnities in software contracts; tax indemnities in acquisitions.
EXAMPLE	Supplier indemnifies buyer for any third-party claim that the product infringes a patent.
PROFESSIONAL USAGE	*“The indemnity is uncapped — we need to limit it to the contract value.”*
RELATED TERMS	Warranty; limitation of liability; hold harmless; insurance.
DON'T CONFUSE	Indemnity (compensation for specified loss) vs damages for breach (must prove breach and loss, subject to remoteness/mitigation rules).

Force majeure (FM) — القوة القاهرة

DEFINITION	A contract clause excusing or suspending performance when events beyond a party's reasonable control (war, natural disaster, epidemic, government action) prevent performance. Its scope depends on drafting; some legal systems also have statutory doctrines.
بالعربية	بند في العقد يعفي الطرف من الأداء أو يعلّقه عند وقوع أحداث خارجة عن سيطرته المعقولة، كالحروب والكوارث الطبيعية والأوبئة والقرارات الحكومية. يتحدد نطاقه بصياغة العقد، وتعرف بعض الأنظمة القانونية القوة القاهرة بنصوص تشريعية.
WHY IT MATTERS	Determines who bears the cost of disruption; poorly drafted clauses cause disputes.
IN PRACTICE	Key points: list of events, causation, notice periods, mitigation, duration after which either party can terminate.
EXAMPLE	A port closure by government order prevents loading for 3 weeks; seller gives FM notice within 5 days as required.
PROFESSIONAL USAGE	*"Rising prices are not force majeure — the contract only covers events that make performance impossible."*
RELATED TERMS	Hardship; frustration; impossibility; termination; notice.
DON'T CONFUSE	Force majeure (performance prevented) vs hardship (performance more onerous; some laws and ICC clauses allow renegotiation).

Limitation of liability (LoL) — تحديد المسؤولية

DEFINITION	A clause capping the amount and/or types of loss a party can be liable for (e.g., cap at contract value; exclusion of indirect and consequential loss, loss of profit).
بالعربية	بند يحدد سقفاً لمقدار الخسارة التي يُسأل عنها الطرف و/أو أنواعها، مثل تحديدها بقيمة العقد أو استبعاد الخسائر غير المباشرة والتبعية والربح الفائت.
WHY IT MATTERS	Makes risk insurable and proportionate to the contract's value; enforceability is subject to local law (often not for fraud, gross negligence, death or personal injury).
IN PRACTICE	Negotiated heavily in IT, services, construction and logistics contracts.
EXAMPLE	Logistics provider's liability capped at 2 SDR/kg or the invoice value, whichever is lower.
PROFESSIONAL USAGE	*"We can accept a cap of 100% of annual fees, excluding data-protection breaches."*
RELATED TERMS	Indemnity; exclusion clause; consequential loss; insurance.
DON'T CONFUSE	Cap on amount vs exclusion of loss types; both often appear together.

Conditions precedent (CPs)	الشروط المسبقة (الواقفة)
DEFINITION	Conditions that must be satisfied (or waived) before an obligation becomes effective — e.g., regulatory approval, board approval, delivery of security documents before a loan can be drawn.
بالعربية	شروط يجب تحقيقها (أو التنازل عنها) قبل أن يصبح الالتزام نافذاً، مثل الموافقة التنظيمية أو موافقة مجلس الإدارة أو تسليم مستندات الضمان قبل سحب القرض.
WHY IT MATTERS	Protects parties from being bound before key requirements are met; the timetable to closing is driven by CPs.
IN PRACTICE	Loan agreements include CP checklists; SPAs include merger-control clearance as a CP.
EXAMPLE	Drawdown conditional on registration of the mortgage and a legal opinion.
PROFESSIONAL USAGE	*"All CPs are satisfied except the competition clearance — closing is pending."*
RELATED TERMS	Conditions subsequent; closing; long-stop date; signing vs closing.
DON'T CONFUSE	Condition precedent (before effect) vs condition subsequent (after effect, failure may end the obligation) vs covenant (ongoing promise).

Governing law and jurisdiction	القانون الحاكم والاختصاص القضائي
DEFINITION	Governing law is the legal system that interprets the contract; jurisdiction (or arbitration) clause determines which courts or tribunal decide disputes.
بالعربية	القانون الحاكم هو النظام القانوني الذي يُفسَّر العقد وفقه، وبند الاختصاص (أو التحكيم) يحدد المحاكم أو هيئة التحكيم المختصة بالفصل في النزاعات.
WHY IT MATTERS	The same clause can mean different things under different laws; enforcement of judgments and awards depends on treaties (e.g., the New York Convention for arbitral awards).
IN PRACTICE	International contracts often choose English law with arbitration (e.g., ICC, LCIA, DIAC, SCCA) or a regional centre.
EXAMPLE	"This Agreement is governed by English law. Disputes shall be finally resolved by arbitration under the ICC Rules, seat London."
PROFESSIONAL USAGE	*"We need an arbitration clause — a foreign court judgment may not be enforceable in the buyer's country."*
RELATED TERMS	Arbitration; litigation; seat; enforcement; New York Convention.
DON'T CONFUSE	Governing law (substance) vs seat of arbitration (procedural home) vs venue (physical location of hearings).

Arbitration — التحكيم

DEFINITION	A private dispute-resolution process in which parties agree to submit disputes to one or more arbitrators whose award is binding and generally enforceable internationally.
بالعربية	وسيلة خاصة لتسوية النزاعات يتفق فيها الأطراف على عرض نزاعاتهم على محكّم أو أكثر، ويكون قرارهم (حكم التحكيم) ملزماً وقابلاً للتنفيذ دولياً في الغالب.
WHY IT MATTERS	Neutral forum, confidentiality, expert arbitrators and cross-border enforceability; but costs can be high.
IN PRACTICE	Institutional (ICC, LCIA, SIAC, DIAC, etc.) vs ad hoc (UNCITRAL rules).
EXAMPLE	A $3m quality claim between a Turkish seller and an Iraqi buyer resolved by ICC arbitration.
PROFESSIONAL USAGE	*"For a contract this size, ad hoc arbitration with a sole arbitrator is more cost-effective."*
RELATED TERMS	Mediation; litigation; New York Convention; award.
DON'T CONFUSE	Arbitration (binding) vs mediation (facilitated negotiation, non-binding unless settled).

Termination clause — بند إنهاء العقد

DEFINITION	Provisions setting out when and how a party may end a contract — for convenience, for material breach (often after a cure period), insolvency, change of control or prolonged force majeure — and the consequences.
بالعربية	أحكام تحدد متى وكيف يجوز لأحد الأطراف إنهاء العقد، سواء للملاءمة أو للإخلال الجوهري (بعد مهلة للتصحيح عادة) أو للإفلاس أو تغيّر السيطرة أو استمرار القوة القاهرة، والآثار المترتبة على الإنهاء.
WHY IT MATTERS	Determines how locked-in each party is and what happens to orders in progress, stock, payments and exclusivity.
IN PRACTICE	Distribution agreements: notice periods, buy-back of stock, post-termination non-compete (subject to local law).
EXAMPLE	"Either party may terminate on 90 days' written notice; on termination, the principal shall repurchase saleable stock at net cost."
PROFESSIONAL USAGE	*"The supplier can terminate for convenience with 30 days' notice — that's too short for our investment."*
RELATED TERMS	Material breach; cure period; change of control; survival clauses.
DON'T CONFUSE	Termination for convenience (no reason needed) vs for cause (breach).

Quick reference: further legal terms

English	Arabic	Meaning
Offer and acceptance	الإيجاب والقبول	Basic elements forming a contract.
Consideration	المقابل	Something of value exchanged (common-law requirement).
Breach of contract	الإخلال بالعقد	Failure to perform an obligation.
Material breach	الإخلال الجوهري	Serious breach justifying termination.
Damages	التعويض عن الضرر	Monetary compensation for loss.
Liquidated damages (LDs)	التعويض الاتفاقي (الشرط الجزائي)	Pre-agreed sum payable for a specific breach (e.g., delay).

English	Arabic	Meaning
Penalty	الغرامة	Sum aimed at punishment rather than compensation; treatment varies by law.
Waiver	التنازل	Giving up a right.
Assignment	الحوالة / التنازل عن الحقوق	Transferring rights under a contract.
Novation	الاستبدال / تجديد الالتزام	Replacing a party with consent of all.
Severability	قابلية الفصل	Invalid clause does not void the whole contract.
Entire agreement	الاتفاق الكامل	Contract supersedes prior discussions.
Confidentiality / NDA	السرية / اتفاقية عدم الإفصاح	Obligation not to disclose information.
Intellectual property (IP)	الملكية الفكرية	Patents, trademarks, copyrights, trade secrets.
Licence	الترخيص	Permission to use IP or property on terms.
Non-compete	عدم المنافسة	Restriction on competing; enforceability varies widely.
Statute of limitations	مدة التقادم	Time limit to bring a claim.
Power of attorney	الوكالة القانونية	Authorisation to act for another.
Notarisation / legalisation / apostille	التوثيق / التصديق / الأبوستيل	Formalities to make documents recognised abroad.
Insolvency / bankruptcy	الإعسار / الإفلاس	Inability to pay debts; formal legal procedures differ by country.
Liquidation	التصفية	Winding up a company and distributing assets.
Receivership / administration	الحراسة القضائية / الإدارة القضائية	Procedures where an appointee manages an insolvent company’s assets.
Anti-bribery	مكافحة الرشوة	Laws prohibiting corrupt payments (e.g., US FCPA, UK Bribery Act).
Data protection	حماية البيانات	Rules on processing personal data (e.g., EU GDPR, national laws).

9.2 Risk management and compliance terms

Counterparty risk	مخاطر الطرف المقابل
DEFINITION	The risk that the other party to a contract or transaction fails to perform: does not pay, deliver, or honour a derivative or guarantee.
بالعربية	خطر عدم وفاء الطرف الآخر في العقد أو الصفقة بالتزاماته، كعدم الدفع أو عدم التسليم أو عدم الوفاء بعقد مشتق أو ضمان.
WHY IT MATTERS	Every open-account sale, prepayment, forward contract and deposit creates counterparty exposure.
IN PRACTICE	Mitigated by credit limits, L/Cs, guarantees, credit insurance, collateral, netting and diversification.
EXAMPLE	Prepaying 50% to a new supplier creates counterparty risk of $250k; an advance-payment guarantee mitigates it.
PROFESSIONAL USAGE	*"We need to mitigate counterparty risk — the buyer is new and in a high-risk jurisdiction."*
RELATED TERMS	Credit risk; performance risk; settlement risk; credit limit; collateral.
DON'T CONFUSE	Counterparty risk (specific counterparty failure) vs market risk (price movements).

Credit risk	مخاطر الائتمان
DEFINITION	The risk of loss because a borrower or customer fails to meet payment obligations. Measured by probability of default (PD), loss given default (LGD) and exposure at default (EAD): expected loss = PD × LGD × EAD.
بالعربية	خطر الخسارة الناتجة عن عجز المقترض أو العميل عن الوفاء بالتزامات الدفع. يُقاس باحتمال التعثر والخسارة عند التعثر والتعرض عند التعثر: الخسارة المتوقعة = PD × LGD × EAD.
WHY IT MATTERS	The core risk of banks and of any company selling on credit.
IN PRACTICE	Credit scoring, ratings, limits, provisioning, pricing.
EXAMPLE	EAD $1m, PD 2%, LGD 45% → expected loss $9,000.
PROFESSIONAL USAGE	*"The expected loss on this exposure is low, but the concentration is too high."*
RELATED TERMS	Counterparty risk; default; rating; ECL; collateral.
DON'T CONFUSE	Expected loss (priced and provisioned) vs unexpected loss (covered by capital).

Operational risk	المخاطر التشغيلية
DEFINITION	The risk of loss from inadequate or failed internal processes, people and systems, or from external events (Basel definition, which includes legal risk but excludes strategic and reputational risk).
بالعربية	خطر الخسارة الناتجة عن قصور أو فشل الإجراءات الداخلية أو الأفراد أو الأنظمة، أو عن أحداث خارجية. يشمل وفق تعريف بازل المخاطر القانونية، ولا يشمل المخاطر الاستراتيجية ومخاطر السمعة.
WHY IT MATTERS	Fraud, errors, cyber attacks and system outages cause some of the largest losses in business.
IN PRACTICE	Controls: segregation of duties, maker-checker, reconciliations, access controls, business continuity.
EXAMPLE	A payment clerk changes a supplier's bank details after a fake email — $180k lost.
PROFESSIONAL USAGE	*"This is an operational-risk issue: no callback verification on bank-detail changes."*
RELATED TERMS	Internal control; fraud; cyber risk; business continuity; RCSA.
DON'T CONFUSE	Operational risk (process failure) vs credit risk (counterparty) vs market risk (prices).

Compliance	الامتثال
DEFINITION	Ensuring that an organisation follows applicable laws, regulations, standards and internal policies, and managing the risk of non-compliance.
بالعربية	ضمان التزام المنشأة بالقوانين واللوائح والمعايير والسياسات الداخلية المطبقة، وإدارة مخاطر عدم الامتثال.
WHY IT MATTERS	Non-compliance leads to fines, licence loss, criminal liability and reputational damage.
IN PRACTICE	Functions: AML, sanctions, anti-bribery, data protection, competition, market conduct.
EXAMPLE	A trading company introduces sanctions screening of vessels and counterparties after a near-miss.
PROFESSIONAL USAGE	*"Compliance has to clear the counterparty before we sign."*
RELATED TERMS	AML; sanctions; three lines model; regulatory risk; code of conduct.
DON'T CONFUSE	Compliance (rules) vs risk management (all risks) vs internal audit (independent assurance).

Anti-money laundering (AML) مكافحة غسل الأموال

DEFINITION	Laws, regulations and procedures to prevent criminals from disguising illegally obtained funds as legitimate income. Money laundering stages: placement, layering, integration.
بالعربية	القوانين واللوائح والإجراءات التي تهدف إلى منع المجرمين من إخفاء الأموال غير المشروعة وإظهارها كدخل مشروع. مراحل غسل الأموال: الإيداع، والتمويه (التغطية)، والدمج.
WHY IT MATTERS	Banks, and increasingly non-bank businesses (dealers in precious metals, real estate, company service providers), have AML obligations.
IN PRACTICE	KYC, transaction monitoring, suspicious activity/transaction reporting (SAR/STR) to the financial intelligence unit.
EXAMPLE	Repeated invoices for goods priced far above market, paid by unrelated third parties, are a trade-based laundering red flag.
PROFESSIONAL USAGE	*"The transaction pattern triggered an AML alert; we need the underlying contracts."*
RELATED TERMS	KYC; CFT; FATF; STR; TBML; sanctions.
DON'T CONFUSE	AML (criminal proceeds) vs sanctions (prohibited parties/countries, regardless of crime) vs anti-bribery.

Sanctions العقوبات

DEFINITION	Restrictive measures imposed by governments or international bodies (e.g., the UN Security Council, the US through OFAC, the EU, the UK) against countries, entities, individuals, vessels or sectors: asset freezes, trade bans, financial restrictions.
بالعربية	تدابير تقييدية تفرضها الحكومات أو الهيئات الدولية (كمجلس الأمن والولايات المتحدة عبر مكتب مراقبة الأصول الأجنبية والاتحاد الأوروبي والمملكة المتحدة) على دول أو كيانات أو أفراد أو سفن أو قطاعات، مثل تجميد الأصول وحظر التجارة والقيود المالية.
WHY IT MATTERS	Violations carry severe penalties; banks reject payments involving sanctioned parties, and USD payments may bring US jurisdiction.
IN PRACTICE	Screening names, vessels, ports, goods and ownership (including entities 50%+ owned by listed persons under some regimes).
EXAMPLE	A bank refuses an L/C because the nominated vessel has called at a sanctioned port.
PROFESSIONAL USAGE	*"Before we quote, compliance needs to screen the end user and the vessel."*
RELATED TERMS	Export controls; OFAC SDN list; secondary sanctions; screening; dual-use.
DON'T CONFUSE	Sanctions (legal prohibitions) vs a bank's risk appetite (may refuse business that is legal but high-risk — "de-risking").

Risk register	سجل المخاطر
DEFINITION	A document listing identified risks with their causes, likelihood, impact, rating, owner, controls and actions.
بالعربية	وثيقة تسرد المخاطر المحددة وأسبابها واحتمالية حدوثها وأثرها وتقييمها والمسؤول عنها والضوابط والإجراءات المتخذة.
WHY IT MATTERS	Makes risks visible and assigns accountability.
IN PRACTICE	Updated regularly; reviewed by management and risk committees.
EXAMPLE	“Key supplier insolvency — likelihood medium, impact high — owner: Head of Procurement — action: qualify second source by Q2.”
PROFESSIONAL USAGE	*“Add the FX exposure to the risk register with treasury as owner.”*
RELATED TERMS	ERM; heat map; risk appetite; control; KRI.
DON'T CONFUSE	Risk register (inventory of risks) vs issue log (problems that have already happened).

Quick reference: further risk and compliance terms

English	Arabic	Meaning
Risk appetite	الرغبة في المخاطرة	Amount and type of risk an organisation is willing to accept.
Risk tolerance	حدود تحمل المخاطر	Acceptable variation around objectives.
Inherent / residual risk	المخاطر الكامنة / المتبقية	Risk before / after controls.
Mitigation	التخفيف	Actions to reduce likelihood or impact.
Risk transfer	نقل المخاطر	Shifting risk to another party (insurance, contract).
Heat map	الخريطة الحرارية للمخاطر	Visual likelihood × impact grid.
KRI	مؤشر المخاطر الرئيسي	Metric giving early warning of risk.
Three lines model	نموذج خطوط الدفاع الثلاثة	Management, risk/compliance, internal audit (IIA model).
Segregation of duties	الفصل بين المهام	No single person controls a whole transaction.
Maker-checker	المُنشئ والمُدقق	One person initiates, another approves.
Market risk	مخاطر السوق	Loss from price, rate, FX or commodity moves.
Liquidity risk	مخاطر السيولة	Inability to meet obligations or sell assets without loss.
Concentration risk	مخاطر التركّز	Excessive exposure to one counterparty, sector or country.
Reputational risk	مخاطر السمعة	Damage to stakeholder trust.
Business continuity plan (BCP)	خطة استمرارية الأعمال	Plan to keep operating through disruption.
CDD / EDD	العناية الواجبة / المعززة تجاه العملاء	Customer due diligence / enhanced due diligence.
STR / SAR	بلاغ المعاملة المشبوهة	Suspicious transaction/activity report.
FATF	مجموعة العمل المالي	Intergovernmental body setting AML/CFT standards.
Whistleblowing	الإبلاغ عن المخالفات	Reporting wrongdoing through protected channels.
Conflict of interest	تضارب المصالح	Situation where personal interests could influence duties.

9.3 Insurance terms

Premium	قسط التأمين
DEFINITION	The price paid by the insured to the insurer for coverage over a period.
بالعربية	المبلغ الذي يدفعه المؤمَّن له لشركة التأمين مقابل التغطية خلال فترة محددة.
WHY IT MATTERS	A cost of transferring risk; pricing reflects probability and severity of loss, deductibles and the insured's risk management.
IN PRACTICE	Expressed as an amount or a rate (e.g., 0.15% of insured value for marine cargo).
EXAMPLE	Cargo insured value $110k (CIF + 10%) × 0.15% = $165 premium.
PROFESSIONAL USAGE	*"Raising the deductible to $25k would cut the premium by about 18%."*
RELATED TERMS	Underwriting; rate; deductible; sum insured.
DON'T CONFUSE	Premium (price) vs sum insured (maximum covered value).

Deductible	التحمّل / المبلغ المقتطع
DEFINITION	The portion of each loss borne by the insured before the insurer pays (called "excess" in UK usage).
بالعربية	الجزء من كل خسارة يتحمله المؤمَّن له قبل أن تدفع شركة التأمين.
WHY IT MATTERS	Eliminates small claims and aligns incentives; higher deductibles lower premiums.
IN PRACTICE	Per claim, per event or annual aggregate.
EXAMPLE	Loss $40k, deductible $5k → insurer pays $35k.
PROFESSIONAL USAGE	*"We self-insure the first $50k of each loss through the deductible."*
RELATED TERMS	Excess; self-insured retention; premium; coverage limit.
DON'T CONFUSE	Deductible (insured's share of each loss) vs limit (maximum insurer pays).

Exclusion	الاستثناء
DEFINITION	A provision in an insurance policy that removes specified perils, property or circumstances from coverage.
بالعربية	بند في وثيقة التأمين يستبعد مخاطر أو ممتلكات أو ظروفاً معينة من التغطية.
WHY IT MATTERS	Many disputed claims turn on exclusions; reading them is essential before relying on a policy.
IN PRACTICE	Common exclusions: wilful misconduct, inherent vice, insufficient packing, delay, war and strikes (unless bought back), sanctions, cyber.
EXAMPLE	Cargo damaged because of poor packing is excluded under standard Institute Cargo Clauses.
PROFESSIONAL USAGE	*"Check whether the policy excludes losses from delay — our main risk is spoilage."*
RELATED TERMS	Coverage; endorsement; peril; warranty (insurance).
DON'T CONFUSE	Exclusion (removed from cover) vs condition (insured must comply for cover to respond).

Underwriting	الاكتتاب التأميني
DEFINITION	The process by which an insurer (or a bank, for securities and loans) assesses a risk, decides whether to accept it, and sets terms and price.
بالعربية	العملية التي تقيّم فيها شركة التأمين (أو البنك في حالة الأوراق المالية والقروض) المخاطر وتقرر قبولها وتحدد شروطها وسعرها.
WHY IT MATTERS	Good underwriting is the core skill of insurers and lenders.
IN PRACTICE	Underwriters review proposal forms, loss history, surveys, financials.
EXAMPLE	A warehouse with sprinklers and a clean 5-year loss record gets a lower rate.
PROFESSIONAL USAGE	*"The underwriter wants a risk survey before quoting the property cover."*
RELATED TERMS	Premium; risk assessment; proposal form; loss ratio.
DON'T CONFUSE	Insurance underwriting vs securities underwriting (bank commits to buy unsold securities in an issue).

Reinsurance	إعادة التأمين
DEFINITION	Insurance purchased by insurers to transfer part of their risk to reinsurers.
بالعربية	تأمين تشتريه شركات التأمين لنقل جزء من مخاطرها إلى شركات إعادة التأمين.
WHY IT MATTERS	Allows insurers to write large risks and protects them from catastrophes.
IN PRACTICE	Treaty (portfolio) vs facultative (individual risk); proportional vs non-proportional.
EXAMPLE	A local insurer keeps 10% of a $200m refinery risk and reinsures 90%.
PROFESSIONAL USAGE	*"Capacity in the local market depends on reinsurers' appetite for this risk."*
RELATED TERMS	Retention; cession; treaty; facultative; fronting.
DON'T CONFUSE	Reinsurance (insurer to reinsurer) vs co-insurance (several insurers share directly).

Subrogation	الحلول (حق الرجوع)
DEFINITION	The insurer's right, after paying a claim, to step into the insured's position and recover the loss from a responsible third party.
بالعربية	حق شركة التأمين، بعد دفع التعويض، في أن تحل محل المؤمَّن له في الرجوع على الطرف المسؤول عن الخسارة.
WHY IT MATTERS	Insured must not prejudice recovery rights (e.g., by signing waivers with carriers).
IN PRACTICE	Cargo insurers recover from carriers within limits of carrier liability.
EXAMPLE	Insurer pays $80k for damaged cargo and claims against the shipping line.
PROFESSIONAL USAGE	*"Notify the carrier in writing within the time limit to protect the insurer's subrogation rights."*
RELATED TERMS	Claim; carrier liability; waiver of subrogation.
DON'T CONFUSE	Subrogation (insurer recovers) vs contribution (sharing between insurers).

Quick reference: further insurance terms

English	Arabic	Meaning
Policy	وثيقة التأمين	Insurance contract.
Insured / insurer	المؤمَّن له / المؤمِّن	Covered party / insurance company.

English	Arabic	Meaning
Sum insured	مبلغ التأمين	Maximum value covered.
Coverage limit	حد التغطية	Maximum payable per claim/period.
Peril	الخطر المؤمَّن منه	Cause of loss (fire, theft, storm).
All risks	جميع المخاطر	Covers all perils except those excluded.
Named perils	المخاطر المسمّاة	Covers only listed perils.
Claim	المطالبة	Request for payment under a policy.
Loss adjuster	خبير تقدير الخسائر	Expert who assesses claims.
Broker	وسيط التأمين	Intermediary representing the insured.
Endorsement	الملحق	Amendment to a policy.
Utmost good faith	منتهى حسن النية	Duty to disclose material facts (rules vary by law).
Underinsurance / average	نقص التأمين / قاعدة النسبية	Claim reduced proportionally if sum insured is too low.
Loss ratio	نسبة الخسارة	Claims ÷ premiums.
Marine cargo insurance	تأمين البضائع البحري	Covers goods in transit.
Hull & machinery	تأمين أجسام السفن	Covers the vessel itself.
P&I	الحماية والتعويض	Shipowners' third-party liability (mutual clubs).
Business interruption	تأمين توقف الأعمال	Covers lost profit after insured damage.
Trade credit insurance	تأمين الائتمان التجاري	Covers non-payment by buyers.
Political risk insurance	تأمين المخاطر السياسية	Covers expropriation, currency inconvertibility, political violence.
Takaful	التكافل	Sharia-compliant cooperative insurance model.

PRACTICE · Practice questions

1. A supplier proposes: "Supplier's total liability shall not exceed the fees paid in the previous 3 months." Your annual contract is $1.2m. Why might you object, and what would you propose?
2. Identify the risk type: (a) customer goes bankrupt owing $300k; (b) euro strengthens before an EUR payment; (c) employee pays a fake invoice; (d) a new law bans your product.
3. A cargo worth $200k CIF is insured at 110% with a $2k deductible. Damage of $30k occurs. What does the insurer pay? If it were insured at only $150k, what might happen?
4. What is the difference between force majeure and hardship?

ANSWER · Answers to the practice questions

1. Three months' fees ≈ $300k may be far below the losses a failure could cause (e.g., data breach, business disruption). Propose a cap of 12 months' fees (or a fixed amount) with carve-outs for data protection, confidentiality, IP indemnities, fraud and wilful misconduct, and check the supplier's insurance.
2. (a) Credit/counterparty risk; (b) market (FX) risk; (c) operational risk (fraud/process); (d) regulatory/legal (and strategic) risk.
3. Insurer pays 30,000 − 2,000 = **$28,000**. If underinsured (sum insured below value), many policies apply average: payment reduced in proportion (sum insured ÷ actual value), e.g., 150 ÷ 220 × loss — check the policy wording.

4. Force majeure: an event makes performance impossible or prevented; performance is suspended/excused. Hardship: performance remains possible but has become excessively onerous; parties may renegotiate (if the contract or law provides).

CHAPTER 10

Management, Strategy and Entrepreneurship Terminology

LEARNING OBJECTIVES · In this chapter

Domain 12 (management and leadership), Domain 18 (corporate strategy) and Domain 13 (entrepreneurship and startups). Parts XIII, XIV and XXII apply them.

10.1 Management and leadership terms

Key performance indicator (KPI) مؤشر الأداء الرئيسي

DEFINITION	A quantifiable measure used to evaluate progress toward an important objective.
بالعربية	مقياس كمي يُستخدم لتقييم مدى التقدم نحو هدف مهم.
WHY IT MATTERS	What gets measured gets managed — and what is measured badly gets managed badly.
IN PRACTICE	Good KPIs are few, owned, comparable over time, and linked to decisions: DSO, on-time delivery, gross margin, NPS.
EXAMPLE	Logistics KPI: on-time-in-full (OTIF) 96% vs target 98%.
PROFESSIONAL USAGE	*“Let’s cut the dashboard to the eight KPIs the board actually uses.”*
RELATED TERMS	OKR; metric; target; balanced scorecard; dashboard.
DON'T CONFUSE	KPI (ongoing health measure) vs OKR key result (time-bound measure of an ambitious objective).

Objectives and key results (OKR) الأهداف والنتائج الرئيسية

DEFINITION	A goal-setting framework pairing a qualitative objective with 2–5 measurable key results, usually set quarterly.
بالعربية	إطار لتحديد الأهداف يربط هدفاً نوعياً بنتيجتين إلى خمس نتائج قابلة للقياس، ويُحدَّد عادةً كل ربع سنة.
WHY IT MATTERS	Aligns teams on priorities and makes ambition measurable.
IN PRACTICE	Common in technology companies; often not tied directly to compensation.
EXAMPLE	Objective: “Become the preferred supplier for hotel groups.” KR1: sign 3 framework agreements; KR2: OTIF ≥ 98%; KR3: NPS ≥ 50.
PROFESSIONAL USAGE	*“This initiative doesn’t support any of our Q3 OKRs — let’s deprioritise it.”*
RELATED TERMS	KPI; strategy; alignment; performance management.
DON'T CONFUSE	OKRs (change goals) vs KPIs (run-the-business metrics).

Delegation of authority (DoA)	تفويض الصلاحيات
DEFINITION	The formal framework specifying which roles may approve which decisions and commitments, up to which limits.
بالعربية	الإطار الرسمي الذي يحدد الأدوار المخوّلة باعتماد القرارات والالتزامات المختلفة والحدود المالية لكل منها.
WHY IT MATTERS	Prevents unauthorised commitments; speeds routine decisions; auditors test compliance with it.
IN PRACTICE	E.g., purchase orders up to $50k by department head; up to $500k by CFO; above by CEO/board.
EXAMPLE	A sales manager offers a 15% discount, but the DoA allows only 8% without commercial director approval.
PROFESSIONAL USAGE	*“This exceeds my authority under the DoA — I’ll need the CFO’s sign-off.”*
RELATED TERMS	Approval matrix; internal control; authorised signatory; governance.
DON'T CONFUSE	Internal DoA vs external authority to bind the company (powers of attorney, board resolutions).

Stakeholder management	إدارة أصحاب المصلحة
DEFINITION	Identifying stakeholders, understanding their interests and influence, and planning engagement to secure support and manage resistance.
بالعربية	تحديد أصحاب المصلحة وفهم اهتماماتهم ومدى تأثيرهم، والتخطيط للتواصل معهم لكسب دعمهم والتعامل مع مقاومتهم.
WHY IT MATTERS	Many good proposals fail politically rather than technically.
IN PRACTICE	Power-interest grid: manage closely (high power, high interest), keep satisfied, keep informed, monitor.
EXAMPLE	Before proposing a new ERP, the project lead meets finance, operations and IT heads individually.
PROFESSIONAL USAGE	*“We need to socialise the proposal with the regional heads before the ExCo.”*
RELATED TERMS	Change management; sponsorship; RACI; communication plan.
DON'T CONFUSE	Stakeholder management (relationships) vs project management (tasks, time, budget).

RACI (RACI)	مصفوفة المسؤوليات
DEFINITION	A matrix assigning, for each task or decision, who is Responsible (does it), Accountable (owns the outcome — one person), Consulted and Informed.
بالعربية	مصفوفة تحدد لكل مهمة أو قرار: المنفّذ (Responsible)، والمساءَل عن النتيجة (Accountable) — شخص واحد)، ومن يُستشار (Consulted)، ومن يُبلَّغ (Informed).
WHY IT MATTERS	Clarifies ownership and prevents “everyone thought someone else was doing it”.
IN PRACTICE	Projects, process design, cross-departmental activities.
EXAMPLE	Customer credit limit increase: R = credit analyst; A = credit manager; C = sales; I = finance director.
PROFESSIONAL USAGE	*“Who is accountable for supplier onboarding? Let’s put it in a RACI.”*
RELATED TERMS	Roles and responsibilities; governance; process map.
DON'T CONFUSE	Responsible (does the work) vs Accountable (answerable for it).

Quick reference: further management terms

English	Arabic	Meaning
Organisational chart	الهيكل التنظيمي	Diagram of roles and reporting lines.
Reporting line	خط التبعية الإدارية	Who reports to whom.
Span of control	نطاق الإشراف	Number of direct reports.
Matrix organisation	التنظيم المصفوفي	Dual reporting (e.g., function and region).
ExCo	اللجنة التنفيذية	Executive committee of senior managers.
Budget owner	مالك الموازنة	Manager accountable for a budget line.
Performance review	تقييم الأداء	Periodic evaluation of an employee.
Onboarding	التهيئة / الإلحاق	Integrating a new employee or client.
Escalation	التصعيد	Raising an issue to a higher authority.
Agenda / minutes	جدول الأعمال / محضر الاجتماع	Meeting plan / formal record.
Action item	بند العمل	Task agreed in a meeting with owner and date.
Change management	إدارة التغيير	Structured approach to transitioning people and organisations.
Project charter	ميثاق المشروع	Document authorising a project with scope, objectives, sponsor.
Milestone	المعلم الرئيسي	Significant point in a project timeline.
Critical path	المسار الحرج	Longest sequence of dependent tasks determining duration.
Lean / Six Sigma	الإنتاج الرشيق / ستة سيجما	Methods to remove waste / reduce variation.
Continuous improvement	التحسين المستمر	Ongoing incremental improvement (Kaizen).
Succession planning	تخطيط التعاقب الوظيفي	Preparing future leaders for key roles.

10.2 Corporate strategy terms

Competitive advantage — الميزة التنافسية

DEFINITION	An attribute that allows a company to earn higher returns than competitors over time — typically through lower cost, differentiation, or focus on a niche.
بالعربية	خاصية تمكّن الشركة من تحقيق عوائد أعلى من منافسيها على المدى الطويل، عادةً عبر التكلفة الأقل أو التمايز أو التركيز على شريحة محددة.
WHY IT MATTERS	Without it, competition drives returns down to the cost of capital.
IN PRACTICE	Strategy discussions test whether an advantage is real, durable and defensible.
EXAMPLE	A distributor with exclusive rights and the region's only certified service team.
PROFESSIONAL USAGE	*"Price isn't our advantage — speed of delivery and technical support are."*
RELATED TERMS	Moat; differentiation; cost leadership; Porter's generic strategies; value proposition.
DON'T CONFUSE	Competitive advantage (relative superiority) vs core competence (internal capability that may create it).

Economic moat	الخندق الاقتصادي
DEFINITION	A durable structural advantage that protects a company's profits from competitors: network effects, switching costs, intangible assets (brands, patents, licences), cost advantages, efficient scale.
بالعربية	ميزة هيكلية دائمة تحمي أرباح الشركة من المنافسين، مثل تأثيرات الشبكة وتكاليف التحول والأصول غير الملموسة كالعلامات وبراءات الاختراع والتراخيص، والمزايا في التكلفة.
WHY IT MATTERS	Investors pay higher multiples for businesses with wide moats.
IN PRACTICE	Term popularised by investors to evaluate durability of returns.
EXAMPLE	A payment network where more merchants attract more cardholders and vice versa.
PROFESSIONAL USAGE	*"The software has high switching costs — that's the moat, not the features."*
RELATED TERMS	Competitive advantage; network effects; switching costs; barriers to entry.
DON'T CONFUSE	A temporary lead (first-mover) is not a moat unless it creates structural advantages.

SWOT analysis (SWOT)	تحليل نقاط القوة والضعف والفرص والتهديدات
DEFINITION	A framework listing internal Strengths and Weaknesses and external Opportunities and Threats.
بالعربية	إطار يحدد نقاط القوة والضعف الداخلية، والفرص والتهديدات الخارجية.
WHY IT MATTERS	Simple structuring tool for strategy discussions; weak if not followed by choices and actions.
IN PRACTICE	Combine into strategies: use strengths to seize opportunities (SO), fix weaknesses that block opportunities (WO), etc.
EXAMPLE	Strength: exclusive brand rights; Weakness: single warehouse; Opportunity: new tourism projects; Threat: low-cost online competitors.
PROFESSIONAL USAGE	*"The SWOT is fine, but what decisions follow from it?"*
RELATED TERMS	PESTLE; Five Forces; TOWS matrix; strategic planning.
DON'T CONFUSE	Strengths/weaknesses are internal; opportunities/threats external — mixing them is the most common error.

Porter's Five Forces	قوى بورتر الخمس
DEFINITION	A framework for analysing industry attractiveness through five forces: rivalry among competitors, threat of new entrants, threat of substitutes, bargaining power of buyers, bargaining power of suppliers.
بالعربية	إطار لتحليل جاذبية الصناعة من خلال خمس قوى: حدة المنافسة، وتهديد الداخلين الجدد، وتهديد البدائل، والقوة التفاوضية للمشترين، والقوة التفاوضية للموردين.
WHY IT MATTERS	Explains why some industries are structurally more profitable than others.
IN PRACTICE	Market-entry decisions, M&A screening, investment theses.
EXAMPLE	Commodity trading: powerful producers and buyers, thin margins, high rivalry.
PROFESSIONAL USAGE	*"Buyer power is the issue — three supermarket chains take 70% of volume."*
RELATED TERMS	Industry structure; competitive advantage; barriers to entry; SWOT.
DON'T CONFUSE	Five Forces analyses the industry; SWOT analyses the company within it.

PESTLE analysis (PESTLE)	تحليل العوامل الخارجية PESTLE
DEFINITION	A scan of external macro-environment factors: Political, Economic, Social, Technological, Legal, Environmental.
بالعربية	مسح لعوامل البيئة الخارجية الكلية: السياسية والاقتصادية والاجتماعية والتكنولوجية والقانونية والبيئية.
WHY IT MATTERS	Identifies external drivers and risks before market entry or major investment.
IN PRACTICE	Feeds into scenario planning and risk registers.
EXAMPLE	Entering a new country: political stability, inflation, demographics, digital adoption, labour law, climate regulation.
PROFESSIONAL USAGE	*"The PESTLE flags currency convertibility as the main economic risk."*
RELATED TERMS	SWOT; country risk; scenario planning.
DON'T CONFUSE	PESTLE (macro environment) vs Five Forces (industry environment).

Quick reference: further strategy terms

English	Arabic	Meaning
Mission / vision	الرسالة / الرؤية	Purpose today / desired future state.
Strategic objective	الهدف الاستراتيجي	Long-term goal supporting the vision.
Differentiation	التمايز	Offering something valued and distinct.
Cost leadership	قيادة التكلفة	Competing by being the lowest-cost producer.
Vertical integration	التكامل الرأسي	Owning upstream or downstream stages.
Horizontal integration	التكامل الأفقي	Acquiring competitors at the same stage.
Diversification (corporate)	التنويع	Entering new products or markets.
Core competence	الكفاءة الجوهرية	Distinctive capability central to competitiveness.
Barrier to entry	عائق الدخول	Obstacle preventing new competitors.
Network effect	تأثير الشبكة	Product becomes more valuable as more people use it.
Switching cost	تكلفة التحوّل	Cost to a customer of changing supplier.
Blue ocean	المحيط الأزرق	Creating uncontested market space.
Scenario planning	التخطيط بالسيناريوهات	Preparing for multiple plausible futures.
Balanced scorecard	بطاقة الأداء المتوازن	Financial, customer, process and learning metrics.
Post-merger integration (PMI)	الدمج بعد الاستحواذ	Combining two organisations after a deal.
Divestment	التخارج / بيع النشاط	Selling a business unit or asset.
Strategic alliance	التحالف الاستراتيجي	Cooperation without merger.

10.3 Entrepreneurship and startup terms

Minimum viable product (MVP) — الحد الأدنى من المنتج القابل للتطبيق

DEFINITION	The simplest version of a product that allows a team to test a key hypothesis with real users and learn with the least effort.
بالعربية	أبسط نسخة من المنتج تتيح للفريق اختبار فرضية أساسية مع مستخدمين حقيقيين والتعلم بأقل جهد ممكن.
WHY IT MATTERS	Avoids spending years building something nobody wants.
IN PRACTICE	MVPs can be landing pages, manual services (“concierge MVP”) or prototypes.
EXAMPLE	Before building a freight-booking app, a founder books shipments manually via WhatsApp for 20 customers.
PROFESSIONAL USAGE	*“Let’s ship an MVP to five pilot customers before we hire more engineers.”*
RELATED TERMS	Product-market fit; lean startup; prototype; validation.
DON'T CONFUSE	MVP (learning tool) vs first commercial release (polished product).

Product-market fit (PMF) — ملاءمة المنتج للسوق

DEFINITION	The state in which a product satisfies a strong market demand, shown by retention, organic growth, willingness to pay and customer pull.
بالعربية	الحالة التي يلبّي فيها المنتج طلباً قوياً في السوق، ويظهر ذلك في احتفاظ العملاء والنمو العضوي والاستعداد للدفع وطلب العملاء المتزايد.
WHY IT MATTERS	Scaling before PMF burns cash on customers who will churn.
IN PRACTICE	Indicators: flat retention cohorts, low CAC through referrals, sales cycle shortening.
EXAMPLE	40% of monthly users say they would be “very disappointed” without the product (a commonly cited survey heuristic).
PROFESSIONAL USAGE	*“We have PMF in the SME segment, not yet in enterprise.”*
RELATED TERMS	MVP; retention; traction; scaling.
DON'T CONFUSE	Traction (some growth) vs PMF (sustainable demand that pulls the product).

Burn rate and runway — معدل الحرق والمدة المتبقية

DEFINITION	Burn rate is the net cash a company spends per month; runway is how many months its cash will last at that rate.
بالعربية	معدل الحرق هو صافي النقد الذي تنفقه الشركة شهرياً، والمدة المتبقية (Runway) هي عدد الأشهر التي يكفيها النقد المتاح بهذا المعدل.
WHY IT MATTERS	Startups die when runway ends before the next funding round or profitability.
IN PRACTICE	Runway = cash ÷ net monthly burn. Founders aim to raise with 12–18 months of runway left.
EXAMPLE	Cash $1.8m; net burn $150k/month → runway 12 months.
PROFESSIONAL USAGE	*“With 9 months of runway we need to start the Series A process now.”*
RELATED TERMS	Cash flow; fundraising; break-even; default alive.
DON'T CONFUSE	Gross burn (all spending) vs net burn (spending minus revenue).

Term sheet	ورقة الشروط
DEFINITION	A document summarising the key terms of a proposed investment or financing (valuation, amount, instrument, rights, conditions), mostly non-binding except for clauses like confidentiality and exclusivity.
بالعربية	وثيقة تلخّص الشروط الرئيسية للاستثمار أو التمويل المقترح (التقييم والمبلغ ونوع الأداة والحقوق والشروط)، وتكون غالباً غير ملزمة باستثناء بنود كالسرية والحصرية.
WHY IT MATTERS	Sets the framework for long-form documents; terms beyond valuation (liquidation preference, control rights) can matter more than price.
IN PRACTICE	VC term sheets; bank loan term sheets.
EXAMPLE	$3m Series A at $12m pre-money, 1× non-participating liquidation preference, one board seat.
PROFESSIONAL USAGE	*"The valuation is fine, but the participating preference in the term sheet is off-market."*
RELATED TERMS	Valuation; liquidation preference; anti-dilution; SHA; LOI.
DON'T CONFUSE	Term sheet (summary) vs definitive agreements (binding contracts).

Pre-money and post-money valuation	التقييم قبل الاستثمار وبعده
DEFINITION	Pre-money valuation is the company's value before new investment; post-money = pre-money + new investment. The investor's ownership = investment ÷ post-money.
بالعربية	التقييم قبل الاستثمار هو قيمة الشركة قبل ضخ الأموال الجديدة، والتقييم بعد الاستثمار = التقييم قبله + مبلغ الاستثمار. نسبة ملكية المستثمر = مبلغ الاستثمار ÷ التقييم بعد الاستثمار.
WHY IT MATTERS	Determines dilution of founders.
IN PRACTICE	Option pools are often required to be included in pre-money, increasing founder dilution.
EXAMPLE	$2m invested at $8m pre → post $10m → investor 20%.
PROFESSIONAL USAGE	*"Is the 10% option pool in the pre-money or the post?"*
RELATED TERMS	Dilution; cap table; option pool; valuation.
DON'T CONFUSE	Pre-money vs post-money — confusing them changes ownership by several percentage points.

Quick reference: further entrepreneurship terms

English	Arabic	Meaning
Bootstrapping	التمويل الذاتي	Growing with own funds and revenue.
Angel investor	المستثمر الملاك	Individual investing early in startups.
Venture capital (VC)	رأس المال الجريء	Funds investing in high-growth startups.
Seed / Series A, B	جولة البذرة / الجولة أ، ب	Successive funding rounds.
Cap table	جدول الملكية	Record of ownership of all securities.
Vesting	الاستحقاق التدريجي	Shares/options earned over time.
Convertible note / SAFE	السند القابل للتحويل / اتفاقية SAFE	Instruments converting to equity at a later round.
Liquidation preference	أفضلية التصفية	Investors' right to be paid first on exit.
Unit economics	اقتصاديات الوحدة	Revenue and costs per unit/customer.

English	Arabic	Meaning
Pivot	التحوّل الاستراتيجي	Changing direction based on learning.
Traction	الزخم / التقدم الملموس	Evidence of market demand.
Pitch deck	العرض التقديمي للمستثمرين	Presentation to investors.
Exit	التخارج	Sale or IPO allowing investors to realise returns.
Incubator / accelerator	الحاضنة / المسرّعة	Programmes supporting early startups.
Founder vesting	استحقاق حصص المؤسسين	Founders earn shares over time.
Down round	جولة بتقييم أقل	Raising at a lower valuation than before.

CHAPTER 11

Technology, Digital Business, Analytics and Commodity Terminology

LEARNING OBJECTIVES · In this chapter

Domain 14 (technology and digital business), Domain 20 (business intelligence and analytics) and Domain 17 (commodity trading). Part XVI and Part XI provide the detailed treatment.

11.1 Technology and digital business terms

Enterprise resource planning (ERP) تخطيط موارد المؤسسة

DEFINITION	An integrated software system that manages core business processes — finance, procurement, inventory, sales, manufacturing, HR — on a shared database.
بالعربية	نظام برمجي متكامل يدير العمليات الأساسية للمنشأة كالمالية والمشتريات والمخزون والمبيعات والتصنيع والموارد البشرية على قاعدة بيانات مشتركة.
WHY IT MATTERS	The ERP is the operational backbone and the source of financial reporting; implementations are major, risky projects.
IN PRACTICE	Examples of vendors include SAP, Oracle, Microsoft Dynamics, Odoo. Key concepts: modules, master data, workflows, customisation vs configuration.
EXAMPLE	A sales order in the ERP reserves stock, triggers picking, creates an invoice and posts to the general ledger automatically.
PROFESSIONAL USAGE	*“The ERP go-live slipped three months because of data-migration issues.”*
RELATED TERMS	CRM; WMS; master data; integration; cloud/SaaS.
DON'T CONFUSE	ERP (internal operations) vs CRM (customer-facing activity) — often integrated.

Application programming interface (API) واجهة برمجة التطبيقات

DEFINITION	A defined interface allowing software systems to request data or services from each other.
بالعربية	واجهة محددة تتيح للأنظمة البرمجية طلب البيانات أو الخدمات من بعضها البعض.
WHY IT MATTERS	APIs connect banks, ERPs, marketplaces, carriers and payment providers, enabling automation and new business models (open banking, embedded finance).
IN PRACTICE	REST/JSON APIs; authentication via keys/OAuth; rate limits; SLAs.
EXAMPLE	An importer’s ERP pulls daily FX rates and pushes payment instructions to the bank via API.
PROFESSIONAL USAGE	*“Does the carrier offer a tracking API, or do we need EDI?”*
RELATED TERMS	Integration; EDI; webhook; open banking; middleware.
DON'T CONFUSE	API (real-time, flexible) vs EDI (older standard for structured business documents, still common in retail and logistics).

Software as a service (SaaS)	البرمجيات كخدمة
DEFINITION	Software delivered over the internet on a subscription basis and hosted by the provider.
بالعربية	برمجيات تُقدَّم عبر الإنترنت باشتراك دوري ويستضيفها المزوّد.
WHY IT MATTERS	Shifts IT spending from capex to opex; creates recurring revenue businesses valued on ARR.
IN PRACTICE	Metrics: ARR, MRR, churn, NRR, CAC payback, gross margin.
EXAMPLE	A CRM at $60 per user per month for 200 users = $144k ARR.
PROFESSIONAL USAGE	*“The SaaS contract auto-renews with a 7% uplift — we should negotiate a cap.”*
RELATED TERMS	Cloud; subscription; ARR; IaaS/PaaS.
DON'T CONFUSE	SaaS (subscription, hosted) vs perpetual licence (one-off fee plus annual maintenance, often on-premise).

Cybersecurity	الأمن السيبراني
DEFINITION	Protection of systems, networks and data from attack, damage or unauthorised access.
بالعربية	حماية الأنظمة والشبكات والبيانات من الهجمات والأضرار والوصول غير المصرح به.
WHY IT MATTERS	Ransomware and business email compromise cause direct losses, downtime and regulatory penalties.
IN PRACTICE	Controls: MFA, patching, backups, least privilege, security awareness, incident response; frameworks such as ISO/IEC 27001 and the NIST Cybersecurity Framework.
EXAMPLE	Business email compromise: a fake supplier email changes bank details — prevented by call-back verification.
PROFESSIONAL USAGE	*“Payments over $10k require call-back verification to a known number — that’s a cyber control, not just finance.”*
RELATED TERMS	Operational risk; data protection; IT governance; business continuity.
DON'T CONFUSE	Cybersecurity (protecting systems) vs data privacy (lawful handling of personal data).

Machine learning (ML)	تعلّم الآلة
DEFINITION	Methods that let computers learn patterns from data to make predictions or decisions without being explicitly programmed with rules.
بالعربية	أساليب تمكّن الحواسيب من تعلّم الأنماط من البيانات للتنبؤ أو اتخاذ القرار دون برمجتها بقواعد صريحة.
WHY IT MATTERS	Used in credit scoring, fraud detection, demand forecasting, pricing and document processing.
IN PRACTICE	Business value depends on data quality, integration into decisions, monitoring and governance (bias, explainability).
EXAMPLE	A gradient-boosting model predicts which invoices will be paid late, prioritising collection calls.
PROFESSIONAL USAGE	*“The model’s accuracy is fine, but the credit team needs explainable reasons for declines.”*
RELATED TERMS	AI; predictive analytics; model risk; data governance.
DON'T CONFUSE	ML (learns from data) vs rule-based automation (explicit if-then rules).

Fintech	التقنية المالية
DEFINITION	Technology-enabled financial services and the companies that provide them: digital payments, lending platforms, neobanks, wealth tech, insurtech, regtech.
بالعربية	الخدمات المالية المعتمدة على التكنولوجيا والشركات التي تقدّمها، مثل المدفوعات الرقمية ومنصات الإقراض والبنوك الرقمية والتأمين الرقمي وتقنيات الامتثال.
WHY IT MATTERS	Changes distribution, cost and risk in finance; often operates under specific licences or partnerships with banks.
IN PRACTICE	Business models: transaction fees, interest spread, subscription, interchange share.
EXAMPLE	A BNPL provider earns merchant fees of 3–6% per transaction (illustrative range; varies).
PROFESSIONAL USAGE	*“Are they licensed, or operating under a bank partner’s licence?”*
RELATED TERMS	Payments; open banking; embedded finance; regulatory sandbox.
DON'T CONFUSE	Fintech (technology firms in finance) vs banks’ digital channels.

Quick reference: further technology terms

English	Arabic	Meaning
CRM	إدارة علاقات العملاء	System for managing customer interactions and pipeline.
Cloud computing	الحوسبة السحابية	On-demand IT resources over the internet.
IaaS / PaaS	البنية التحتية كخدمة / المنصة كخدمة	Infrastructure / platform as a service.
Master data	البيانات الرئيسية	Core reference data (customers, suppliers, items).
Data warehouse / lake	مستودع البيانات / بحيرة البيانات	Structured analytics store / raw data store.
ETL	الاستخراج والتحويل والتحميل	Moving and transforming data between systems.
RPA	أتمتة العمليات الروبوتية	Software bots mimicking user actions.
OCR	التعرّف الضوئي على الحروف	Converting images of text to data.
SLA	اتفاقية مستوى الخدمة	Committed service levels and remedies.
Uptime	زمن التشغيل	Percentage of time a system is available.
MFA	المصادقة متعددة العوامل	Login requiring more than one factor.
Ransomware	برمجيات الفدية	Malware encrypting data for ransom.
Total cost of ownership (TCO)	التكلفة الإجمالية للملكية	All costs over a system’s life.
Digital transformation	التحول الرقمي	Redesigning business using digital technology.
Generative AI	الذكاء الاصطناعي التوليدي	Models generating text, images or code.
Large language model (LLM)	النموذج اللغوي الكبير	Generative model trained on large text corpora.
Open banking	الخدمات المصرفية المفتوحة	Sharing bank data via APIs with customer consent.
Payment gateway	بوابة الدفع	Service processing online card payments.
Tokenisation	الترميز	Replacing sensitive data with tokens.

11.2 Business intelligence and analytics terms

Business intelligence (BI)	ذكاء الأعمال
DEFINITION	Technologies and practices for collecting, integrating, analysing and presenting business data to support decisions — dashboards, reports, ad hoc analysis.
بالعربية	التقنيات والممارسات الخاصة بجمع بيانات الأعمال ودمجها وتحليلها وعرضها لدعم اتخاذ القرار، مثل لوحات المعلومات والتقارير والتحليلات الفورية.
WHY IT MATTERS	Converts transactional data into management information; a “single source of truth” prevents conflicting numbers.
IN PRACTICE	Tools such as Power BI, Tableau, Looker; semantic layers define metrics consistently.
EXAMPLE	A daily dashboard shows sales, margin, stock and overdue receivables by branch.
PROFESSIONAL USAGE	*“Finance and sales report different revenue numbers — we need one governed BI definition.”*
RELATED TERMS	Dashboard; data warehouse; KPI; analytics; semantic layer.
DON'T CONFUSE	BI (what happened, mostly descriptive) vs advanced analytics (why and what will happen).

Descriptive, predictive and prescriptive analytics	التحليلات الوصفية والتنبؤية والتوجيهية
DEFINITION	Descriptive analytics explains what happened; diagnostic why it happened; predictive what is likely to happen; prescriptive what action to take.
بالعربية	التحليلات الوصفية تشرح ما حدث، والتشخيصية لماذا حدث، والتنبؤية ما يُرجَّح أن يحدث، والتوجيهية الإجراء الذي ينبغي اتخاذه.
WHY IT MATTERS	Clarifies the maturity and value of analytics work.
IN PRACTICE	Prescriptive examples: price optimisation, inventory replenishment recommendations.
EXAMPLE	Descriptive: Q2 sales fell 8%. Diagnostic: two distributors lost. Predictive: churn model flags 15 more at risk. Prescriptive: offer retention terms to the top 5.
PROFESSIONAL USAGE	*“We’re strong on descriptive reporting; the opportunity is predictive collections.”*
RELATED TERMS	BI; machine learning; forecasting; optimisation.
DON'T CONFUSE	Correlation in descriptive data does not prove causation.

Cohort analysis	تحليل المجموعات (الأفواج)
DEFINITION	Tracking groups of customers who share a starting characteristic (e.g., month of acquisition) over time to measure retention, revenue and behaviour.
بالعربية	تتبّع مجموعات من العملاء يشتركون في خاصية بداية (كشهر الاكتساب) عبر الزمن لقياس الاحتفاظ والإيرادات والسلوك.
WHY IT MATTERS	Reveals whether newer customers behave better or worse — hidden in aggregate numbers.
IN PRACTICE	Essential in subscription, e-commerce and lending (vintage analysis).
EXAMPLE	Customers acquired in January retain 60% at month 6; those from March only 40% after a discount campaign.
PROFESSIONAL USAGE	*"The cohort chart shows the promotion brought low-quality customers."*
RELATED TERMS	Churn; LTV; vintage analysis; retention curve.
DON'T CONFUSE	Cohort view (by start group) vs period view (all customers in a month).

Quick reference: further analytics terms

English	Arabic	Meaning
Dashboard	لوحة المعلومات	Visual display of key metrics.
Data governance	حوكمة البيانات	Policies, ownership and quality standards for data.
Data quality	جودة البيانات	Accuracy, completeness, consistency, timeliness.
Single source of truth	المصدر الموحّد للحقيقة	One authoritative data source for a metric.
A/B test	اختبار أ/ب	Controlled experiment comparing two variants.
Regression	الانحدار	Statistical model of relationships between variables.
Forecast accuracy (MAPE)	دقة التنبؤ	Mean absolute percentage error of forecasts.
Outlier	القيمة الشاذة	Data point far from others.
Segmentation (analytics)	التجزئة	Grouping records by similar attributes (e.g., clustering).
Attribution	الإسناد	Assigning credit for conversions to marketing channels.
Self-service BI	ذكاء الأعمال الذاتي	Users build their own reports from governed data.

11.3 Commodity trading terms

Physical trading	التجارة الفعلية للسلع
DEFINITION	Buying, transporting, storing, blending and selling actual commodities (as opposed to only trading financial contracts), earning margins from location, time, quality and logistics arbitrage.
بالعربية	شراء السلع الفعلية ونقلها وتخزينها وخلطها وبيعها (وليس الاكتفاء بتداول العقود المالية)، وتحقيق الهوامش من فروقات المكان والزمان والجودة والخدمات اللوجستية.
WHY IT MATTERS	Margins are typically thin and depend on logistics, financing and risk management; operational failures can wipe out profits.
IN PRACTICE	Traders combine physical contracts with futures/swaps hedges.
EXAMPLE	Buy wheat FOB Black Sea, sell CFR Egypt, earning the spread minus freight, insurance, financing and losses.
PROFESSIONAL USAGE	*"It's a physical deal — we need vessel nomination, inspection and an L/C, not just a futures position."*
RELATED TERMS	Paper trading; arbitrage; basis; freight; trade finance.
DON'T CONFUSE	Physical trading (delivery of goods) vs paper/financial trading (cash-settled or closed out before delivery).

Benchmark price	السعر المرجعي
DEFINITION	A published reference price for a commodity used to price physical contracts and derivatives — e.g., Brent and WTI for crude oil, LME prices for base metals, exchange futures for grains.
بالعربية	سعر مرجعي منشور لسلعة ما يُستخدم لتسعير العقود الفعلية والمشتقات، مثل برنت وغرب تكساس للنفط، وأسعار بورصة لندن للمعادن، وعقود البورصات للحبوب.
WHY IT MATTERS	Most physical contracts price as benchmark ± premium/discount (differential), so benchmark moves create price risk until hedged.
IN PRACTICE	Price-reporting agencies (e.g., Platts, Argus) publish assessments; exchanges publish settlement prices.
EXAMPLE	Cargo priced at the average of Dated Brent over 5 days around B/L date, plus $1.20/bbl.
PROFESSIONAL USAGE	*"We're long the cargo at a fixed price; let's hedge with Brent futures until we sell on floating terms."*
RELATED TERMS	Differential; premium; pricing period; futures; basis.
DON'T CONFUSE	Benchmark (reference) vs actual transaction price (benchmark ± differential).

Basis	الأساس (فرق السعر)
DEFINITION	The difference between the local physical (cash) price of a commodity and the price of a related futures contract: basis = cash − futures.
بالعربية	الفرق بين السعر الفعلي المحلي للسلعة وسعر العقد الآجل المرتبط بها في البورصة: الأساس = السعر النقدي − سعر العقد المستقبلي.
WHY IT MATTERS	Hedging with futures removes outright price risk but leaves basis risk.
IN PRACTICE	Grain merchants trade basis; contracts are quoted as basis over a futures month.
EXAMPLE	Local corn $4.10/bu; futures $4.40 → basis −$0.30 (“30 under”).
PROFESSIONAL USAGE	*“Our hedge worked on flat price, but the basis moved 15 cents against us.”*
RELATED TERMS	Basis risk; hedging; spread; futures; differential.
DON'T CONFUSE	Basis (cash vs futures) vs spread (difference between two futures months or two products).

Contango and backwardation	الكونتانجو والباكوردايشن
DEFINITION	Contango: futures prices for later delivery are higher than nearer ones (upward-sloping forward curve). Backwardation: later prices are lower than nearer ones (downward-sloping).
بالعربية	الكونتانجو: أسعار العقود الآجلة للتسليم البعيد أعلى من القريبة (منحنى صاعد). الباكوردايشن: أسعار التسليم البعيد أقل من القريبة (منحنى هابط).
WHY IT MATTERS	Contango rewards storage (buy now, sell forward) if the spread exceeds storage and financing costs; backwardation signals tight current supply.
IN PRACTICE	Storage plays, roll yield for index investors, inventory decisions.
EXAMPLE	Spot $70, 6-month $73.50; storage + financing $2.80 → carry trade profit about $0.70/bbl.
PROFESSIONAL USAGE	*“The curve is in steep contango — floating storage economics work again.”*
RELATED TERMS	Forward curve; carry; storage; roll yield; spread.
DON'T CONFUSE	Contango/backwardation describe the curve shape, not whether prices are rising or falling.

Laytime and demurrage (charter party)	مهلة التحميل والتفريغ والديمرج
DEFINITION	Laytime is the time allowed in a charter party for loading and discharging; demurrage is the agreed daily compensation paid to the shipowner if laytime is exceeded (despatch may be paid for finishing early).
بالعربية	مهلة التحميل والتفريغ هي الوقت المسموح به في عقد إيجار السفينة لعمليات التحميل والتفريغ، والديمرج تعويض يومي متفق عليه يُدفع لمالك السفينة عند تجاوز هذه المهلة.
WHY IT MATTERS	Port congestion can make demurrage a major cost in commodity deals; it must be passed through sales contracts.
IN PRACTICE	Notice of readiness (NOR) starts laytime under contract conditions.
EXAMPLE	Laytime 3 days, actual 6 days, demurrage $25,000/day → $75,000.
PROFESSIONAL USAGE	*“Make sure our sales contract passes demurrage back to the buyer on the same terms as the charter party.”*
RELATED TERMS	Charter party; NOR; despatch; voyage charter.
DON'T CONFUSE	Vessel demurrage (charter party) vs container demurrage (liner terminal charges).

Quick reference: further commodity terms

English	Arabic	Meaning
Spot	الفوري	For immediate (near-term) delivery.
Forward contract	العقد الآجل	Private agreement to buy/sell at a future date.
Futures contract	العقد المستقبلي	Standardised exchange-traded forward.
Premium / differential	العلاوة / الفرق السعري	Amount above/below benchmark.
Pricing period	فترة التسعير	Dates over which the benchmark is averaged.
Tolerance (e.g., ±10% MOLOO)	التفاوت المسموح في الكمية	Permitted quantity variation (more or less in owner's/buyer's option).
Assay	التحليل المخبري	Laboratory test of metal content/quality.
Specifications	المواصفات	Quality parameters (moisture, protein, sulphur).
Independent inspector	المفتش المستقل	Third party verifying quantity and quality (e.g., at loading).
Charter party	عقد إيجار السفينة (مشارطة الإيجار)	Contract for hire of a vessel.
Voyage / time charter	إيجار بالرحلة / بالمدة	Hire for a voyage / for a period.
Freight rate (e.g., $/t, Worldscale)	سعر الشحن	Cost of transport per unit.
Mark-to-market	التقييم بسعر السوق	Valuing positions at current market prices.
Margin call	طلب تغطية الهامش	Demand for additional collateral on a futures position.
Offtake agreement	اتفاقية الشراء المسبق	Long-term purchase of a producer's output.
Prepayment finance	تمويل الدفع المسبق	Financing a producer against future deliveries.
Warehouse receipt	إيصال المستودع	Document evidencing goods held in storage.
Crack spread	هامش التكرير	Refined product prices minus crude price.

PRACTICE · Practice questions

1. Write one objective and three key results for a procurement team that wants to cut landed costs.
2. Which Five Forces would you emphasise when assessing a new container trucking business in a port city?
3. A startup raises $3m at $9m pre-money. Founders owned 100% before. What do the founders own after? If the investor insists the 10% option pool be created pre-money, what do founders own?
4. Spot copper $9,000/t; 3-month $9,120/t; storage, insurance and financing for 3 months $85/t. Is a cash-and-carry trade profitable? Identify the curve shape.
5. Explain why a hedge with futures may not perfectly protect a physical trader.

ANSWER · Answers to the practice questions

1. Objective: "Make our supply chain cost-competitive." KR1: reduce average landed cost per unit by 6% by Q4; KR2: qualify two alternative suppliers for the top 10 SKUs; KR3: cut demurrage and detention charges by 50%.
2. Rivalry (many small truckers, price competition), buyer power (shipping lines and large forwarders), threat of entry (low capital barriers), supplier power (fuel, drivers, port access). Substitutes are limited (rail, if available).

3. Post-money $12m; investor 25%; founders **75%**. With the pool pre-money: pool 10% of post-money ($1.2m) comes from the pre-money; founders = 100% − 25% − 10% = **65%**.
4. Spread 9,120 − 9,000 = $120 > carry $85 → profit about **$35/t** (before transaction costs). Curve in **contango**.
5. Basis risk (local price may move differently from futures), quantity/timing mismatch, quality differences, and margin-call liquidity needs.

CHAPTER 12

Commonly Confused Concepts: Comparison Guide

LEARNING OBJECTIVES · In this chapter

Side-by-side comparisons of terms that beginners — and sometimes professionals — use interchangeably. Each table is a quick test: if you can explain every row, you can use the terms precisely in a meeting or a contract.

12.1 Profit, cash and value

Pair	First term	Second term	The practical difference
Revenue vs cash receipts	Earned when control passes	Received when customer pays	Credit terms create the gap; receivables bridge them.
Profit vs cash flow	Accrual measure of performance	Actual movement of money	Non-cash items, working capital and capex separate them.
EBITDA vs operating cash flow	Earnings before D&A, interest, tax	Cash from operations after working-capital changes and tax	EBITDA ignores working capital and tax paid.
Gross margin vs contribution margin	Revenue − COGS	Revenue − all variable costs	Contribution includes variable selling/delivery costs; used for break-even.
Margin vs markup	Profit ÷ price	Profit ÷ cost	25% markup = 20% margin.
Book value vs market value	Accounting equity	What buyers would pay	Market value reflects future expectations; book value reflects history.
Enterprise value vs equity value	Whole business (debt + equity)	Shareholders' portion	EV − net debt = equity value.
ROI vs IRR	Simple gain ÷ cost	Annualised, time-weighted return	ROI ignores timing; IRR does not.
NPV vs IRR	Value created in money	Rate of return in %	For mutually exclusive projects, prefer NPV.
ROE vs ROA vs ROIC	Return on equity	Return on total assets	ROIC: return on capital invested (debt + equity) in operations; least distorted by leverage.

12.2 Assets, liabilities and accounting

Pair	First term	Second term	The practical difference
Capex vs opex	Capitalised, depreciated over life	Expensed immediately	Changes timing of profit, not of cash.
Depreciation vs amortisation	Tangible assets	Intangible assets (or loan repayment)	Same idea, different asset types; two meanings of "amortisation".
Depreciation vs impairment	Planned allocation	Unplanned write-down	Impairment signals lost value.
Provision vs reserve	Liability for probable obligation	Part of equity	Provisions reduce profit; reserves are appropriations of equity.

Pair	First term	Second term	The practical difference
Provision vs contingent liability	Probable, estimable — recognised	Possible — disclosed only	Recognition threshold.
Accrued expense vs account payable	Owed, not yet invoiced	Invoiced, not yet paid	Both liabilities; source document differs.
Deferred revenue vs accrued revenue	Paid, not earned (liability)	Earned, not billed (asset)	Opposite timing gaps.
Audit vs review	Reasonable assurance	Limited assurance	A review gives far less comfort.
Internal audit vs external audit	Serves management/ board on controls and risk	Independent opinion on financial statements to shareholders	Different mandates and reporting lines.
Cash basis vs accrual basis	Records cash movements	Records economic events	IFRS/GAAP require accrual.

12.3 Finance and banking

Pair	First term	Second term	The practical difference
Liquidity vs solvency	Ability to pay now	Ability to pay over time; assets > liabilities	Can be solvent but illiquid.
Funded vs unfunded facility	Bank lends cash	Bank issues an undertaking (L/C, guarantee)	Unfunded becomes funded if called/ paid.
Overdraft vs RCF	Usually on demand	Committed for a period	Certainty of funding.
Term loan vs RCF	Draw once, repay on schedule	Draw, repay, redraw	Purpose: long-term assets vs working capital.
Collateral vs guarantee	Asset pledged	Third-party promise to pay	Asset value vs guarantor credit.
Guarantee vs standby L/C	Demand guarantee (often URDG 758)	Standby L/C (often ISP98 or UCP 600)	Functionally similar; different rules and market habits (SBLC common in US).
Commercial L/C vs standby L/C	Payment mechanism, expected to be used	Back-up, used only on default	Normal vs exceptional drawing.
Confirmed vs unconfirmed L/C	Second bank also undertakes to pay	Only issuing bank undertakes	Confirmation removes issuing bank/ country risk for the seller.
Sight vs usance L/C	Paid on compliant presentation	Paid at a future date (e.g., 90 days after B/L)	Usance gives the buyer credit.
Documentary collection vs L/C	Banks handle documents, no payment undertaking	Bank undertakes to pay	Collections are cheaper but riskier for seller.
Interest rate vs APR / all-in cost	Nominal rate	Includes fees, compounding	Compare all-in costs.
Margin (lending) vs margin (trading)	Credit spread over reference rate	Collateral deposited with broker/exchange	Same word, unrelated meanings.
Secured vs senior	Has collateral	Ranks first in priority	Debt can be senior unsecured or secured subordinated.
Nostro vs vostro	Our account at another bank	Another bank's account with us	Point of view.

12.4 Investment and markets

Pair	First term	Second term	The practical difference
Investing vs trading	Long-term ownership for returns	Short-term buying and selling for price moves	Horizon and source of return.
Hedging vs speculation	Reduces existing risk	Takes new risk for profit	Same instrument, different purpose.
Arbitrage vs speculation	Exploits price differences with little or no net risk	Bets on direction	True arbitrage is rare and small.
Forward vs futures	Private (OTC), customised, counterparty risk	Exchange-traded, standardised, cleared, margined	Flexibility vs liquidity and lower counterparty risk.
Option vs forward	Right, not obligation; premium paid	Obligation for both parties	Option buyer's loss limited to premium.
Coupon vs yield	Fixed contractual rate on face value	Return based on price paid	Yield moves with market price.
Primary vs secondary market	Issuer sells new securities	Investors trade existing securities	Issuer receives cash only in primary.
Mutual fund vs ETF	Priced once a day, bought from the fund	Traded on exchange throughout the day	Liquidity, cost, tax treatment vary.
Private equity vs venture capital	Mature companies, often leveraged buyouts	Early-stage high-growth companies	Risk profile and use of debt.
Volatility vs risk	Statistical fluctuation	Probability of permanent loss / failing objectives	Volatility is one measure of risk.
Systematic vs idiosyncratic risk	Market-wide, not diversifiable	Company-specific, diversifiable	Only systematic risk is rewarded in CAPM.

12.5 Trade, logistics and contracts

Pair	First term	Second term	The practical difference
FOB vs CIF	Seller delivers on board at origin; buyer arranges freight and insurance	Seller pays freight and minimum insurance to destination; risk still passes at loading	Risk transfer is the same point (on board at origin); cost allocation differs.
CIF vs CIP (2020)	Sea only; minimum insurance ICC (C)	Any mode; minimum insurance ICC (A) under 2020 rules	Insurance level and mode.
FCA vs FOB	Delivery to carrier (any mode, e.g., container terminal)	Delivery on board vessel	FCA is usually correct for containers.
DAP vs DDP	Seller delivers to destination, buyer clears import and pays duties	Seller also pays import duties and taxes	DDP exposes seller to foreign tax and customs.
Bill of lading vs sea waybill	Negotiable document of title (if "to order")	Non-negotiable receipt and contract evidence	Waybill not suitable when banks need control of goods.
House B/L vs master B/L	Issued by forwarder/NVOCC to shipper	Issued by carrier to forwarder	Who you can claim against.
Commercial invoice vs pro forma invoice	Final invoice for payment and customs	Preliminary for quotation, prepayment, licences	Pro forma is not a demand for payment of a completed sale.
Quotation vs offer	Often invitation to negotiate	Binding if accepted within validity	Wording and law decide.
Purchase order vs contract	Buyer's order (becomes contract when accepted)	Negotiated agreement	Battle of the forms: whose terms apply?

Pair	First term	Second term	The practical difference
Agent vs distributor	Acts on principal's behalf; does not own goods; earns commission	Buys and resells on own account; earns margin	Risk, control and legal protections differ.
Broker vs trader	Intermediary matching parties for commission	Principal taking title and price risk	Balance-sheet risk.
Demurrage vs detention	Container held inside terminal (typically)	Container held outside terminal (typically)	Carrier definitions vary.
Freight forwarder vs carrier vs customs broker	Organises	Transports	Clears customs
Warranty vs indemnity	Promise that facts are true; claim for breach	Promise to compensate specific losses	Indemnity usually stronger and more certain.
Force majeure vs hardship	Performance prevented	Performance onerous	Suspension vs renegotiation.
Arbitration vs litigation	Private, binding, internationally enforceable awards	Public courts	Enforceability and confidentiality.
MoU vs contract	Usually non-binding intentions	Binding obligations	Wording and law decide.
Condition precedent vs covenant	Must happen before obligation starts	Ongoing promise during the contract	Timing and consequence.

12.6 Organisation and management

Pair	First term	Second term	The practical difference
Shareholder vs stakeholder	Owner	Anyone with an interest	All shareholders are stakeholders, not vice versa.
Board vs management	Oversight and strategy	Execution	Separation is the core of governance.
Director vs officer	Board member	Appointed executive (CEO, CFO)	One person may be both.
KPI vs OKR	Run-the-business metric	Change goal with key results	Health vs ambition.
Responsible vs accountable	Does the work	Owns the outcome	Only one accountable person.
Strategy vs tactics	Where to play, how to win	Specific actions	Time horizon and level.
Efficiency vs effectiveness	Doing things right (less input per output)	Doing the right things	Both needed.
Budget vs forecast	Approved plan/target	Latest expectation	Budgets are fixed; forecasts update.
Risk vs issue	May happen	Has happened	Different logs and responses.
Compliance vs risk management	Follows rules	Manages all risks within appetite	Compliance is one risk area.

بالعربية — كيف تستخدم هذا الفصل؟

اقرأ كل صف وحاول أن تشرح الفرق بصوت مرتفع وكأنك في اجتماع عمل. إذا لم تستطع شرح الفرق بمثال عملي، فارجع إلى بطاقة المصطلح في الفصول السابقة أو إلى الفصل المتخصص في الأجزاء اللاحقة. الدقة في التمييز بين هذه المصطلحات هي ما يميّز المهني المتمرّس عن المبتدئ، لأن الخلط بينها قد يؤدي إلى أخطاء في التسعير أو العقود أو تقييم المخاطر.

PRACTICE · Terminology quiz (Part I review)

Answer each in one or two sentences.

1. A buyer under FOB terms wants the seller to insure the goods. Is the seller obliged to?
2. Your bank offers an overdraft instead of the committed RCF you asked for. What risk are you taking?
3. A supplier offers a “40% margin” deal. Your sales team computes price as cost × 1.40. What is the actual margin?
4. A company reports EBITDA of $5m and negative operating cash flow. Give two possible explanations.
5. Your contract says “Seller shall deliver CIF Aqaba”. A storm damages the goods at sea. Who bears the loss and who claims?
6. Is a provision for a legal claim cash?
7. Explain the difference between an agent and a distributor to a new colleague.
8. “The transaction is subject to due diligence.” What does that mean for the buyer?
9. A guarantee is “payable on first written demand”. Can the bank refuse to pay because the applicant says it was not in breach?
10. Name three things the word “margin” can mean.

ANSWER · Terminology quiz answers

1. No. Under FOB the seller has no obligation to insure; the buyer insures from loading. The seller may agree to arrange it at the buyer’s cost if contracted.
2. An on-demand overdraft can be withdrawn or reduced by the bank, possibly when you most need it; there is no committed availability.
3. Markup 40% → margin = 0.40 ÷ 1.40 = **28.6%**, not 40%.
4. Large increases in receivables or inventory; tax payments; EBITDA “adjustments” that are cash costs; prepayments to suppliers.
5. Risk passed to the buyer when the goods were loaded on board at the port of shipment; the buyer bears the loss and claims under the insurance policy the seller procured for the buyer’s benefit (and possibly against the carrier).
6. No. It is a non-cash charge recognising an expected outflow; cash leaves when the claim is paid.
7. An agent finds customers and negotiates on the principal’s behalf, earns commission and does not buy the goods; a distributor buys the goods, owns the stock and credit risk, and resells at its own price for a margin.
8. The buyer may withdraw or renegotiate if investigation reveals problems; the offer is not yet final.
9. Generally no: a demand guarantee is independent of the underlying contract; the bank pays against a compliant demand. Exceptions are narrow (e.g., fraud as recognised by the governing law, or court injunctions).
10. Profit ratio (gross/net margin); lending spread over a reference rate; collateral posted with a broker/exchange (initial/variation margin).

SUMMARY · Part I summary

- Business language is precise; similar-sounding terms often have different economic meanings.
- Most confusion comes from mixing accounting measures with cash, contractual concepts with legal effects, and different users' definitions of the same word.
- Keep the master glossary (Volume 10) at hand and practise using terms in sentences; the phrasebook in Part XVII shows how they sound in professional conversation.

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Bold page numbers mark the main term-card definition.

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Win-win 32
WMS / TMS 76
Working capital **19**
Write-off 44

Y

Year-to-date **28**
Yield **49**
Yield curve 65
YTD (Year-to-date) **28**

Z

ZOPA **69**